



GEARED FOR GROWTH

THE PHILIPPINE STOCK EXCHANGE, INC.
ANNUAL REPORT 2018

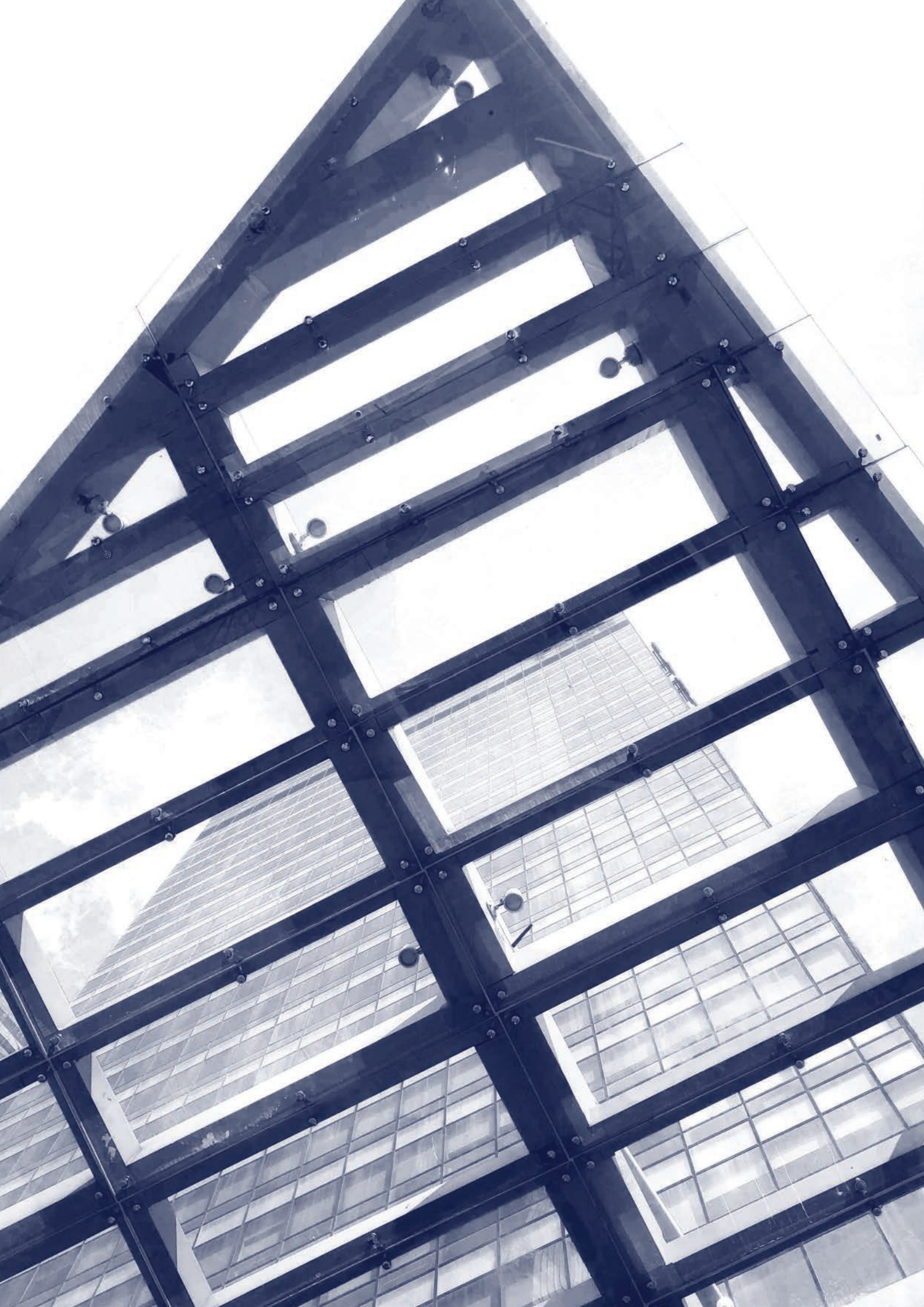


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ABOUT THE COVER

Converging roads heading towards one direction is the central metaphor for the PSE annual report this year. The cover uses infrastructure and dynamic motion to symbolize the advances that PSE achieved through the years in reference to innovations in products and services, improvements in regulations, upgrades in technology, and enrichment of partnerships. These undertakings have geared the Exchange for growth.

PSE is guided by its core values and commitment to its stakeholders as it lives out its mission and works toward the realization of its vision.

Inside back of the cover: The triangular edge of the PSE Tower's glass canopy creates the illusion of a second tower rising. This panoramic vertical shot is suggestive of PSE's innovations and dynamism.

About PSE

The Philippine Stock Exchange, Inc. (PSE) is one of the fastest growing markets in the region. Among the pioneer exchanges in Asia, it traces its origins from the country's two former stock exchanges, the Manila Stock Exchange (MSE), which was established in 1927, and the Makati Stock Exchange (MkSE), which was established in 1963.

Although both the MSE and the MkSE traded the same stocks of the same companies, the bourses were separate stock exchanges for nearly 30 years until December 23, 1992, when both exchanges were unified to become the present-day Philippine Stock Exchange.

In June 1998, the Securities and Exchange Commission (SEC) granted the PSE a self-regulatory organization status, which meant that the bourse can implement its own rules and impose penalties on erring trading participants and listed companies.

In 2001, one year after the enactment of the Securities Regulation Code, the PSE was transformed from a non-profit, non-stock, member-governed organization into a shareholder-based, revenue-earning stock corporation. The PSE eventually listed its own shares on the Exchange (traded under the ticker symbol "PSE") by way of introduction on December 15, 2003.

From having two trading floors, one at the PSE Centre (Tektite), Ortigas Center in Pasig City, and one at its former principal office at the Ayala Tower One & Exchange Plaza in Makati City's Central Business District, PSE now holds office and maintains a unified trading floor in PSE Tower, Bonifacio Global City, Taguig City.

As of end December 2018, there were 267 companies traded at the PSE, including an exchange traded fund.

The PSE is a member of the World Federation of Exchanges and the Asian and Oceanian Stock Exchanges Federation.

VISION

A premier exchange with world-class standards for trading securities and raising capital that serves as a strong engine for a robust economy.

MISSION

- Offer products and services responsive to the needs of investors and other stakeholders
- Provide a facility for fair, accurate, complete and timely information about listed companies, while extending market education and awareness programs to investors
- Be a preferred venue for raising capital
- Practice and promote good governance within the Exchange and among listed companies and trading participants
- Operate efficiently to optimize shareholder value
- Adopt world-class systems and global best practices for an efficient, fair and orderly market
- Develop a highly motivated and professional workforce, committed to serve and excel

CORPORATE VALUES

- Professionalism in delivering quality service and in meeting the highest standards of excellence
- Integrity, transparency and accountability in implementing business programs and enforcing decisions
- Teamwork in working towards a common and favorable goal for the market
- Mutual respect in relating with fellow employees
- Inner strength in prioritizing the common good of the market instead of individual interest
- Corporate responsibility in promoting market growth hand in hand with community welfare

Financial Highlights

The Philippine Stock Exchange, Inc. and Subsidiaries

Table 1

RESULTS OF OPERATIONS <i>in thousand pesos</i>	2018	2017	AMOUNT CHANGE	PERCENTAGE CHANGE <i>(in %)</i>
OPERATING REVENUES	1,596,207	1,225,519	370,688	30.25
Listing Fees, Maintenance & Processing Fees	838,299	494,946	343,353	69.37
Trading Fees, Data Feed & Subscription	397,376	335,337	62,039	18.50
Service Fees	310,147	349,708	(39,561)	(11.31)
Others	50,385	45,528	4,857	10.67
COST AND EXPENSES	762,033	592,859	169,174	28.54
Cost of Services	304,314	246,512	57,802	23.45
General and Administrative	457,719	346,347	111,372	32.16
OTHER INCOME	148,339	405,932	(257,593)	(63.46)
INCOME BEFORE INCOME TAX	982,513	1,038,592	(56,079)	(5.40)
NET INCOME AFTER TAX	727,106	828,085	(100,979)	(12.19)

Table 2

YEAR-END FINANCIAL CONDITION <i>in thousand pesos</i>	2018	2017	AMOUNT CHANGE	PERCENTAGE CHANGE <i>(in %)</i>
TOTAL ASSETS	6,623,493	3,701,274	2,922,219	78.95
Cash and Cash Equivalents	3,868,150	811,661	3,056,489	376.57
Financial Assets at Fair Value through Profit or Loss (FVTPL)	259,809	319,001	(59,192)	(18.56)
Financial Assets at Fair Value through Other Comprehensive Income (FVOCI)	476,201	-	476,201	
Available-for-sale Investments	-	513,916	(513,916)	(100.00)
Property and Equipment	1,497,375	1,454,334	43,041	2.96
TOTAL LIABILITIES	416,124	369,502	46,622	12.62
Current Liabilities	401,133	355,860	45,273	12.72
Noncurrent Liabilities	14,991	13,642	1,349	9.89
EQUITY	6,207,369	3,331,771	2,875,598	86.31

Message from the Chairman

Dear Shareholders,

When you lead a bourse that aspires to be more competitive in the global market, you realize there are many things to do but with very little time to accomplish them. Every year, you hope to do better than the year before. And when headwinds threaten your resolve, you simply persevere and strive to achieve what you have set to do.

Resilience despite a challenging environment

The year started with the PSE index (PSEi) reaching a new all-time high of 9,058.62 on January 29. The euphoria started talks of the market's potential climb to the 10,000 level. The momentum was short lived as volatility in global markets due to a brewing trade war between the United States and China spooked investors. This was later exacerbated by domestic inflation concerns and worries of interest rate hikes both by the US Federal Reserve and the Bangko Sentral. This backdrop caused anxiety among foreign investors bringing the stock market's net foreign selling for 2018 to Php61.01 billion. In terms of overall trading activity, average daily value turnover came in at Php7.15 billion, a decline of over 11 percent from the turnover in 2017. The reaction was similar among companies that considered holding their initial public offerings (IPO) within the year. The risk of not being able to sell shares at the high-end of their IPO price range as well as the possibility of not generating enough interest among investors prompted most IPO applicants to postpone their market debut. Despite this, several listed companies, mostly banks, still raised capital through the stock market. Capital raised for the year rose 14.0 percent year-on-year to Php187.84 billion, which is the highest fund raising level in five (5) years.

The PSEi eventually closed the year at 7,466.02, a 12.8 percent decline year-on-year. Despite this slump, domestic market capitalization only went down by 6.5 percent to Php13.54 trillion from 2017's Php14.49 trillion. While the market disruptions merited the dips, we felt that the slump was influenced more by overall market sentiments and less by macroeconomic fundamentals. After all, the Philippines remains to have one of the more robust economic growths in Asia and most listed companies continued implementing their growth and expansion strategies.

1 Million Stock Market Accounts

In 2018, the number of stock market accounts breached the 1 million mark. It may have taken a while to realize this goal but we are pleased to see the count breach the seven-digit mark. As in the past years, the surge in stock market accounts for 2018 was propelled by the significant growth in online accounts, particularly in areas outside Metro Manila. We see the increase in investor base as a confluence of two major factors: more Trading Participants (TPs) offering online trading services to clients and the active promotion of investment literacy. In both instances, technology plays a central role. Technology-savvy individuals feel confident in opening accounts because they are comfortable navigating online systems.

Rest assured, we will continue to leverage on technology to amplify our message about the advantages of saving and investing.

Geared for Growth

As our investor base grows, we hope to have more product offerings for them. We have started the ground work in 2018 and we hope that by 2019, we will be launching our short selling facility and hopefully have Real Estate Investment Trust listings. We will also continue to come up with services that will help our kababayans access the stock market through technology-driven platforms. For one, we have created an online portal for our Local Small Investor (LSI) program, which we hope will boost the participation of LSIs in IPOs. The enhanced PSETradex online site and mobile application have been made available to our TP subscribers and is now utilized by their clients. We will also continue to nurture our relationships with our various stakeholders – from potential IPO applicants to listed firms, to investors, partner institutions, and our regulators.

New SEC Chairman

The Securities and Exchange Commission (SEC) is a very important and crucial partner of the PSE in achieving its goals for the company and the stock market. We welcome the appointment of SEC Chairman Emilio B. Aquino who brings with him a wealth of experience as a lawyer and public servant. We are optimistic that the working relationship between the PSE and SEC, through Chairman Aquino will generate positive results for the Philippine capital markets.

The outputs and learnings from 2018 geared the Exchange for growth in the coming years. Every accomplishment, big or small, is a key that will unlock our full potential in the future. As we fondly recall what we have achieved for the year, we also look ahead with anticipation knowing that 2019 will be even more exciting. As we embark on another year, allow me to thank the PSE Board of Directors, Management, and Staff for being one in our pursuit of growth opportunities for the Exchange. I also thank our shareholders and all other stakeholders for their unwavering support to the PSE.

Maraming salamat at mabuhay tayong lahat!



Jose T. Pardo
Chairman



"We will continue to leverage on technology to amplify our message about the advantages of saving and investing."



Message from the President

Dear Fellow Shareholders,

One of my priority initiatives when I started my term as President was to comply with the Securities Regulation Code provision limiting the ownership of voting rights of Trading Participants (TP) in PSE to 20 percent or less. In early 2018, we undertook a stock rights offering (SRO), which in conjunction with the administrative processes undertaken by PSE and the Securities and Exchange Commission (SEC), finally resulted in the reduction of TP ownership in PSE to less than 20 percent. To ensure continuing compliance, we instituted several measures, one of which was to require TPs to submit sworn Certifications listing the ownership in PSE shares of their owners, principal officers and related parties. To our dismay, we discovered from said Certifications that actual broker and related party ownership in PSE shares remained at 26.4 percent and not the 19+ percent we thought we reduced it to. Apparently, the TP ownership being reported over the years (and which was the basis for our earlier compliance plan) had captured only the shares registered directly in the TPs companies' names, not those held by TP's related parties in omnibus client accounts.

Moreover, another 3 percent or so of PSE shares ended up with the two underwriters for our SRO since their firm underwriting agreements required them to absorb the shares they were not able to deploy to investors. As of this writing (March 2019), we are crafting another compliance plan that would put us back on track to achieving 20 percent broker ownership in PSE.

PSE lags behind its regional peers because of its limited number of products, so my other priority action was to increase PSE's product and service offerings. We are happy to report that short selling will be launched by mid-2019. This has long been available in other bourses and will also soon be available in our market. This should help boost our trading volumes especially from foreign brokers and investors.

We secured Board approval to introduce new indices and improve the sector classification of stocks. As a result, we launched the PSEi Total Return Index in February 2019, and will be announcing the new sector indices which will be more representative of the industries that listed companies belong to.

We are also working closely with SEC to come up with revised listing rules for REITs (Real Estate Investment Trust) that are mutually acceptable to issuers and regulators. We are hopeful that this new product will also be launched before June 2019.

The PSE continues to pursue its investing literacy initiatives through our regular basic stock market seminar held weekly at our BGC offices. We likewise continue to hold roadshows, visiting Cagayan de Oro and Cebu City in 2018. Both events drew over a thousand participants, an indication of the growing interest of Filipinos to learn about stock investing.

Collaboration with Other Exchanges

We continue to engage with our peer exchanges in the region. PSE hosted the 27th ASEAN Exchanges CEOs meeting in Manila this year where initiatives on promoting ASEAN as an investment destination and as a single asset class were discussed and agreed upon.

In November 2018, we reciprocated Shenzhen Stock Exchange's (SZSE) 2017 visit to PSE and went to SZSE to discuss potential areas of collaboration and to learn best practices from them.

We are working closely with Singapore Exchange (SGX) to launch a PSE-SGX Connect. This will allow Singapore brokers to directly trade PSE index shares and vice versa. Additionally, SGX has agreed to help PSE develop equity index derivatives for listing in PSE, products that will definitely help boost our trading volumes.

Financial Performance

Despite having just one initial public offering this year compared to four last year, listing-related income for 2018 increased by 69 percent to Php838.30 million from Php494.95 million in 2017. This was mainly due to the record fees collected for a large share-for-share swap transaction and a record Php163.34 billion worth of stock rights offering for the year. Market data income was also up by 60 percent to Php223.69 million. Total operating revenues rose by 30 percent to Php1.60 billion from Php1.23 billion.

Operating expenses on the other hand grew by 21 percent to Php609.80 million in 2018 from Php502.20 million the previous year. Occupancy costs went up by 72 percent to Php104.38 million in 2018 from Php60.64 million on account of higher condominium dues for the new BGC office, which has double the floor area of the Ayala Tower office.

EBITDA for 2018 increased by 36 percent to Php986.40 million compared to Php723.36 million the prior year. Depreciation and amortization for 2018 however increased by 68 percent to Php152.22 million because of the impact of the BGC office fit-out costs as well as the newly acquired office furniture, fixtures and equipment. The resulting EBIT still showed a healthy increase of 32 percent to Php834.17 million from Php632.66 million in 2017.

Despite the much higher EBIT for 2018, PSE's net income dropped by 12 percent to Php727.10 million from Php828.09 million last year. This was caused by the 63 percent decrease in Other Income to Php148.34 million this year from Php405.93 million in 2017 caused primarily by the non-recurring income of Php252.63 million in 2017 from gains on the sale of the Tektite property.

Your Board approved the declaration of Php8.80 per share in cash dividends, consisting of Php4.45 in regular dividend and Php4.35 in special dividend. This is equivalent to almost a 100 percent payout of this year's earnings per share of Php8.86 compared to the 86 percent payout in 2017.

"We have a long way to go before we can catch up with our more developed regional peers but we are optimistic that PSE will eventually be a world-class exchange in terms of diverse product and service offerings."

Sustainability Projects

The PSE is proud to be at the forefront of the global initiative for sustainable reporting by publicly listed companies as it goes on its third year of sustainability reporting. While we have condensed versions embedded in our annual report, the more extensive report will soon be available on our website. To this end, we have also taken a more proactive stance in adopting Environmental, Social, Governance (ESG) policies, practices, and processes. We launched PSE Goals, which correspond to the internal activities undertaken by Management to uphold the company's thrust for good governance, going green, and growing generation.

We have a long way to go before we can catch up with our more developed regional peers but we are optimistic that PSE will eventually be a world-class exchange in terms of diverse product and service offerings.

The Exchange is confronted with a myriad of challenges from the regulatory, technology and business aspects of its operations. We will continue to successfully meet these challenges with the untiring guidance of our Board of Directors and the admirable hard work and dedication of the PSE team. We commit to deliver more in the years ahead for the greater good of our shareholders and the capital markets.



Ramon S. Monzon
President and CEO



**Corporate
Governance at
the PSE**

Board of Directors



JOSE T. PARDO

CHAIRMAN AND INDEPENDENT DIRECTOR

Mr. Pardo became an Independent Director of the PSE on January 26, 2011, and has been its Chairman since May 2011. He is the Chairman of the Corporate Governance Committee of the Exchange. He is also the Chairman of the Securities Clearing Corporation of the Philippines, a subsidiary of the PSE. He is an Independent Director and the Chairman of the Board of the Philippine Savings Bank*, Bank of Commerce, and Philippine Seven Corporation*, and Independent Director of JG Summit Holdings, Inc*. He is likewise a Director of the National Grid Corporation of the Philippines. Mr. Pardo held various positions in government including Secretary of the Department of Finance and Secretary of the Department of Trade and Industry. Mr. Pardo is Chairman of the Council of Business Leaders of Employers Confederation of the Philippines, Philippine Chamber of Commerce, Inc., and Philippine Business Center, Inc. Mr. Pardo obtained his Bachelor of Science in Commerce and his Master's Degree in Business Administration at the De La Salle University in Manila. In February 2018, he was conferred an Honorary Doctorate in Finance by the De La Salle University.



RAMON S. MONZON

PRESIDENT AND CEO

Mr. Monzon started serving as PSE President and Chief Executive Officer in May 2017. He is the concurrent President and Director of the Securities Clearing Corporation of the Philippines. He is the Chairman of The Philippine Stock Exchange Foundation, Inc., and a Trustee of the Securities Investors Protection Fund, Inc. He was an Independent Director of the Exchange from 2015 to 2017 and served as Chairman of the Audit Committee and member of the Risk Oversight and Nominations and Elections Committees. Mr. Monzon is the Vice Chairman of the Board of Directors of the Philippine Dealing System Holdings Corporation (PDSHC). He is also a Director and Member of the Executive, Risk, Audit, Nomination and Remuneration/Corporate Governance and IT Steering Committees of PDSHC, Philippine Dealing & Exchange Corporation, Philippine Depository & Trust Corporation and Philippine Securities Settlement Corporation. He is currently a Director of PCD Nominee Corporation and the Chairman and President of PH GSA, Inc., Xpert Air Services, Inc., Karilagan Int'l Travel & Tours Corp., and Carousel Productions, Inc. From October 1995 to March 2012, he was the Vice Chairman and Chief Operating Officer of Citadel Holdings, Inc. and served as President and CEO of Citadel's subsidiaries which included companies in aviation services, airline passenger and cargo general sales agency. He was the President and CEO of Pacific Rim Export & Holdings Corp. from 1988 to 1995 and was the EVP and Chief Operating Officer of Radio Philippines Network, Intercontinental Broadcasting Corp, Banahaw Broadcasting Corp and Sining Makulay, Inc. from 1984 to 1986. He was also a Partner at SyCip Gorres Velayo & Company from 1982 to 1984. Mr. Monzon holds a Master of Business Administration degree from the Chicago Booth School of Business, a Bachelor of Arts degree major in Political Science from the Ateneo de Manila University, and a Bachelor of Science degree major in Accounting from the Manuel L. Quezon University. He is a Certified Public Accountant and a Fellow of the Institute of Corporate Directors.



JESUS CLINT O. ARANAS

DIRECTOR

Atty. Aranas has been a PSE Director since January 2018. He is currently the President and General Manager of the Government Service Insurance System (GSIS). Before his GSIS appointment, he served as Deputy Commissioner of the Bureau of Internal Revenue from July 2016 to November 2017. Atty. Aranas founded Aranas Law Office in 2002 and was its Managing Partner until June 2016. He also has over two decades of experience in the field of taxation, which began with a stint in the Tax Division of SGV&Co. Atty. Aranas earned his Bachelor of Laws degree from Silliman University and obtained his Bachelor of Science in Commerce, Major in Business Administration degree from the Philippine School of Business Administration.



EMMANUEL O. BAUTISTA

DIRECTOR

Mr. Bautista has been a Director of the PSE since May 2011 and a member of the Exchange's Risk Management Committee and Investments Committee. He also serves as Director of the Securities Clearing Corporation of the Philippines. He is an Independent Director of AIG Philippines Insurance, Inc. He is currently the Chairman and Chief Executive Officer of Deutsche Regis Partners, Inc., an affiliate of Deutsche Bank AG, where he has worked since 1994. From 1986 to 1994, he was connected with Pepsi Co., Inc. both in New York and in Manila. He was Director of Strategic Planning and member of the Executive Committee of PepsiCo Philippines. Mr. Bautista trained as an analyst at Philippine American Investment Corporation and Bank of America in Los Angeles. He graduated from the Ateneo de Manila University with a Bachelor of Science degree in Management Engineering. He holds a Master's degree in Business Administration from Georgetown University, USA.



ANABELLE L. CHUA

DIRECTOR

Ms. Chua first became a Director of the PSE in 2004 until May 2010 and has been a Director since May 2011. She is a member of the Exchange's Audit Committee. She has been the Chief Financial Officer of the PLDT, Inc.* Group since May 2015, and was previously the Chief Financial Officer of Smart Communications, Inc., and Treasurer of PLDT, Inc. She is currently a director of Manila Electric Company* and a member of its Audit Committee, Risk Committee and Finance Committee. Her prior professional experience includes holding various positions at Citibank N.A. and the Solid Pacific Finance Ltd. in Hong Kong. Ms. Chua graduated Magna Cum Laude from the University of the Philippines with a degree in Business Administration and Accountancy and was a consistent University Scholar for ten semesters. She topped the Certified Public Accountant Licensure Examination in October 1982.

**publicly-listed company*



FRANCIS CHUA

DIRECTOR

Ambassador Chua was a Director of the PSE in 2002 and has been re-elected as Director from 2010 up to the present. Under his watch as Chairman of the Demutualization Committee, PSE's demutualization was unanimously approved by all its members. He was appointed as Member of the APEC Business Advisory Council (ABAC). He is the Founding Chairman of BA Securities and the Chairman Emeritus of the Philippine Chamber of Commerce and Industry Inc. (PCCI) as well as an Honorary President of the Federation of Filipino-Chinese Chambers of Commerce and Industry Inc. (FFCCCII). He is also the Founding Chairman of the International Chamber of Commerce, Philippines (ICCP) and Founding Chairman of the Philippine Silkroad International Chamber of Commerce. He is currently the Chairman of both the Foundation for Crime Prevention and the Philippine Business Center. He served as President of three of the most influential business organizations in the country – PCCI (2010 to 2011), Chamber of Commerce of the Philippine Islands Inc., (2005 to 2007) and FFCCCII (2005 to 2007). Amb. Chua is also the Consul General (ad honorem) of the Honorary Consulate General of Peru in Manila since 2006. In 2007, he was appointed Special Envoy for Trade and Investments by the Office of the President. He is the Chairman of the Board of DongFeng Automotive Philippines, and the Green Army Foundation. He is the Vice Chairman of the Board of 2GO Group, Inc.*, Vice Chairman Executive Committee Chair of Bank of Commerce and Vice Chairman of Basic Energy Corporation*. He has served as Director of various companies and academic institutions and has been conferred several awards by different organizations.



DAKILA B. FONACIER

INDEPENDENT DIRECTOR

Mr. Fonacier has been a PSE Director since May 2011. He is a member of the Company's Audit, Risk Management, and the Nominations and Elections Committees. He is also the Chairman of Capital Markets Integrity Corporation and Director of the Securities Clearing Corporation of the Philippines. He is a Director of McManus Ventures, Inc., and Country Builders Bank. Mr. Fonacier held various positions in government including Commissioner of the Bureau of Internal Revenue, Undersecretary of the Finance Department, and Undersecretary of the Trade and Industry Department. He earned his Master's degree in Marketing and Finance from J.L. Kellogg Graduate School of Management Northwestern University in Chicago, Illinois and obtained his Bachelor's degree in Accounting, cum laude, from the University of the Philippines. He ranked fifth in the Certified Public Accountant Licensure Examination in 1968.



EDDIE T. GOBING

DIRECTOR

Mr. Gobing has been a PSE Director since 2001 and has held various positions in the Exchange since 1998. He is the Chairman of the Exchange's Risk Management Committee. He has also been a Director of the Securities Clearing Corporation of the Philippines since 2008. Mr. Gobing is a Trustee of the PSE Foundation. He is the Treasurer of the Manila Stock Exchange Foundation. Mr. Gobing is the President of Lucky Securities, Inc., and E.G. & Sons Insurance Agency Inc.; Chairman of Jacqui Foods Corp., G.G. Food Chain Corp., and J.G. Food Corp.; and President of Teishoku Dining Concepts, Inc. He also serves as Director, Treasurer and Finance Committee Chairman of Wack Wack Golf & Country Club. Mr. Gobing graduated with a Bachelor of Science degree in Management from the University of Santo Tomas.



AMOR C. ILISCUPIDEZ

DIRECTOR

Ms. Iliscupidez has been a Director of PSE since April 2006. She is a member of the Audit, Corporate Governance, Risk Management and Investment Committees of the Company. She has been a Director of the Securities Clearing Corporation of the Philippines and a member of its Audit and Fails Management Committees since January 2011. She was a Director of Capital Markets Integrity Corporation from July to September 2013. She is also a Director of the Bank of Commerce since April 2008 and is a member of its Executive Committee, Trust Investment Committee and Nomination and Compensation Committee. She was a member of the Board of Trustees of San Miguel Corporation Retirement Plan and other subsidiaries from February 2006 to June 2018. She was the General Manager of San Miguel Corporation Retirement Funds Office since February 2006 up to June 30, 2017. She was also the General Manager at Anchor Insurance Brokerage Corporation from 2003 to 2005 and was Assistant Vice President and Manager of the SMC Group Financial Services from 2001 to 2003. Ms. Iliscupidez was also Finance Manager of several subsidiaries and business units of San Miguel Corporation*. She graduated cum laude with a Bachelor of Science degree in Business Administration, major in Accountancy, from the University of the East. She is a Certified Public Accountant.



VICENTE L. PANLILIO

INDEPENDENT DIRECTOR

Mr. Panlilio has been an Independent Director of PSE since 2017 and is a member of the Exchange's Corporate Governance Committee. He also served as PSE Independent Director partially in 2009. He was formerly Director of Far East Bank and Trust Company, Philippine National Bank*, Equitable-PCI Bank and Bank of Commerce. He also served as a Director of Manila Electric Company* and is an incumbent Director of San Fernando Electric Light and Power Company. Mr. Panlilio graduated from the University of the Philippines and also attended the Asian Institute of Management for the Advanced Bank Management Program.



HANS B. SICAT

DIRECTOR

Hans Brinker Sicat is the Country Manager and Head of Clients of ING Bank N.V. Manila, Philippines. He joined ING in August 2017 as Managing Director. Mr. Sicat previously worked with the Philippine Stock Exchange as Chief Executive Officer from 2011 to 2017, making him the longest serving CEO of the Exchange. A trained mathematician & economist, he has been involved with the global capital market for about three decades. He also served as Chairman & Independent Director of the PSE for about 18 months, since 2009 and as President and CEO of the Securities Clearing Corporation of The Philippines from 2011 to 2017. For over two decades, he was an investment banker with Citigroup and its predecessor firms (Salomon Brothers & Citicorp Securities) in various roles in New York, Hong Kong & the Philippines. Mr. Sicat finished his coursework for Ph.D. Economics Program at the University of Pennsylvania, Philadelphia, and earned his Master of Arts in Economics and Bachelor of Science in Mathematics at the University of the Philippines. He was conferred an Honorary Doctorate Degree in Business Administration by the Western University in Thailand.

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WILSON L. SY

DIRECTOR

Wilson L. Sy is a stock market veteran with over four decades of professional experience. He is the Chairman of Wealth Securities Inc. Mr. Sy served as the Chairman of the Manila Stock Exchange from 1994 to 1999 and the Philippine Stock Exchange from 1996 to 1998. He is currently the Chairman of the Manila Stock Exchange Foundation. Mr. Sy is also the fund manager of Philequity Fund, one of the most successful and longest running mutual funds in the country. At present, Mr. Sy is a director for various companies such as Philequity Management, Vantage Equities, Inc.*, Vantage Financial Corp., and East West Banking Corporation*. He is also member of Ateneo De Manila University Board of Trustees. Mr. Sy is a columnist for the business section of The Philippine Star and is the author of the book "Opportunity of a Lifetime."



EUSEBIO H. TANCO

DIRECTOR

Mr. Tanco has been a Director of the PSE since 2007 and is also a member of the Company's Audit Committee and Corporate Governance Committee. He is the Chairman of STI Education Systems Holdings, Inc.*, STI-West Negros University, Delos Santos-STI College, Inc., Philhealth Educators, Inc., Mactan Electric Company, Philippines First Insurance Co., GROW Vite, Eximious Holdings, Inc (formerly Capital Managers and Advisors, Inc.), Venture Securities, Inc., Prime Power Holdings, Inc., and iACADEMY. He is Chairman and President of Prudent Resources, Inc., and the Vice Chairman and President of port operator Asian Terminals Inc.*, President of Bloom with Looms Logistics, Inc., Total Consolidated Asset Management Inc., Tantivy Holdings, Inc. (formerly Insurance Builders, Inc.), Biolim Holdings and Management Corp., EujoPhils., Inc., First Optima Realty Corporation and a member the board of, PhilhealthCare, Inc., Maestro Holdings, Inc., Philippine Life Financial Assurance Corporation, Philplans First, Inc., United Coconut Chemicals, Inc., Philippine Racing Club*, and Leisure & Resorts World Corporation*. He is also the Executive Committee Chairman of STI Education Services Group, Inc. and Founding President of Global Resource for Outsourced Workers. His extensive corporate experience covers financial services, manufacturing, transportation and logistics, energy, property development, ICT-enabled education and services. His professional associations include the Philippines-UAE Business Council, Thailand-Philippines Business Council, Inc., and Philippine Chamber of Commerce and Industry. Mr. Tanco holds a Master of Science degree in Economics from the London School of Economics and Political Science. He finished his undergraduate studies at the Ateneo de Manila University.



ALEJANDRO T. YU

DIRECTOR

Mr. Yu served as Director of the Exchange in 1997 and 1998 and resumed his term in 2004. Since then, he has been a member of the Audit Committee and Risk Management Committee of the PSE and Securities Clearing Corporation of the Philippines. Mr. Yu is the President and CEO of R.S. Lim & Company, Inc., one of the oldest brokerage houses in the Philippines, dating back to the original Makati Stock Exchange Inc. and a four-time awardee of the PSE Bell Awards for excellence in corporate governance. He is a Trustee of the Securities Investors Protection Fund and the PSE Foundation. He has been Chairman of the Annual PSE Golf Invitational Cup. Mr. Yu was the Treasurer of the PSE and SCCP from 2005 to 2008. He participated actively in various working committees of the Exchange including Trading and Arbitration, Computer, and Membership. A product of Xavier High School and De La Salle University, Mr. Yu graduated with a degree in Industrial Management Engineering, minor in Mechanical Engineering.



MA. VIVIAN YUCHENGCO

DIRECTOR

Ms. Yuchengco has been a Director of the PSE within these periods: 1993-1994, 1996, 1998, 2000-2001 and 2004 up to the present. She is a member of the Corporate Governance Committee of the PSE. She served as PSE Chairman from 2002 to 2003. In 1989, Ms. Yuchengco became the first woman to be elected as President of the Makati Stock Exchange. In 2000, serving as one of the Board of Trustees of the Securities Investors Protection Fund, she co-chaired the committee that worked towards the demutualization of the PSE. She is currently the Chairperson of The Philippine Association of Securities Brokers and Dealers, Inc. Ms. Yuchengco studied Economics in Newton College of Sacred Heart in Boston, Massachusetts. She has her own brokerage firm, The First Resources Management and Securities Corporation, which she manages and has been in operation for almost 39 years.



OMELITA J. TIANGCO

TREASURER

Ms. Tiangco has been the Treasurer of the Exchange since May 2011. She was a Director of the Company from August 2006 to May 2011, and was a member of the Exchange's Corporate Governance and Audit Committees. She served as Executive Vice-President & Chief Finance Officer of the Government Service Insurance System (GSIS) from September 2004 to February 2010. Prior to that, she held various positions in GSIS such as Senior Vice President-Fund Management Group, Senior Vice-President-Internal Audit Group and Vice-President & Controller. She likewise served as President of the GSIS Mutual Fund Inc., Director and Treasurer of GSIS Family Bank and Controller of GSIS Properties, Inc. Ms. Tiangco holds a Master's degree in Business Administration from the De La Salle University and a Bachelor of Science in Commerce degree from Arellano University. She is a Certified Public Accountant and is a fellow of the Institute of Corporate Directors.



AISSA V. ENCARNACION

CORPORATE SECRETARY

Atty. Encarnacion has been the Corporate Secretary of the Exchange and SCCP since February 2004 and a non-voting member of the Nominations and Elections Committee. She is a Partner of the Zamora and Poblador Law Offices. She is a professorial lecturer at the University of the Philippines, Cesar Virata School of Business. Before she assumed her present PSE post, she was the Assistant Corporate Secretary of the Exchange from 2000 to 2003 and Acting Corporate Secretary from 2003 to February 2004. She is a member of the Board of Directors of various private companies, a member of the Trustees of Empowering Brilliant Minds Foundation, Inc. and acts as Corporate Secretary for various companies. Prior to joining her present law firm, she was a Senior Associate of the Bengzon Narciso Cudala Jimenez & Liwanag Law Offices. She received her Bachelor of Laws and Bachelor of Science in Business Administration degrees from the University of the Philippines.

**publicly-listed company*

Composition of the Board of Directors

The Board of Directors is composed of 15 members who shall be elected by the stockholders of the Exchange.

(PSE Articles of Incorporation)

Broker-directors shall not be more than 49 percent of the Board and shall proportionately represent the Exchange membership in terms of volume/value of trade and paid up capital.
(Sec. 33.2(f), SRC)

RULES OF THE NOMINATION AND ELECTION COMMITTEE

- He shall hold at least a college degree or have sufficient experience in managing a business to substitute for such formal education;
- He shall possess competency and understanding of financial markets;
- He shall be at least 21 years old;
- He shall possess integrity and probity;
- He shall be assiduous; and
- He must be a resident of the Philippines.
- An independent director shall have at least one (1) share of stock of the corporation in his name.

COMPENSATION OF THE BOARD

The Chairman receives a per diem of P310,000.00 a month, while all the other directors receive a per diem of P50,000.00 for each board meeting attended. The Corporate Secretary receives a per diem of P12,500.00 for each meeting attended.

The Chairman of the Board and the Corporate Secretary are not entitled to receive any salary or other annual compensation from the Company. The President, being a full time employee, receives a fixed monthly salary.

In 2018, the directors as a group received a total aggregate per diem of P17,100,000.00.

In 2017, the directors as a group received a total aggregate per diem of P20,415,785.78.

BOARD COMMITTEES

Audit Committee

1. Dakila B. Fonacier – Chairman, Independent Director
2. Anabelle L. Chua – Member
3. Amor C. Iliscupidez – Member
4. Eusebio H. Tanco – Member
5. Alejandro T. Yu – Member

Investments Committee

1. Omelita J. Tiangco – Chairman
2. Emmanuel O. Bautista – Member
3. Amor C. Iliscupidez – Member
4. Wilson L. Sy – Member
5. Alejandro T. Yu – Member

Corporate Governance Committee

1. Jose T. Pardo – Chairman, Independent Director
2. Amor C. Iliscupidez – Member
3. Vicente L. Panlilio – Member, Independent Director
4. Wilson L. Sy – Member
5. Eusebio H. Tanco – Member
6. Ma. Vivian Yuchengco – Member

Capital Markets Development Committee

1. Ramon S. Monzon – Chairman
2. Emmanuel O. Bautista – Member
3. Anabelle L. Chua – Member
4. Jose T. Pardo – Member, Independent Director
5. Hans B. Sicat – Member
6. Wilson L. Sy – Member
7. Eusebio H. Tanco – Member
8. Ma. Vivian Yuchengco – Member

Nominations and Elections Committee

1. Dakila B. Fonacier – Chairman, Independent Director
2. William Ang – Member
3. Shirley Bangayan – Member
4. Edgardo G. Lacson – Member
5. Remy Tigulo – Member
6. Aissa V. Encarnacion – Non-voting Member
7. Veronica Vicedo-Del Rosario – General Counsel

Risk Management Committee

1. Eddie T. Gobing – Chairman
2. Emmanuel O. Bautista – Member
3. Dakila B. Fonacier – Member, Independent Director
4. Amor C. Iliscupidez – Member
5. Alejandro T. Yu – Member

PSE BOARD OF DIRECTORS ATTENDANCE 2018

Name of Director	Board Meeting Attendance		Total Number of Board Meetings Attended
	JANUARY 10 TO APRIL 25, 2018	MAY 5 TO DECEMBER 12, 2018	
Jose T. Pardo - Chairman	7	12	19/19
Ramon S. Monzon - President and CEO	7	11	18/19
Jesus Clint O. Aranas	6	9	15/19
Emmanuel O. Bautista	6	11	17/19
Anabelle L. Chua	6	11	17/19
Francis Chua	6	10	16/19
Dakila B. Fonacier	4	3	7/19
Eddie T. Gobing	7	12	19/19
Amor C. Iliscupidez	7	11	18/19
Edgardo G. Lacson (January to April 2018)	7	-	7/7
Vicente L. Panlilio	6	10	16/19
Hans B. Sicat (May to December 2018)	-	9	9/12
Wilson L. Sy	7	12	19/19
Eusebio H. Tanco	7	12	19/19
Alejandro T. Yu	7	12	19/19
Ma. Vivian Yuchengco	6	10	16/19

BOARD ASSESSMENT

Following the approval of PSE's Board Assessment Guidelines in 2017, the company's Board of Directors had its first individual and group assessment on January 10.

The Board Assessment evaluates the mix of skills, experiences and other relevant qualities the Directors bring to the Board. It takes into account the individual director's ability to exercise independent judgment at all times and to contribute to the effective functioning of the Board. The Individual Assessment process also examines the ability of each Board or Committee member to give material input in meetings and to demonstrate a high level of professionalism and integrity in decision-making.

The Board's effectiveness is assessed in the areas of composition, administration, accountability and responsibility, conduct, and performance.

CORPORATE GOVERNANCE TRAINING FOR DIRECTORS

The annual corporate governance training of the Board of Directors was held on November 14 at the PSE Tower. The training focused on the principles and recommendations of the 2016 Corporate Governance Code for PLCs.

COMPENSATION OF EXECUTIVE OFFICERS

SUMMARY OF ANNUAL COMPENSATION FOR 2018*

NAME AND POSITION	SALARY	BONUS	OTHER COMPENSATION (PER DIEM)	TOTAL
CEO and 4 most highly compensated officers	33,775,855.68	13,693,236.67	-	47,469,092.35
All other officers and directors as a group unnamed	N/A	N/A	N/A	N/A
Total	33,775,855.68	13,693,236.67	-	47,469,092.35

*amount in Philippine Pesos

Corporate Governance Policies

HONEST AND ETHICAL CONDUCT

The PSE expects all employees to act with the highest standards of honesty and ethical conduct while working on Exchange premises, at offsite locations where Exchange business is being conducted, at Exchange-sponsored business and social events, or at any other place where the employees are representing the Exchange.

COMPLIANCE WITH LAWS, RULES AND REGULATIONS

As a publicly-listed company, the Exchange is subject to numerous laws and regulations, including its own Listing and Disclosure Rules. Obeying the law, both in letter and in spirit, is the foundation on which the Exchange's ethical standards are built. All employees and officers must respect, obey and comply with the laws, rules and regulations applicable to the PSE's business.

BRIBES AND KICKBACKS

Exchange employees are prohibited from offering, giving, soliciting or accepting bribes or kickbacks. A bribe is defined as a thing of value given to someone with the intent of obtaining favorable treatment from the recipient. Kickbacks consist of payment in cash or in kind, including goods, services, the use of another company's property, or forgiving any sort of obligation provided to a customer or supplier for the purpose of improperly obtaining or rewarding favorable treatment in connection with a transaction. Bribes and kickbacks may not be offered either directly or through a third party in order to obligate the recipient to return the favor.

FAIR AND FREE MARKETS

The Exchange is committed to promoting free and competitive markets. The Exchange will not tolerate any attempt by any of its employees or representatives to manipulate or tamper with the markets or the prices of securities or other financial instruments. The Exchange's goal is to ensure candor and honesty in all its dealings, including those with business partners, regulators, other stakeholders and the public.

CONFLICT OF INTEREST

A "conflict of interest" exists when an employee or officer's personal interest interferes or even appears to interfere in any way with the interests of the Exchange. It arises when the interests of an employee or officer affect their ability to act in the Exchange's best interests objectively and effectively.

The PSE has an obligation to the marketplace and to its shareholders to make sound business decisions that are not influenced by the personal interests of its employees. This means that PSE employees are expected to act in the interest of the Exchange, without favor or preference based on possible direct or indirect personal gain.

Employees must avoid and, if needed, remove themselves from relationships and activities that may lead to a conflict of interest or the appearance of a conflict of interest.

It must be noted that a conflict of interest may: (1) have already materialized (an actual conflict), (2) happen in the future (a potential conflict), or (3) appear to others as a situation in which a conflict exists (a perceived conflict). The provisions in the Code of Ethics and Business Conduct describe five (5) key areas in which conflicts can arise: (1) Personal Trading and Insider Information, (2) Gift, Meal and Entertainment, (3) Corporate Opportunities, (4) Outside Employment and Directorships, and (5) Related-Party Business Dealings.

PERSONAL TRADING AND INSIDER INFORMATION

Employees of the PSE are prohibited from buying or selling securities listed on the Exchange, whether for their own account or for the account of another. An exception is trading PSE shares under an approved Employee Stock Purchase Plan and subject to the proper disclosure to the Securities & Exchange Commission. Subscribing to initial public offerings (IPO) from listed companies or underwriters is likewise prohibited. These prohibitions, besides being imposed by Exchange rules, are to avoid actual, potential or perceived conflicts of interest arising from the possession by PSE employees of insider information resulting from their work in the Exchange.

Employees may at some time have access to information related to the Exchange or to other publicly-listed companies that is not known to the general public. All non-public information about the Exchange or other publicly-listed companies should be considered confidential information and should not be disclosed to third parties (including family members) or used for any direct or indirect personal benefit unless or until such information is disclosed to the public.

Employees and officers who have access to confidential information about PSE or any other entity are not permitted to use or share that information for trading purposes in the Exchange's or the other entity's securities or for any other purpose except the conduct of the Exchange's business. To use non-public information for personal financial benefit or to "tip" others who might make an investment decision on the basis of this information is not only unethical but also illegal and may be sanctioned under the relevant laws, rules and regulation such as the Securities Regulation Code.

GIFT, MEAL AND ENTERTAINMENT POLICY

The purpose of gifts and business entertainment in a commercial setting is to create goodwill and sound working relationships, not to give or gain unfair advantage to or from third parties. These third parties may include existing or potential vendors, suppliers, service providers and business partners, regulators, as well as PSE's regulated entities such as listed companies, trading participants and listing applicants.

Employees or any of their family members up to the second degree of consanguinity and first degree of affinity have an obligation not to solicit, accept, offer or provide any entertainment, meals or gifts that are not appropriate or could be perceived as an improper attempt to influence business. They may only accept gifts which can be considered token gifts or corporate giveaways and other related circumstances.

CORPORATE OPPORTUNITIES

Employees and officers are prohibited from taking for themselves opportunities that arise or are discovered in the course of their employment at the Exchange or through the use of corporate property, information or position without the consent of the President and CEO. No employee or officer may use corporate property, information, or position for personal gain, and no employee or officer may compete with the Exchange directly or indirectly. Employees and officers owe a duty to the Exchange to advance its legitimate interests when the opportunity to do so arises.

A non-cash gift given in consideration of an employee's lecture, speaking engagement, participation in a forum and the like, sponsored or arranged by an outside organization shall be governed by the Exchange's gift policy.

This policy on honoraria and fees does not apply to an employee's private or personal speaking engagements not endorsed by the PSE provided that such activities do not conflict with the interests of the Exchange.

OUTSIDE EMPLOYMENT AND DIRECTORSHIPS

An employee may not accept outside employment or directly or indirectly conduct outside business that interferes with the proper performance of his or her job at the PSE, is conducted during his or her normal working hours, utilizes confidential information and other assets of the Exchange (including proprietary assets) or specialized skills and knowledge gained as an employee of the Exchange, competes with the PSE or otherwise conflicts with the interests of the Exchange. This includes becoming a contractor, consultant or supplier to the Exchange while being employed at the Exchange. Outside consultancies are prohibited outright.

All officers and employees of the Exchange must disclose any and all outside employment or business activity to the Compliance Officer, for which approval should be obtained. Outside employment or business activity may be disapproved anytime if it is determined that it would conflict with the interests of the Exchange.

RELATED-PARTY BUSINESS DEALINGS

An employee must disclose to the Compliance Officer any business relationship or proposed business transaction that the Exchange may have with any company in which he or she or a related party (spouse, children, siblings, parents) has a direct or indirect interest (employment, directorship, controlling ownership) or from which he or a related party may derive a benefit, if such a relationship or transaction might give rise to a conflict of interest or the appearance of a conflict of interest (for example, if the employee or a family member owns or controls property of significant value that the Exchange is either purchasing or leasing).

Further guidance may be sought by the employee from the Corporate Governance Office.

The Exchange developed guidelines and forms for the Conflict of Interest section of the Code of Ethics and Business Conduct to:

- Facilitate the monitoring of the employees' compliance with the provisions on the Conflict of Interest section of the Code of Ethics and Business Conduct;
- Set out the procedures, sanctions for non-compliance and employee responsibilities, among others; and
- Properly document and resolve the disclosed conflict of interest.

ANTI-FRAUD POLICY

Employees have a responsibility to identify and ensure that situations involving fraud do not occur. Fraud is the intentional misrepresentation or concealment of a material fact for the purpose of procuring an unjust or unlawful benefit. Fraud encompasses all forms of theft, including intellectual property, identity theft and manipulation or misuse of Exchange information or assets. Employees are encouraged to report suspected fraud through the proper channels. Retaliation for reporting, in good faith, a violation is prohibited and will result in disciplinary action.

WHISTLEBLOWING GUIDELINES

The Whistleblowing Guidelines broadly defines the scope of ethical concerns it seeks to address. These ethical concerns involve the following, among others:

- Violation of the Code of Ethics and Business Conduct of the Group;
- Non-compliance with the provisions of the Manual on Corporate Governance;
- Defiance of the provisions of the Employee Handbook;
- Malpractice or fraud in financial reporting, internal control or other financial matters of the PSE;
- Breach of legal or regulatory requirements; and/or
- Deliberate concealment of any of the above, among others.

The Guidelines further define the responsibility of employees, whistleblowers, and management on the proper handling of Protected Disclosures to maintain the confidentiality of the identity of the whistleblowers, witnesses, respondents and the subject matter of the disclosure. Reports on these ethical concerns, also referred to as Protected Disclosures, and the identity of the whistleblowers are kept in strictest confidence whenever they are received by the Exchange through the following reporting channels:

Mail Corporate Governance Office
9th Floor, PSE Tower
5th Avenue corner 28th Street
Bonifacio Global City, Taguig City

Email report@pse.com.ph

Face to Face Meetings As determined by the whistleblower

Telephone (632) 876-4888 (Trunk Line)

The Guidelines provide for disciplinary sanctions against employees who violate the ethical standards of the Exchange and the procedures to address retaliatory incidents. No disciplinary, criminal, administrative or civil action shall be taken against a whistleblower or witness involving a Protected Disclosure unless otherwise provided under the Guidelines or relevant laws, rules or regulations.

DATA PRIVACY

In compliance with Republic Act No. 10173, otherwise known as the Data Privacy Act of 2012 ("DPA"), the PSE developed the following policies and procedures:

- Privacy Policy, which illustrates the personal information and sensitive personal information ("Personal Data") that the PSE collects through its websites and social media accounts, and how the PSE collects, processes and safeguards that Personal Data;
- PSE Privacy Policy, which indicates the Personal Data that the PSE collects from its employees, and how the PSE collects, processes and safeguards that Personal Data;
- Privacy Manual, which depicts the PSE's data protection and security measures, and data breach framework and protocols. The manual may also serve as a guide in the exercise of rights of data subjects under the DPA;
- Consent forms, which execute the principles of transparency and legitimate purpose in the forms and documents utilized by the PSE in its daily operations; and
- Privacy notices that are put up inside PSE's premises and on its websites, which inform guests, online visitors, and other stakeholders of the Personal Data that the PSE collects, and how the PSE collects, processes and safeguards that Personal Data.



Executive Officers

01
RAMON S. MONZON
President and Chief Executive Officer

02
ROEL A. REFRAN
Senior Vice President and Chief Operating Officer

03
JINKY A. ALORA
Assistant Vice President and Head of Internal Audit Group

04
MARY CATHERINE LYDET SOLIMAN- RADAZA
Assistant Vice President and Head of Human Resources and Administration Division

05
PHILIP A. DRIZ
Assistant Vice President and Head of Technology Division

06



01

02

07

08

06

RACHELLE C. BLANCH

Vice President and Head of Market Operations Division

07

VERONICA V. DEL ROSARIO

Assistant Vice President and General Counsel

08

MARK FREDERICK V. VISDA

Concurrent OIC-Division Head, Corporate Planning and Research Department, Business Development Department, and Market Data Business Department

(not in photo)

ELISA L. BENAVIDEZ

Officer-in-Charge, Controllershship & Treasury Division and Concurrent Head, Budget & Treasury Department

Executive Officers Profile

01 RAMON S. MONZON

President and Chief Executive Officer
Refer to profile in Page 9

02 ROEL A. REFRAN

Senior Vice President and Chief Operating Officer

Atty. Refran, 45, is Senior Vice President and Chief Operating Officer of the Exchange since 2012. He started as General Counsel of the Exchange in 2005 and was appointed to concurrently head the Issuer Regulation Division in 2010. He was also the Compliance Officer of the Exchange and the Securities Clearing Corporation of the Philippines from 2005 to 2010. He was an associate at SyCip Salazar Hernandez & Gatmaitan Law Offices from 1999 to 2001. Prior to joining the Exchange in 2004, he was an associate at Angara Abello Concepcion Regala & Cruz Law Offices. He was chief of staff of Senator Ralph G. Recto from 2001 to 2004. Atty. Refran serves as Chairman of the Philippine Chamber of Commerce and Industry's Capital Markets Development Committee. He is the Chairman and President of Philippine Fulbright Scholars Association. Atty. Refran earned his degree in Bachelor of Science in Business Administration and Accountancy (BSBAA), magna cum laude, from the University of the Philippines and obtained his Juris Doctor (JD) degree, Second Honors, from Ateneo de Manila University School of Law. He ranked in the top 20 of the May 1995 CPA licensure exams. Atty. Refran is also a bar topper having placed fourth highest in the 1999 bar examinations. He obtained his MBA degree, with specialization in capital markets and finance, from Emory University (USA) under a Fulbright Scholarship. He is a member of Philippine Institute of Certified Public Accountants and Integrated Bar of the Philippines. Atty. Refran has been inducted lifetime member of the Beta Gamma Sigma (international honor society in business), and Pi Gamma Mu (international honor society in social sciences). He was recognized as the 2014 Distinguished Alumni Awardee by the University of the Philippines Virata School of Business.

03 JINKY A. ALORA

Assistant Vice President and Head of Internal Audit Group

Ms. Alora, 50, is Assistant Vice President and Head of Internal Audit Group. Prior to this appointment, she was Head of the Trading Participants Regulation Department and was designated as the Officer-in-Charge of the Market Regulation Division from October 2009 until the creation of CMIC in 2012. Before she joined the Exchange in 1995, Ms. Alora was the Accounting Manager of USA Laboratories and was a Senior Auditor at Joaquin Cunanan Price Waterhouse Coopers. She has been with the Exchange for more than 20 years. She graduated magna cum laude with a Bachelor of Science degree in Commerce Major in Accounting from the University of Perpetual Help of Laguna. Ms. Alora is a Certified Public Accountant and earned her Master's degree in Business Administration from the Pamantasan ng Lungsod ng Maynila.

04 MARY CATHERINE LYDET SOLIMAN- RADAZA

Assistant Vice President and Head of the Human Resources and Administration Division

Ms. Soliman-Radaza, 41, is Assistant Vice President and Head of PSE's Human Resources and Administration Division. Concurrently, Ms. Radaza is also in charge of PSE's Corporate Governance and Sustainability Program. She joined the Exchange in October 2014 as Senior Manager and Trading Participant Relations Section Head under the Corporate Governance Office. Ms. Soliman-Radaza's professional experience in governance (public and private), program management and human resources spans more than 20 years in Philippines and Australia. Prior to joining the Exchange, she worked in Australia handling corporate governance, corporate services and human resources for an Australian Company with offices in New South Wales, Queensland and Western Australia. She obtained Australian qualifications on HR Management and Corporate Governance in Sydney and was an affiliate of the Australian Human Resources Institute. Ms. Radaza is a Certified Sustainability Reporting Specialist (GRI Standards) and completed a Master's Degree in Management major in Development Management from the University of the Philippines Los Baños where she also earned her Bachelor of Science degree in Economics.

05 PHILIP A. DRIZ

Assistant Vice President and Head of Technology Division

Mr. Driz, 50, is Assistant Vice President and Head of PSE's Technology Division. He has more than two decades of experience in project management, application development, infrastructure management, information security, IT risk management, IT helpdesk, data center operation and vendor management. Before joining PSE in October 2015, Mr. Driz was a Senior Manager at Accenture where he held various positions including Technology Service Delivery Head for Asia Pacific. He also served as Assistant Vice President of the Information Management Division at RCBC Savings Bank. He held various executive positions such as Chief Information Technology Officer at Fiji National Provident Fund, and Senior Assistant Vice President - Infrastructure Management Group at Philippine National Bank, among others. He graduated from the Manuel L. Quezon University with a Bachelor of Science Degree in Computer Science.

06 RACHELLE C. BLANCH

Vice President and Head of Market Operations Division

Ms. Blanch, 43, is Vice President and Head of the Market Operations Division of the Company since July 2008. She was promoted to the rank of Assistant Vice President in 2008 and to Vice President in April 2011. She was the Head of the Applications Development Department of the former Information Technology Division before the Market Operations Division was created in 2008. She has been with the Exchange for 21 years.

Prior to joining PSE, Ms. Blanch was Project Implementor at the Computer Information System. She earned her ITIL 2011 Foundation Certificate in IT Service Management in 2015; ITIL Intermediate Certificate in IT Operational Support and Analysis in 2017, and IT Service Offerings and Agreements in 2018; and Prince2® Foundation Certificate in Project Management in 2017. Ms. Blanch finished her Master's degree in Business Administration at the Graduate School of Business, De La Salle University. She graduated from the University of the Philippines with a Bachelor of Science Degree in Mathematics.

07 VERONICA V. DEL ROSARIO

Assistant Vice President and General Counsel

Atty. Del Rosario, 37, is Assistant Vice President and General Counsel effective May 2016. She joined the Exchange in September 2010 as Legal Officer and later on appointed as the OIC of the Office of the General Counsel in 2015. Prior to joining the Exchange, she was the Head of the Legal Department and the Division Manager of the Administrative & General Services Department at the Aurora Special Economic Zone Authority. She served as Associate at Jones & Associates, New York. She also held positions such as Associate Lawyer at Mendoza Orozco & Bueno Law Offices in Olongapo City and as Junior Associate Lawyer at Ocampo & Manalo Law Firm in Makati City. Atty. Del Rosario earned her Bachelor of Laws and Bachelor of Science in Business Economics degrees at the University of the Philippines. She is a member of the Philippine Bar and New York Bar.

08 MARK FREDERICK V. VISDA

Concurrent OIC-Division Head, Corporate Planning and Research Department, Business Development Department, and Market Data Business Department

Mr. Visda, 36, was appointed Head of the Corporate Planning and Research Department in 2011 when he rejoined the PSE. Before this, he was a Research Analyst of the Exchange from 2006 to 2010. In between his work at the PSE, he had a stint as Senior Research Analyst for Global Business Development at Baker & McKenzie Global Services. He was also a Management Trainee at Entertainment Gateway Group Corp. Mr. Visda obtained his Economics degree from the Ateneo De Manila University. He completed his coursework for MA in Economics from the same university.

ELISA L. BENAVIDEZ

Officer-in-Charge, Controllershship & Treasury Division and Concurrent Head, Budget & Treasury Dept.

Ms. Benavidez, 57, a certified public accountant, has been with the Exchange for 15 years. Before joining the PSE in January 2003 as Treasury Department Head, she was the Vice President for Resource Management Group and Controllershship Group of Small Business Guarantee and Finance Corporation. She also worked at the Guarantee Fund for Small and Medium Enterprises as Manager of the Controllershship Department. Ms. Benavidez graduated from the University of the East with a Bachelor of Science degree in Business Administration.

Department Heads

FROM LEFT

ELIZA S. RODRIGUEZ

Head, Accounting Department

ZALDY RONIE P. ROCERO

Head, Network & Telecommunications Department

JO ANN G. BAUTISTA

Head, Administrative Services Department

JOSE ANTONIO S. VILAR

Head, Marketing Services Department and Officer-in-Charge, Market Education Department



FROM LEFT

MARVIN M. REFUERZO

Head, Trading Operations Department

MARTHA H. VINZONS

Head, Public & Investor Relations Department

SHERYL J. LOPEZ

Head, Broker Systems Support & Certification Department

REGINA GEORGIA R. CRISOSTOMO

Officer-in-Charge, Market Data Business Department



FROM LEFT

ROEL M. VILLANUEVA

Head, Market Control Department

ADONIS H. GILDORÉ

Head, Systems & Database Department

SHERYL V. PERILLO

Head, Trading Development Department

JANET A. ENCARNACION

Head, Disclosure Department

BEA CRISTINA C. REYES

Officer-in-Charge, Listings Department

JOSIELYN S. ARELLANO

Head, Materials Management & Procurement Service Department
(not in photo)







Stock Market Highlights

2018 Stock Market Performance

The benchmark index finished 2018 lower than the year-end close the prior year.

While several key economic indicators like inflation rate and interest rates rose, they remained manageable and allowed ample room for GDP growth to be sustained above the 6 percent level. The Philippine Statistics Authority reported the country's GDP growth for the full-year 2018 at 6.2 percent.

MAJOR LOCAL AND INTERNATIONAL HEADWINDS

The year 2018 proved to be challenging as the Philippines was not spared from the issues faced by emerging markets worldwide which, in turn, adversely affected investor confidence in the local market.

The year began with the effectivity of Republic Act. No. 10963, otherwise known as the Tax Reform for Acceleration and Inclusion (TRAIN), which lowered personal income taxes while imposing additional taxes on other commodities. Despite providing more disposable income to consumers, the tax reform also contributed to gradual price increases on daily necessities resulting to the notable rise in inflation this year to an average of 5.2 percent, almost two times the 2.9 percent average rate in 2017.

The situation was further aggravated by the impact to major commodity prices of several typhoons, most notably typhoon Ompong which struck in September and inflicted a total of Php18.80 billion in damages to public infrastructure and agriculture. The combination of new taxes and natural disasters culminated in the country's inflation rate reaching its peak at a nine-year high of 6.7 percent. Overall, the surge in inflation rate weighed heavily on the country's economic performance throughout the year.

To cushion the effects of high inflation, the Bangko Sentral ng Pilipinas (BSP) raised its benchmark interest rates five times during the year by a total of 175 basis points (bps) to end at 4.75 percent for 2018, and deferred any planned reductions to banks' reserve requirements.

Unprecedented external events likewise triggered volatilities across the globe. The most significant was US President Donald Trump's move to impose heavy tariffs on Chinese imports as retaliation for unfair trade practices. Both the US and China took retaliatory measures by escalating tariffs against each other, which has consequently resulted in a full-blown trade war.

Apart from the heightened geopolitical risks caused by the US-China trade war, persistent US interest rate hikes sparked more fears as the US Federal Reserve (US Fed) raised rates by 100 bps over four instances in 2018. Such occasions facilitated the rotation of foreign money away from emerging markets and back to developed economies.

As a result, the Philippine peso faltered against the US dollar closing at Php52.72 per US dollar on December 28, 5.6 percent weaker than its Php49.92 finish in 2017.

Commodity prices experienced varied movements in 2018. For the most part of the year, the price of oil trended upward as the benchmark WTI sweet light crude oil in the New York Mercantile Exchange peaked at US\$76.41 per barrel (bbl) in October, but eventually plummeted to US\$42.53 per bbl in December. On the other hand, gold prices tumbled to a low of US\$1,176.20 per troy ounce (t oz) in August due to a lower demand for the commodity product. The year ended with oil prices at US\$45.41 per bbl while gold price level was at US\$1,281.30 per t oz.

STRONG ECONOMIC PERFORMANCE EASES VOLATILITY

Despite the major headwinds experienced this year, the Philippines remains one of the fastest-growing emerging markets in the region brought by strong domestic consumption and investment, and ably supported by the government's robust expenditure and infrastructure development programs. Foreign currency reserves likewise remained sufficient at US\$78.46 billion.

In the latest Global Competitiveness Report of the World Economic Forum, the Philippines jumped by 12 notches taking the 56th spot out of 140 countries from the 2017 report where the country placed 68th out of 135 countries surveyed. Various international credit rating agencies likewise affirmed the positive investment grade status for the Philippines with a stable outlook. These developments reinforced the nation's great potential as a venue for investment and doing business.

STOCK MARKET RALLY TAKES A BREAK

After its record-high close in 2017, the benchmark index (PSEi) slipped to the 7,000-level in 2018 as it ended the year at 7,466.02 points, down by 12.8 percent or 1,092.40 points from the 8,558.42-finish in 2017. After ranking consistently at or near the top of the list for the past several years, the PSEi now found itself at the lower half among select Asian indices in terms of growth as it placed ninth out of 15, bettering the benchmark indices of Hong Kong, Japan, South Korea and China.

PSEi vs. SELECT ASIAN INDICES, 2018 vs. 2017

Table 3

RANK	COUNTRY	INDEX	END-2017	END-2018	YTD CHANGE
1	India	BSE Sensex	34,056.83	36,068.33	▲ 5.9%
2	India	NSE Nifty	10,530.70	10,862.55	▲ 3.2%
3	Indonesia	Jakarta Composite Index	6,355.65	6,194.50	▼ 2.5%
4	Malaysia	Kuala Lumpur Composite Index	1,796.81	1,690.58	▼ 5.9%
5	Taiwan	Taiex Index	10,642.86	9,727.41	▼ 8.6%
6	Vietnam	VN Index	984.24	892.54	▼ 9.3%
7	Singapore	Straits Times Index	3,402.92	3,068.76	▼ 9.8%
8	Thailand	SET Index	1,753.71	1,563.88	▼ 10.8%
9	Philippines	PSEi	8,558.42	7,466.02	▼ 12.8%
10	Hong Kong	Hang Seng Index	29,919.15	25,845.70	▼ 13.6%
11	Japan	Nikkei 225	22,764.94	19,520.69	▼ 14.3%
12	South Korea	KOSPI Index	2,467.49	2,041.04	▼ 17.3%
13	Japan	Topix Index	1,817.56	1,494.09	▼ 17.8%
14	China	Shanghai Composite Index	3,307.17	2,493.90	▼ 24.6%
15	China	Shenzhen Composite Index	1,899.34	1,267.87	▼ 33.2%

All six sector indices succumbed to the downtrend, posting year-on-year declines. The Mining and Oil sector incurred the biggest loss at 28.7 percent, followed by the Financials, Holding Firms, Services, Property and Industrial sector indices, which declined by 20.2 percent, 14.8 percent, 10.9 percent, 8.8 percent and 2.5 percent, respectively. The broader All Shares index shared a similar outcome as it decreased by 9.5 percent or 472.12 points to 4,517.85 points from 4,989.97 points at end-2017.

With a relatively lower market performance, the total value of shares listed in the PSE as of end-2018 declined by 8.2 percent to Php16.15 trillion from the Php17.58 trillion total market capitalization (MCAP) at the close of 2017. Domestic MCAP likewise registered a decrease of 6.5 percent to Php13.54 trillion from the Php14.49 trillion value of domestic shares the year earlier.

Market activity for 2018 was also sluggish as total value of shares traded in the Exchange narrowed by 11.3 percent to Php1.74 trillion from Php1.96 trillion in 2017. Average daily value turnover likewise reflected an 11.3 percent decline to an average of Php7.15 billion from the Php8.06 billion average daily value turnover the prior year.

Foreign investors were not spared from depressed market conditions as they pulled back investments in the local stock market. Net foreign transactions in 2018 were in selling territory at Php61.01 billion, a reversal from the Php56.20 billion net buying figure posted in 2017. Foreign transactions accounted for 51.3 percent of the total market trades in 2018, higher than the 50.3 percent share it cornered the previous year.

Despite the volatilities in the stock market, 21 companies turned to the stock market to raise funds and offer new shares to the public. The total amount raised in fresh capital reached Php187.84 billion in 2018, 14.0 percent more than the Php164.76 billion raised in 2017. Eight companies conducted stock rights offerings during the year, accounting for 87.0 percent or Php163.34 billion of the total capital raised. This was followed by private placements from 10 listed firms which raised an aggregate value of Php11.53 billion. Follow-on offerings, on the other hand, amounted to Php4.82 billion. With market conditions staying on the edge, companies seemed to put off going public in 2018, having only one new firm join the roster of listed companies in the PSE. D.M. Wenceslao & Associates, Incorporated raised Php8.15 billion on June 29 from the 679 million shares it offered to the public at Php12 apiece.

Annual Growth of Indices



PSEi
▼ 12.8%



All Shares
▼ 9.5%



Financials
▼ 20.2%



Industrial
▼ 2.5%



Holding Firms
▼ 14.8%



Property
▼ 8.8%



Services
▼ 10.9%



Mining & Oil
▼ 28.7%

Table 4

INDEX	2017	2018
PSEi	8,558.42	7,466.02
All Shares	4,989.97	4,517.85
Financials	2,230.17	1,779.85
Industrial	11,231.30	10,951.36
Holding Firms	8,616.51	7,341.81
Property	3,978.19	3,627.98
Services	1,619.84	1,442.71
Mining & Oil	11,502.58	8,200.50

Capital Raising Activities

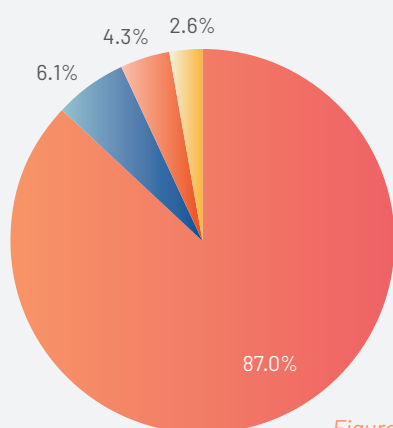


Table 5

	in PHP billion	% Share
Stock Rights Offerings	163.34	87.0%
Private Placements	11.53	6.1%
IPO (Primary Offerings)	8.15	4.3%
Follow-On (Primary Offerings)	4.82	2.6%
TOTAL	187.84	

Index Composition

AS OF 19 FEBRUARY 2018

Table 6

COMPANY	CODE	INDEX WEIGHT*
Ayala Corporation	AC	6.84%
Aboitiz Equity Ventures, Inc.	AEV	4.67%
Alliance Global Group, Inc.	AGI	1.12%
Ayala Land, Inc.	ALI	8.41%
Aboitiz Power Corporation	AP	1.34%
BDO Unibank, Inc.	BDO	7.39%
Bank of the Philippine Islands	BPI	5.77%
DMCI Holdings, Inc.	DMC	1.25%
First Gen Corporation	FGEN	0.46%
Globe Telecom, Inc.	GLO	1.28%
GT Capital Holdings, Inc.	GTCAP	2.71%
International Container Terminal Services, Inc.	ICT	2.76%
Jollibee Foods Corporation	JFC	3.20%
JG Summit Holdings, Inc.	JGS	5.37%
LT Group, Inc.	LTG	1.55%
Metropolitan Bank & Trust Company	MBT	3.75%
Megaworld Corporation	MEG	1.28%
Manila Electric Company	MER	1.88%
Metro Pacific Investments Corporation	MPI	1.93%
Petron Corporation	PCOR	0.51%
Puregold Price Club, Inc.	PGOLD	1.12%
Robinsons Land Corporation	RLC	0.99%
Robinsons Retail Holdings, Inc.	RRHI	1.20%
Semirara Mining and Power Corporation	SCC	0.95%
Security Bank Corporation	SECB	2.78%
SM Investments Corporation	SM	12.57%
San Miguel Corporation	SMC	1.25%
SM Prime Holdings, Inc.	SMPH	8.07%
PLDT Inc.	TEL	4.05%
Universal Robina Corporation	URC	3.57%

AS OF 20 AUGUST 2018

Table 7

COMPANY	CODE	INDEX WEIGHT*
Ayala Corporation	AC	7.15%
Aboitiz Equity Ventures, Inc.	AEV	3.88%
Alliance Global Group, Inc.	AGI	1.05%
Ayala Land, Inc.	ALI	8.92%
Aboitiz Power Corporation	AP	1.40%
BDO Unibank, Inc.	BDO	6.87%
Bank of the Philippine Islands	BPI	5.37%
DMCI Holdings, Inc.	DMC	1.13%
First Gen Corporation	FGEN	0.50%
Globe Telecom, Inc.	GLO	1.60%
GT Capital Holdings, Inc.	GTCAP	2.12%
International Container Terminal Services, Inc.	ICT	2.57%
Jollibee Foods Corporation	JFC	3.60%
JG Summit Holdings, Inc.	JGS	4.16%
LT Group, Inc.	LTG	1.37%
Metropolitan Bank & Trust Company	MBT	3.96%
Megaworld Corporation	MEG	1.47%
Manila Electric Company	MER	2.29%
Metro Pacific Investments Corporation	MPI	1.76%
Petron Corporation	PCOR	0.55%
Puregold Price Club, Inc.	PGOLD	1.13%
Robinsons Land Corporation	RLC	1.13%
Robinsons Retail Holdings, Inc.	RRHI	1.15%
Semirara Mining and Power Corporation	SCC	0.89%
Security Bank Corporation	SECB	2.44%
SM Investments Corporation	SM	13.43%
San Miguel Corporation	SMC	1.45%
SM Prime Holdings, Inc.	SMPH	8.92%
PLDT Inc.	TEL	4.17%
Universal Robina Corporation	URC	3.55%

*Weight on effectivity date of recomposition

Select PSE Market Indicators

Table 8

SELECT PSE MARKET INDICATORS	2016	2017	2018	2018 VS 2017 % CHANGE
PSE Index (PSEi), year-end close	6,840.64	8,558.42	7,466.02	▼ 12.8%
Total value traded (in billion Php)	1,929.50	1,958.36	1,736.82	▼ 11.3%
Average daily value traded (in billion Php)	7.81	8.06	7.15	▼ 11.3%
Foreign buying (in billion Php)	990.59	1,013.22	860.37	▼ 15.1%
Foreign selling (in billion Php)	987.78	957.02	921.38	▼ 3.7%
Net foreign buying/(selling)(in billion Php)	2.80	56.20	(61.01)	▼ 208.6%
Total foreign (in billion Php)	1,978.37	1,970.23	1,781.75	▲ 9.6%
Share of Foreign Trading to Total Trading (in %)	51.27	50.30	51.29	▲ 2.0%
Capital Raised (in billion Php)	176.80	164.76	187.84	▲ 14.0%
Initial Public Offerings (in billion Php)	28.92	22.53	8.15	▼ 63.8%
Additional Listings (in billion Php)	147.87	142.23	179.69	▲ 26.3%
Market capitalization, yearend (in billion Php)	14,438.77	17,583.12	16,146.69	▼ 8.2%
Domestic firms (in billion Php)	11,873.22	14,490.83	13,543.67	▼ 6.5%
Foreign firms (in billion Php)	2,565.56	3,092.29	2,603.02	▼ 15.8%
No. of Listed Companies, yearend	265	267	267	0.0%
Domestic	262	264	264	0.0%
Foreign	3	3	3	0.0%
No. of Listed Issues, yearend	318	323	322	▼ 0.3%
Domestic	315	318	317	▼ 0.3%
Foreign	3	5	5	0.0%
Total Market				
Dividend Yield	2.16	1.88	2.20	▲ 17.1%
Price-Earnings Ratio	16.28	17.95	16.88	▼ 5.9%

Domestic Market Capitalization & Value Traded

FIGURES IN BILLION PHP

DOMESTIC MARKET CAPITALIZATION

VALUE TRADED

Table 9

	2016	2017	2018	% change	% share	2016	2017	2018	% change	% share
FINANCIALS SECTOR	1,691.91	2,298.26	1,983.55	▼ 13.7%	14.6%	275.53	293.85	271.07	▼ 7.8%	15.6%
Banks	1,646.02	2,251.13	1,941.81	▼ 13.7%	14.3%	271.59	288.36	267.51	▼ 7.2%	15.4%
Other Financial Institutions	45.88	47.13	41.73	▼ 11.4%	0.3%	3.94	5.48	3.56	▼ 35.0%	0.2%
INDUSTRIAL SECTOR	2,518.11	2,704.12	2,851.46	▲ 5.4%	21.1%	401.98	487.11	355.19	▼ 27.1%	20.5%
Electricity, Energy, Power & Water	1,190.25	1,232.57	1,112.61	▼ 9.7%	8.2%	124.78	228.87	97.25	▼ 57.5%	5.6%
Food, Beverage & Tobacco	1,029.66	1,112.84	1,460.99	▲ 31.3%	10.8%	212.61	167.54	199.69	▲ 19.2%	11.5%
Construction, Infrastructure & Allied Services	227.32	242.73	191.20	▼ 21.2%	1.4%	43.37	59.30	37.77	▼ 36.3%	2.2%
Chemicals	23.06	26.64	24.62	▼ 7.6%	0.2%	1.61	3.49	0.48	▼ 86.3%	0.0%
Electrical Components & Equipment	45.91	87.43	60.12	▼ 31.2%	0.4%	18.82	27.91	20.01	▼ 28.3%	1.2%
Other Industrials	1.91	1.91	1.91	0.0%	0.01%	0.80	-	-	0.0%	0.0%
HOLDING FIRMS SECTOR	3,708.89	4,525.64	4,042.68	▼ 10.7%	29.8%	491.27	427.94	400.47	▼ 6.4%	23.1%
PROPERTY SECTOR	1,965.02	2,526.83	2,335.06	▼ 7.6%	17.2%	347.68	318.02	319.10	▲ 0.3%	18.4%
SERVICES SECTOR	1,614.85	2,050.85	2,048.06	▼ 0.1%	15.1%	330.14	349.97	332.91	▼ 4.9%	19.2%
Media	67.32	57.69	43.36	▼ 24.8%	0.3%	5.08	4.92	2.11	▼ 57.2%	0.1%
Telecommunications	507.08	583.82	506.75	▼ 13.2%	3.7%	133.74	88.62	58.08	▼ 34.5%	3.3%
Information Technology	32.10	34.11	38.73	▲ 13.5%	0.3%	21.98	12.37	63.44	▲ 412.7%	3.7%
Transportation Services	414.00	560.95	481.81	▼ 14.1%	3.6%	48.61	82.58	66.23	▼ 19.8%	3.8%
Hotel & Leisure	4.39	5.98	4.79	▼ 20.0%	0.04%	2.11	5.96	2.21	▼ 63.0%	0.1%
Education	38.29	44.92	33.78	▼ 24.8%	0.2%	1.99	5.42	1.64	▼ 69.7%	0.1%
Casinos & Gaming	224.42	310.05	294.26	▼ 5.1%	2.2%	38.80	61.82	65.63	▲ 6.2%	3.8%
Retail	295.82	416.29	406.90	▼ 2.3%	3.0%	72.17	84.62	64.68	▼ 23.6%	3.7%
Other Services	31.42	37.04	237.67	▲ 541.7%	1.8%	5.66	3.63	8.89	▲ 144.7%	0.5%
MINING & OIL SECTOR	357.43	364.47	271.56	▼ 25.5%	2.0%	65.18	72.03	50.85	▼ 29.4%	2.9%
Mining	344.84	345.74	239.78	▼ 30.6%	1.8%	57.99	61.01	29.67	▼ 51.4%	1.7%
Oil	12.58	18.74	31.78	▲ 69.6%	0.2%	7.19	11.02	21.18	▲ 92.1%	1.2%
SME	17.03	20.66	11.31	▼ 45.3%	0.1%	17.03	8.95	6.56	▼ 26.7%	0.4%
ETF	0.86	1.43	1.54	▲ 8.2%		0.69	0.50	0.67	▲ 33.7%	0.04%
TOTAL MARKET	11,873.22	14,490.83	13,543.67	▼ 6.5%	100.0%	1,929.50	1,958.36	1,736.82	▼ 11.3%	100.0%

Top 25 Price Gainers

Table 10

COMMON ISSUES

RANK	ISSUE	CODE	2017 CLOSE (IN PHP)	2018 CLOSE (IN PHP)	% CHANGE
1	Golden Bria Holdings, Inc.	HVN	22.00	325.00	1,377.27
2	Greenery Holdings Incorporated	GREEN	0.37	1.99	437.84
3	ISM Communications Corporation	ISM	1.40	6.03	330.71
4	ATN Holdings, Inc. "A"	ATN	0.41	1.42	246.34
5	ATN Holdings, Inc. "B"	ATNB	0.46	1.42	208.70
6	Philippine Infradev Holdings Inc.	IRC	0.74	2.25	204.05
7	Metro Alliance Holdings & Equities Corporation "A"	MAH	0.70	2.09	198.57
8	Synergy Grid & Development Phils., Inc.	SGP	180.00	536.00	197.78
9	Metro Alliance Holdings & Equities Corporation "B"	MAHB	0.84	2.27	170.24
10	Vulcan Industrial & Mining Corporation	VUL	0.78	1.60	105.13
11	AbaCore Capital Holdings, Inc.	ABA	0.31	0.61	96.77
12	Mabuhay Holdings Corporation	MHC	0.305	0.59	93.44
13	PXP Energy Corporation	PXP	7.96	15.20	90.95
14	Alliance Select Foods International, Inc.	FOOD	0.62	1.06	70.97
15	PHINMA Petroleum and Geothermal, Inc.	PPG	2.02	3.37	66.83
16	Transpacific Broadband Group International, Inc.	TBGI	0.27	0.44	62.96
17	San Miguel Food and Beverage, Inc.	FB	52.90	82.00	55.01
18	Filinvest Development Corporation	FDC	7.75	11.80	52.26
19	Wilcon Depot, Inc.	WLCON	8.28	12.60	52.17
20	Asiabest Group International Inc.	ABG	17.36	26.00	49.77
21	AgriNuture, Inc.	ANI	12.20	17.00	39.34
22	MRC Allied, Inc.	MRC	0.335	0.45	34.33
23	Wellex Industries, Inc.	WIN	0.184	0.247	34.24
24	SBS Philippines Corporation	SBS	5.60	7.50	33.93
25	Travellers International Hotel Group, Inc.	RWM	3.98	5.31	33.42

Top 25 Price Losers

Table 11

COMMON ISSUES

RANK	ISSUE	CODE	2017 CLOSE (IN PHP)	2018 CLOSE (IN PHP)	% CHANGE
1	Xurpas Inc.	X	5.57	1.72	(69.12)
2	Cemex Holdings Philippines, Inc.	CHP	4.88	1.90	(61.07)
3	Philweb Corporation	WEB	7.64	3.22	(57.85)
4	DoubleDragon Properties Corp.	DD	39.70	17.84	(55.06)
5	Macay Holdings, Inc.	MACAY	21.00	9.68	(53.90)
6	STI Education Systems Holdings, Inc.	STI	1.63	0.79	(51.53)
7	Philex Mining Corporation	PX	6.06	3.09	(49.01)
8	Atlas Consolidated Mining and Development Corporation	AT	5.00	2.56	(48.80)
9	Holcim Philippines, Inc.	HLCM	10.78	5.80	(46.20)
10	Max's Group, Inc.	MAXS	18.60	10.26	(44.84)
11	Rizal Commercial Banking Corporation	RCB	51.58	28.50	(44.74)
12	East West Banking Corporation	EW	21.30	11.90	(44.13)
13	BDO Leasing and Finance, Inc.	BLFI	3.82	2.19	(42.67)
14	ABS-CBN Corporation	ABS	34.60	20.00	(42.20)
15	Del Monte Pacific Limited	DELM	10.92	6.38	(41.58)
16	Concepcion Industrial Corporation	CIC	63.20	37.00	(41.46)
17	Premium Leisure Corp.	PLC	1.35	0.80	(40.74)
18	Belle Corporation	BEL	3.88	2.31	(40.46)
19	Integrated Micro-Electronics, Inc.	IMI	17.73	10.60	(40.20)
20	PetroEnergy Resources Corporation	PERC	5.74	3.50	(39.06)
21	Starmalls, Inc.	STR	8.81	5.40	(38.71)
22	Security Bank Corporation	SECB	251.40	155.00	(38.35)
23	Primex Corporation	PRMX	5.72	3.54	(38.11)
24	Pepsi-Cola Products Philippines, Inc.	PIP	2.15	1.34	(37.67)
25	Nickel Asia Corporation	NIKL	3.52	2.20	(37.44)

Top 25 Companies by Market Capitalization

Table 12

RANK	COMPANY NAME	CODE	MARKET CAPITALIZATION (IN PHP)
1	Manulife Financial Corporation	MFC	1,489,522,363,500.00
2	SM Investments Corporation	SM	1,105,204,780,472.50
3	Sun Life Financial Inc.	SLF	1,081,678,642,200.00
4	SM Prime Holdings, Inc.	SMPH	1,033,876,494,645.20
5	Ayala Land, Inc.	ALI	598,236,171,888.60
6	BDO Unibank, Inc.	BDO	572,114,349,151.20
7	Ayala Corporation	AC	568,147,797,000.00
8	San Miguel Food and Beverage, Inc.	FB	484,556,047,380.00
9	Manila Electric Company	MER	428,297,507,900.00
10	Bank of the Philippine Islands	BPI	423,230,253,094.00
11	JG Summit Holdings, Inc.	JGS	398,970,280,294.90
12	San Miguel Corporation	SMC	349,643,171,766.00
13	Metropolitan Bank & Trust Company	MBT	322,182,217,164.20
14	Jollibee Foods Corporation	JFC	317,489,103,515.80
15	Aboitiz Equity Ventures, Inc.	AEV	309,803,590,635.00
16	Universal Robina Corporation	URC	279,928,557,236.00
17	Aboitiz Power Corporation	AP	258,287,011,175.70
18	Globe Telecom, Inc.	GLO	252,801,171,200.00
19	PLDT Inc.	TEL	243,062,746,875.00
20	Golden Bria Holdings, Inc.	HVN	209,338,235,925.00
21	International Container Terminal Services, Inc.	ICT	201,100,193,100.00
22	GT Capital Holdings, Inc.	GTCAP	194,354,144,400.00
23	LT Group, Inc.	LTG	179,635,055,557.40
24	DMCI Holdings, Inc.	DMC	169,686,066,600.00
25	Megaworld Corporation	MEG	153,137,367,892.00

Top 25 Companies by Value Traded

Table 13

RANK	COMPANY NAME	CODE	VALUE TRADED (REGULAR MARKET, IN PHP)
1	Ayala Land, Inc.	ALI	112,141,116,845
2	SM Prime Holdings, Inc.	SMPH	83,259,654,425
3	Metropolitan Bank & Trust Company	MBT	78,088,679,038
4	BDO Unibank, Inc.	BDO	77,591,283,632
5	SM Investments Corporation	SM	72,543,608,298
6	Ayala Corporation	AC	69,253,999,103
7	Jollibee Foods Corporation	JFC	50,260,233,700
8	Bank of the Philippine Islands	BPI	47,018,599,239
9	Universal Robina Corporation	URC	40,438,367,117
10	International Container Terminal Services, Inc.	ICT	34,858,465,447
11	Metro Pacific Investments Corporation	MPI	34,614,109,411
12	Now Corporation	NOW	34,253,345,142
13	PLDT Inc.	TEL	31,781,839,330
14	JG Summit Holdings, Inc.	JGS	30,945,602,567
15	GT Capital Holdings, Inc.	GTCAP	30,269,255,743
16	Security Bank Corporation	SECB	29,830,155,331
17	Bloomerry Resorts Corporation	BLOOM	29,148,859,683
18	Alliance Global Group, Inc.	AGI	24,362,469,530
19	Globe Telecom, Inc.	GLO	24,265,529,935
20	Manila Electric Company	MER	24,257,078,052
21	Aboitiz Equity Ventures, Inc.	AEV	23,952,846,863
22	Megaworld Corporation	MEG	21,967,799,137
23	PXP Energy Corporation	PXP	20,573,536,420
24	MRC Allied, Inc.	MRC	18,315,819,640
25	Puregold Price Club, Inc.	PGOLD	17,106,743,915





Operational Highlights

Accelerating Product Offerings and Technological Developments

SHORT SELLING

On June 5, the SEC approved the PSE short selling guidelines for the stock market. The PSE Guidelines for Short Selling Transactions (Short Selling Guidelines) were subsequently published on June 22.



PSE holds a product forum on Securities Borrowing and Lending (SBL) and Short Selling.

Short selling is any sale of a security that will be settled by the delivery of borrowed securities. It is available and integral in many markets across the globe, including ASEAN, as it continues to be utilized by a wide array of investors for risk management and hedging purposes. Likewise, short selling promotes better price discovery by allowing investors to have both long and short views of the market. Locally, a short selling facility is expected to play a significant role in developing a robust securities lending environment, generating more trading activity in the market, and unlocking more products.

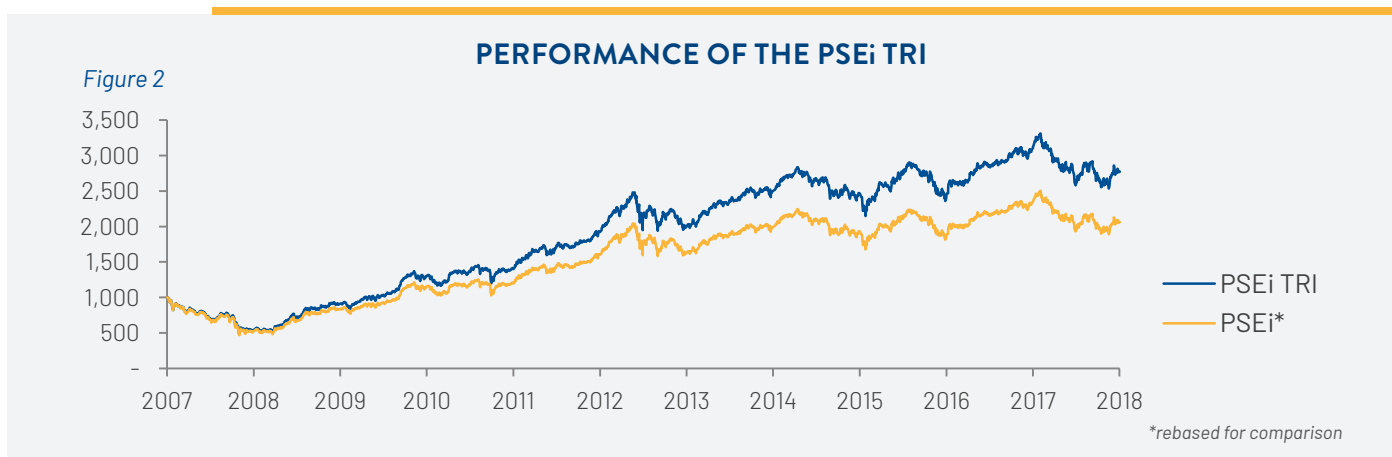
Since short selling is a new concept introduced to the market, the PSE Short Selling Guidelines were crafted with the goal of ensuring that short selling transactions are transparent and monitored effectively. The Short Selling Guidelines include provisions on eligible securities, threshold for short interest ratio, and procedures for the execution of short selling orders, among others.

In the case of eligible securities, members of the PSE index (PSEi) and exchange traded funds are the only securities considered as eligible for short selling transactions. For any eligible security, the short interest ratio is a maximum of 10 percent of its outstanding shares. The limit acts as a safeguard for the orderly conduct of short selling activities, while still providing ample room for price discovery.

Meanwhile, in executing short selling orders, trading participants (TPs) will have to ensure that the client has entered into the necessary securities borrowing and lending (SBL) arrangements prior to entering a short selling order since the rules of the Exchange prohibit naked short selling. Such arrangements must adhere to existing SEC, Bureau of Internal Revenue, and PSE regulations governing SBL.

The PSE is working towards the full implementation of the Short Selling Guidelines by 2019 and is in the process of ensuring participant, systems, and regulatory readiness.

TOTAL RETURN INDEX



The PSEi total return index (TRI) measures the performance of PSEi components while incorporating the cash dividends received from constituent companies back into the index. This provides investors another way of viewing index returns as cash dividends are reinvested back into the index.

The PSEi TRI has the same constituents as the PSEi and integrates regular and special cash dividends of index components on ex-date. If there are changes in the composition of the PSEi, the same will be reflected in the PSEi TRI.

To calculate the PSEi TRI, the Exchange used 1,000 as base value with December 28, 2007 as base year. The PSEi TRI closed at 2,771.01 on December 28, 2018.

In February 2019, the Exchange started displaying the PSEi TRI value on its website.

SECTOR CLASSIFICATION PROJECT

The PSE initiated work on adopting a new sector classification system for listed companies to replace its existing structure that has been in place since 2006. This project will assign listed companies to their best-fit sectors and subsectors, effectively helping investors better understand these companies' businesses. This will also expand the current classification of companies into more globally-aligned standards.

A key change to the sector classification system is the increase in number of sectors to eight (8) from six (6) and the subsectors to 28 from 21. The number is expanded as some sectors and subsectors will be dissolved or renamed, and new ones will be created.

The PSE will make the necessary announcements prior to the implementation of the new sector classification system in 2019.

INDEX FUTURES PRODUCT DEVELOPMENT

The PSE and Singapore Exchange (SGX) signed a Memorandum of Understanding (MOU) to continue their collaboration in developing locally-listed financial derivative products and making them available to investors.

The MOU is an extension of the previous agreement signed by both exchanges in 2013 that facilitated the listing of the SGX-PSE MSCI Philippines index futures product in SGX.

SGX experts are scheduled to conduct knowledge sharing sessions on financial derivatives to the PSE and its regulators, including topics on impact to the current equity market/exchange, success and risk factors, futures market structure, stakeholders, government regulations and operational guidelines.

The Exchange plans to work closely with SEC and various market participants in crafting the rules to ensure the adaptability and success of the first peso-denominated index futures product in the Philippines. In 2019, the project will focus on coming up with regulations to govern the listing and trading of derivatives in PSE.

DOLLAR DENOMINATED SECURITIES ELIGIBLE BROKERS

In 2018, three new trading participants completed the requirements and showed operational readiness to qualify as Eligible Brokers to trade Dollar Denominated Securities (DDS). The additional Eligible Brokers include Abacus Securities Corporation, BDO Nomura Securities, and China Bank Securities Corporation.

At the end of 2018, the PSE had a total of 19 Eligible Brokers.

The PSE launched DDS in 2017. In the same year, there were three DDS capital raising activities.

NEW IT SUBSIDIARY

The PSE studied the feasibility of having an information technology (IT) subsidiary to address the company's needs to develop cutting edge trading solutions and to explore opportunities in the financial technology space.

In January 2019, the Board approved the incorporation of an IT services company engaged mainly in software applications development. Once incorporated, the said company will have an authorized capital of Php100 million.

The new subsidiary's initial activities will include applications development for a front-end trading platform and a revamp of the PSE website.

PSETRADEX MOBILE APPLICATION

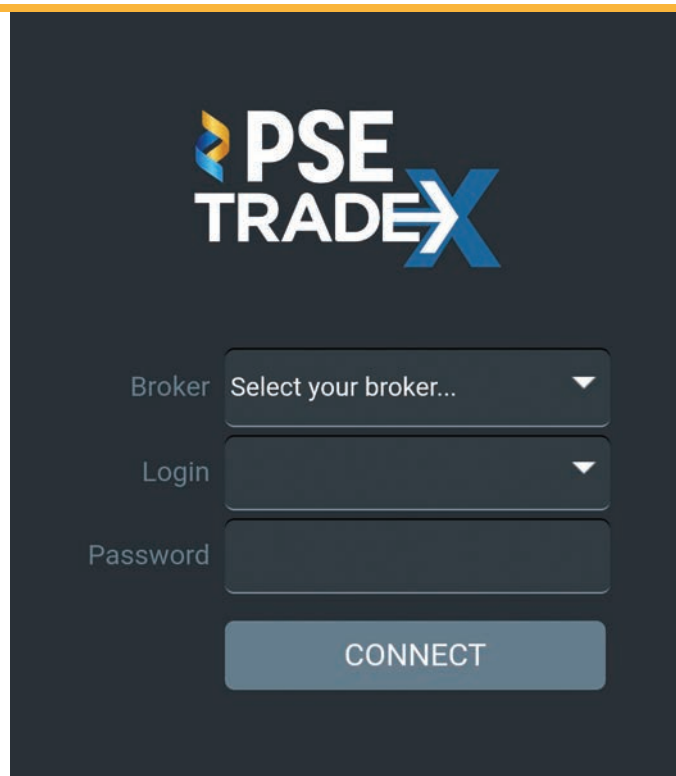
As part of its continuing service to its PSETradedex subscribers, PSE rolled out a mobile application for trading and viewing of market data. The application is available on both App Store and Google Play Store for free.

The application features a watch list tab which allows the users to view real time market indicators and share price performance of securities, including stocks under the user's portfolio. The application also has a securities/indices information section that shows intraday, monthly, and yearly views of a stock's performance, bid-ask price and quantity, and link to the latest available disclosures among others.

A helpful tool for investors is the notifications function of the application. It notifies the user of matched, partially matched, and cancelled orders. It also has a price alert when a target buying or selling price is breached.

Meantime, the web version of PSETradedex also has new and improved features. PSETradedex online is browser responsive and has K, M, B shortcuts for easy encoding of orders by thousand, million, or billion. It can also create and save multiple charts of different securities and store the user's trade execution history.

As of 2018, there are 15 TPs who are subscribed to PSETradedex. These TPs use the PSETradedex platform to offer online trading services to their clients.



Log-in page for the new PSETradedex mobile application

WEBSITE RESKINNING



Following the change in PSE's logo, the company embarked on a website reskinning project to feature the new logo and incorporate its color scheme on the website design. Moving forward, PSE will also be doing a website revamp to come up with a better-designed, more user-friendly site.

TRADING SYSTEM AVAILABILITY

PSE's trading platform, PSEtrade XTS, achieved 99.96 percent system availability in 2018. The system encountered a 45-minute downtime on December 3 due to a telecommunication line issue.

PSE ELECTRONIC ALLOCATION SYSTEM

Another technology enhancement developed by the PSE involves its LSI program. In 2018, the Exchange started developing a web-based application that will enable initial public offering (IPO) stakeholders to fulfill their LSI involvement online.

Aptly called PSE EASy, the system enables investors to submit all LSI requirements online. This eliminates the need for investors to personally bring their subscription form and other requirements to receiving centers. This will also allow investors based in key cities and provinces all over the country, who may not have easy access to LSI receiving centers, to participate in the LSI program of an IPO.

Aside from the web-based application, the PSE will also be introducing a mobile application of PSE EASy which will be available to iOS and Android users by 2019.

The PSE EASy platform will also make things easier for IPO underwriters and the TPs. The underwriters will have access to a dashboard that gives real-time updates on the LSI applications submitted through the system and daily updates on the LSI payments. This allows the underwriter to gauge the demand of retail investors for a particular IPO. The TPs are also provided a dashboard to monitor their clients with LSI applications as well as their corresponding payments.



Connecting with Stakeholders

27TH ASEAN EXCHANGES CEOS MEETING

The PSE hosted the 27th ASEAN Exchanges CEOs Meeting on March 7 to 9, which marked the 7th year of collaboration among ASEAN Exchanges.



PSE welcomes CEOs and other exchange leaders during the 27th ASEAN Exchanges CEOs meeting in March.

Present during the three-day event were delegations from member exchanges including Bursa Malaysia, Hanoi Stock Exchange, Ho Chi Minh Stock Exchange, Indonesia Stock Exchange, Stock Exchange of Thailand, and Singapore Exchange. Representatives from Cambodia Securities Exchange, Lao Securities Exchange, and Yangon Stock Exchange were likewise present during the CEOs meetings.

The SEC also participated in the event, being one of the speakers during the Business Working Group meetings. The SEC provided updates and insights on the ASEAN Capital Markets Forum.

The discussions of the ASEAN Exchanges revolved around promoting ASEAN as an asset class through a roadshow and an enhanced ASEAN website. The roadshow, planned to be held in Asia, will showcase the growth opportunities of the ASEAN asset class. On the other hand, the ASEAN Exchanges website will be enhanced to provide more information on the listed companies of each of the seven ASEAN Exchanges.

The ASEAN Exchanges also established a Regulatory Working Group tasked to seek mutual collaboration on the rules and regulations for products to be listed cross-border among the ASEAN Exchanges. With these new initiatives, a stronger collaboration is expected among ASEAN Exchanges, especially with the launch of ASEAN-centric products.



*PSE, SCCP and CMIC representatives visit Shenzhen Stock Exchange in November.
Photo courtesy of Shenzhen Stock Exchange*

In November, representatives of PSE, SCCP, and CMIC went to the Shenzhen Stock Exchange in The People's Republic of China. The visit provided the delegation an opportunity to learn more about SZSE's listing and disclosure regulations, market services and connectivity, market data products, and trading, surveillance, and clearing and depository systems.

In December 2017, representatives of SZSE visited the PSE to explore potential partnerships and areas for cooperation between the two exchanges.

PSE and SZSE signed a memorandum of understanding in 2009 to undertake sharing of information on various market-related matters.

LISTING ANNIVERSARY CELEBRATIONS

The PSE organizes listing anniversary celebrations to mark the 10th, 25th, 50th listing anniversaries and in increments of 25 years thereafter of listed companies. By commemorating this milestone event, the Exchange recognizes listed companies for choosing to remain a publicly listed company by adhering to the rules and regulations of the PSE.

For 2018, PSE celebrated the listing anniversaries of seven (7) companies. Pepsi-Cola Products Philippines, Inc. had its 10th listing anniversary while Alsons Consolidated Resources, Inc., Vantage Equities, Inc., EasyCall Communication Phils., Inc., Jollibee Foods Corporation, JG Summit Holdings, Inc., and Lopez Holdings Corporation were feted for their silver listing anniversaries.



PSE fetes JG Summit Holdings, Inc. on its silver listing anniversary.



PSE marks the 25th listing anniversary of Jollibee Foods Corporation with a bell ringing ceremony.

LISTING SEMINARS

The PSE hosts listing seminars and participates in events that encourage companies to go public by raising capital through the stock market.

In August, the PSE hosted a listing forum for companies based in Central Luzon. Co-organized with the Philippine Chamber of Commerce and Industry (PCCI), the event dubbed as Empowering Local Businesses through Listing, featured speakers like Eagle Cement Corporation President John Paul L. Ang, COL Financial Research Head April Lee Tan, and First Metro Investment Corporation Equity Capital Markets and Corporate Finance & Advisory Division Head Abigail Buenviaje-Magpayo.

The PSE also participated in IPO forums conducted by P&A Grant Thornton entitled "From Start-up to Step-up: A Guide to Initial Public Offering for SMEs" held in Cebu and Davao.

Through these listing seminars, the PSE creates awareness among potential listing applicants on the benefits of going public and the requirements and processes involved in listing.

IPO HAND-HOLDING PROGRAM

Another initiative of the PSE to assist potential listing applicants is its IPO Hand-Holding Program, which guides a company through the listing process by apprising them about the listing requirements and processes. The team handling the program schedules follow up meetings with the potential IPO candidates to determine their level of readiness and gauge their interest to pursue their journey towards becoming a publicly listed company.

In 2018, PSE conducted 25 meetings with 21 potential issuers, including 12 that are already part of the program as well as eight (8) new companies.

FREE INVESTMENT LITERACY ROADSHOWS



Panelists from the PSE, SEC, and a TP address the 1,215 participants of the Cebu Roadshow in September.

The PSE visited Cagayan de Oro (CDO) City and Cebu City in 2018 to hold two of its biggest investor education events to date. Both roadshows set the record of having the highest number of attendees, broker participation, and trading accounts opened on the same day.

The roadshow in CDO which was held on May 19 and in Cebu held on September 1 recorded 1,272 and 1,215 participants, respectively. Both events featured a Broker Expo allowing attendees to open trading accounts onsite, inquire on their online services, and enjoy interactive games prepared by eight (8) participating brokers. A total of 764 trading accounts were opened in both events or a 31 percent conversion rate.

The free learning sessions covered the basics of stock market investing, protection of investor rights and interests, Shari'ah-compliant companies, technical analysis, Philippine economic outlook, and initial coin offerings. Serving as panelists were industry practitioners from the SEC, Capital Markets Integrity Corporation, TPs, and PSE.

PRODUCT FORUM

The PSE held three (3) product forums during the year, two of which focused on short selling and SBL while one tackled wealth management in the digital age. The short selling sessions had close to 500 participants from government agencies, investment houses, and other market participants.

FREE STOCK MARKET SEMINAR

Aside from peer exchanges and listed companies, another important Exchange stakeholder are investors. To encourage more Filipinos to invest in the stock market and to teach them the basics of stock investing, the PSE hosts a free seminar every Tuesday and last Saturday of the month. Held in the PSE Tower in BGC, the 2018 seminars drew 4,688 attendees, a 60 percent increase from its 2017 seminar participants.

PSE's Cebu office holds the same learning session every Tuesday. For the year, 2,783 individuals attended the seminar held at the Exchange's satellite office.

The PSE also conducted 38 free seminars and stock market orientations for various schools, companies, and organizations in 2018 reaching out to a total of 2,342 students and professionals. Among these were Financial Times, Transnational Diversified Group, Yondu, Inc., FINEX Research and Development Foundation, Inc., Filipino Chamber of Commerce of Hawaii, and Young Presidents Organization.

Some of the visiting groups came from as far as University of St. La Salle-Bacolod, Caraga State University-Agusan del Norte, University of Immaculate Conception-Davao, Eastern Visayas State University, University of Negros Occidental, Sibugay Technical Institute-Zamboanga Sibugay, and Notre Dame of Marbel University-South Cotabato.

WEBINAR SERIES

The PSE conducted 12 webinars in 2018, which were attended by over 4,000 online participants from all over the world. The online seminars, which featured speakers from the Exchange, SEC, and stockbrokerage firms, tackled topics such as Exchange-Traded and Mutual Funds, and Technical and Fundamental Analysis, Short Selling, Investment Schemes and Scams, Philippine Economic Outlook, Investing in Dividend-Paying Stocks, and Clearing and Settlement Process, Anatomy of Initial Public Offerings, and Initial Coin Offerings.

A recorded version of the webinar is made available to the public through PSE's official Youtube channel: The Philippine Stock Exchange, Inc.

NEW CERTIFIED SECURITIES SPECIALISTS

Aside from seminars and webinars, the PSE has a more extensive learning course about the capital markets. The Certified Securities Specialist Course (CSSC) is a 124-hour certification that was developed by the Exchange. The course is offered through its partner schools.

In 2018, PSE-De La Salle-College of Saint Benilde School for Professional and Continuing Education (DLS-CSB SPaCE) had its second run of the CSSC program. Fourteen successful participants were conferred the title "Certified Securities Specialist" after the program.

Aside from DLS-CSB SPaCE, PSE's other partner institutions for the CSSC include the Ateneo Center for Continuing Education, iACADEMY School of Continuing Education, UP Development Center for Finance, UST Center for Continuing Professional Education and Development, and University of San Carlos School of Business and Economics-Center for Entrepreneurship and Lifelong Learning.

PSE BULL RUN: FIT TO INVEST



PSE President and CEO Ramon S. Monzon and other Exchange officials kick off the 2018 PSE Bull Run.

The 2018 edition of the PSE Bull Run was held on January 14 and attracted over 3,000 running enthusiasts. The event featured four competitive divisions—5K, 10K, 21K, and 25K.

Tagged as "FIT TO INVEST", the annual fun running event of the Exchange aims to advocate physical fitness alongside financial fitness.



PSE President and CEO Ramon S. Monzon, together with DLS-CSB SPaCE Director and Vice-Chancellor for Administration David Terence Tiu, leads the commencement exercise of CSB's 2nd CSSC run.

PSE'S ONLINE COMMUNITY



The PSE maintains social media accounts to keep investors and the general public updated with Exchange activities and provide them with stock market information and data.

PSE's number of online fans on Facebook breached the 200,000-mark to reach 230,708 by the end of December. Its Twitter account had close to 55,000 followers. Aside from Philippine-based netizens, information disseminated through the online platforms engaged fans and followers living in Australia, Canada, Hong Kong, Japan, Qatar, Russia, Saudi Arabia, Singapore, Taiwan, United Arab Emirates, United Kingdom, and the United States of America.



Advocating Good Corporate Governance

BROKER OWNERSHIP RESTRICTION

The PSE adopted measures to comply with Section 33.2(c) of the Securities Regulation Code, which requires that no industry or business group may beneficially own or control, directly or indirectly, more than 20 percent of voting right in the PSE.

Among the measures in place are real-time broker ownership monitoring through the trading system, updating of customer account information form of clients of stockbrokerage firms, submission of a monthly certification of TPs related person accounts with corresponding PSE shareholdings, and amending the PSE Rules Governing Trading Rights and Trading Participants.

The PSE configured its trading system to automatically prevent the posting of a buy order for PSE shares from accounts that will push it over the 20 percent threshold, or if it is still below 20 percent but the matching of the buy order will cause broker industry ownership to breach the 20 percent level. The PSE also requires stockbrokerage firms to update their Customer Account Information Form to disclose the relationship of clients to other trading participants, i.e., the directors, officers and principal stockholders of other broker dealers.

As prescribed by the Securities and Exchange Commission Rules Governing the Trading of PSE Shares, the accounts to be monitored include the accounts of related persons of broker dealers which include their subsidiaries and affiliates, directors, officers, principal stockholders, and nominees to the PSE and the spouses and relatives of the foregoing up to the fourth civil degree of consanguinity or affinity. Aside from these accounts, PSE is also monitoring the proprietary accounts of TPs.

The Exchange also proposed amendments to the PSE Rules Governing Trading Rights and Trading Participants to enjoin TPs to abide by the SEC Rules Governing Trading of PSE shares. The rule also provides penalties of Php100,000.00, Php200,000.00, and Php300,000.00 plus suspension of trading operations for at least five consecutive trading days for the first, second, and third and subsequent offense respectively.

BELL RINGING FOR GENDER EQUALITY



PSE joins the global Ring the Bell for Gender Equality initiative.

The PSE was among 65 bourses worldwide that participated in the 2018 Ring the Bell for Gender Equality to mark International Women's Day. This was the second year that the PSE participated in this global initiative to promote gender equality. The organizers of the activity include the International Finance Corporation, Sustainable Stock Exchanges Initiative, UN Entity for Gender Equality, UN Global Compact, Women in ETFs, and the World Federation of Exchanges.

5TH SEC - PSE CORPORATE GOVERNANCE FORUM

The 5th SEC-PSE Corporate Governance Forum was held on October 23 at the Philippine International Convention Center. The forum entitled "Ushering in the Era of Sustainability and Sustainable Business" was aimed at creating awareness among Philippine corporations on the value added by embracing sustainability in their businesses and its corresponding impact to business and economic growth. Discussions covered topics on Sustainable Companies and Contributing to Sustainable Development Goals, Raising Funds through Green Bond and Equity Markets, Environmental Social Risk Management and the Sustainability Reporting Guidelines and Template for Publicly-Listed Companies.

BUSINESS CONTINUITY MANAGEMENT

The PSE identified a new location for its Disaster Recovery (DR) Data Center. This required the connection of the Exchange's trading and SCCP's clearing and settlement systems to the new DR site. All 131 active TPs also established connection to the DR site.

The DR site is a significant business continuity measure as it will operate in the event that a major system failure, attack or disaster in the Exchange's primary data center and its trading floor occurs.

Securities Clearing Corporation of the Philippines



JOSE T. PARDO
Chairman



RAMON S. MONZON
President and CEO



WILLIAM L. ANG
Director



EMMANUEL O. BAUTISTA
Director



ANABELLE L. CHUA
Director



FRANCIS CHUA
Director



WINSTON F. GARCIA
Director



EDDIE T. GOBING
Director



AMOR C. ILISCUPIDEZ
Director



EDGARDO G. LACSON
Director



ALEJANDRO T. YU
Director



OMELITA J. TIANGCO
Treasurer



RENEE D. RUBIO
Chief Operating Officer



AISSA V. ENCARNACION
Corporate Secretary

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary of the Philippine Stock Exchange, Inc. (PSE) and is under the regulatory supervision of the Securities and Exchange Commission (SEC). It was established primarily as the clearing and settlement agency for equities trades transacted through the facilities of the Exchange, and acts as a Central Counterparty to trades executed through the Exchange. SCCP is authorized by the SEC to charge fees and impose fines and penalties and other sanctions as approved by the SCCP Board of Directors to ensure compliance of its Clearing Members with its Rules.

The Corporation moved to its new premises at the 6TH Floor, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City on February 19, 2018.

FINANCIAL PERFORMANCE

SCCP ended the year with net income of Php217.19 million, lower than the net income of Php254.56 million in 2017. Total value turnover for the year 2018 was down to Php1.74 trillion from Php1.96 trillion in 2017, with an average trading turnover of Php7.15 billion a day, which was lower than the average daily turnover value of Php8.06 billion in 2017.

With the Corporation's positive performance, the SCCP Board of Directors approved the declaration of cash dividends totaling Php200.00 million to stockholders during its special meeting held on December 12 and paid the same on January 18, 2019.

CLEARING AND SETTLEMENT OPERATIONS

Clearing Members faithfully complied with the 12:00 noon on T+3 settlement deadline, achieving a compliance rate of 99.99 percent and 99.96 percent for the delivery of their securities and cash obligations, respectively during the year. There was no overnight settlement default during the year 2018; thus, the Corporation did not need to avail of its credit facilities with its settlement banks.

On the average, SCCP was able to release the entitlements of the Clearing Members during the year at 12:37 p.m. This enabled the Clearing Members to release the cash and securities entitlements to their investor clients at a reasonably early time.

NEW CLEARING AND SETTLEMENT SYSTEM

After being put on hold a number of times to give way to other major priorities such as the implementation by the Exchange of a new trading system and the planned acquisition by the Exchange of the Philippine Dealing System Holdings Corp. (PDS Group), the acquisition by SCCP of a new clearing and settlement system is nearly coming to fruition. On October 5, 9 and 11, the Steering Committee conducted commercial negotiations with three foreign solution providers. However, the final selection of the winning vendor was postponed to give way to the request of the Steering Committee for the Project Team to conduct additional interviews with some of the existing clients of the three vendors to obtain feedback regarding their overall experience in dealing with these vendors.

The shortlist was further trimmed down by the SCCP Board to two solution providers during its meeting held on February 20, 2019. The winning vendor is expected to be decided upon by the Clearing and Settlement (C&S) Steering Committee and will be endorsed to the SCCP Board for approval in the first half of 2019.

The acquisition of a new clearing and settlement system is necessary to replace the 15 year-old system currently in use. Some of the salient features of the new clearing and settlement system include, among others, multi-asset class and multi-currency capabilities, support for various settlement cycles and settlement models, and central lending agency functions for securities borrowing and lending, and capability to settle more than one day's trades on the same day.

The implementation of the new C&S system will entail a major revision and enhancement of the Corporation's Rules and Operating Procedures which will in turn require SCCP Board approval, public consultation and SEC approval.

SCCP will conduct market briefings and hands-on training sessions as well as a series of market rehearsals to ensure that all its clearing members have gained familiarity with the features of the new C&S system as well as its functionalities. There will be meetings with the SEC, clearing members, the securities depository, settlement banks and back-office vendors, etc. The new clearing and settlement system is expected to be launched in late 2020 or early 2021.

RETURN OF CONTRIBUTIONS TO THE CLEARING AND TRADE GUARANTY FUND

During its meeting held on March 13, the SEC resolved to approve the SCCP's proposed amendments to SCCP Rule 5.2 and Operating Procedure 4.3.1.3, making clearing members' contributions to the Clearing and Trade Guaranty Fund (CTGF) refundable. Specifically, the Clearing Member's contributions to the CTGF are refundable as trade-related assets upon cessation of business of the Clearing Member and/or upon termination of their membership with SCCP, provided that all liabilities of such Clearing Member owing to the SCCP at the time of termination, whether actual or contingent, shall have been satisfied or paid in full, and shall take into account any pending and previous applications of the Clearing Fund at the time of such termination. The return of contributions shall be made after a reasonable processing time. This applies only to all current and actively operating PSE Trading Participants/Clearing Members of the SCCP at the time of the effectivity of the amendments, which was on August 1.

The move to refund Clearing Members' contributions upon cessation of business operations was initiated by SCCP to align itself with the same practice of most clearinghouses overseas.

ANNUAL REVIEW OF SETTLEMENT BANKS

The 2018 annual credit review by the Corporation of its Settlement Banks showed that its financial partners continue to demonstrate their creditworthiness, stability, liquidity, capital adequacy, profitability, risk management consciousness and operating efficiency as shown by their performance indicators.

ADDITIONAL SETTLEMENT BANK

The SCCP Board of Directors, in its regular meeting held on July 18, approved the application of East West Banking Corporation to undergo the accreditation process in order to join the roster of Settlement Banks of SCCP. The existing Settlement Banks of SCCP are Asia United Bank, BDO Unibank, Inc., China Banking Corporation, Citibank, N.A., Deutsche Bank, Hongkong and Shanghai Banking Corporation, Maybank Philippines, Inc., Metropolitan Bank and Trust Company, Rizal Commercial Banking Corporation and Union Bank of the Philippines.

COMPLIANCE WITH DATA PRIVACY AND PROTECTION LAWS AND REGULATIONS

SCCP is a personal information controller under the Data Privacy Act of 2012 (DPA). As such, it has taken steps to comply with the provisions of the DPA, including the adoption of Privacy Management Program, appointment of a Data Protection Officer (DPO), and registration of DPO with the National Privacy Commission on September 6, 2017, in compliance with the NPC's Phase 1 registration requirement. Under the direction of the DPO, SCCP's Privacy Impact Assessment (PIA) was conducted. Since the PIA is critical to the Phase 2 NPC Registration, all departments of SCCP were required to complete the PIA template. After the review and analysis of the departments' PIA templates, the data processing systems of SCCP were identified and subsequently registered with the NPC on March 7, in compliance with NPC's Phase 2 registration requirement.

BUSINESS CONTINUITY AND DISASTER RECOVERY PLAN

In compliance with Rule 42.1.1.32 of the 2015 SRC IRR, which requires SCCP to subject its information technology, business continuity and disaster recovery, and risk management systems, to a review and audit by an independent firm, SCCP engaged the services of Reyes Tacandong & Co. (RT&Co.) to conduct the independent audit. RT&Co. reported that the overall effectiveness of the processes and controls embedded in SCCP's IT Plans, Business Continuity Plan ("BCP") and Disaster Recovery ("DR"), and Risk Management systems is Satisfactory, the highest rating based on the audit rating system adopted by RT&Co. A Satisfactory rating indicates that the control environment of SCCP is adequate and effective in achieving its objectives.

As has been regularly done in the past, SCCP successfully conducted quarterly testing of its Business Continuity and Disaster Recovery (BC/DR) Plan on March 9, June 23, September 29 and October 12. Prior to the switching of the primary and DR sites effective October 12, SCCP performed full cycle testing using the application and web servers in the DR site to ensure that all processes will run smoothly and properly once the DR site is converted as primary site.

Capital Markets Integrity Corporation



DAKILA B. FONACIER
Chairman



DAISY P. ARCE
President



PAUL P. SAGAYO, JR.
Independent Director and Corporate Secretary



ANDREW JEROME T. GAN
Director



EMIGDIO P. TANJUATCO III
Director



KATHERINE L. SHIH
Director



OMELITA J. TIANGCO
Treasurer



GRACE M. CALUBAQUIB
AVP and Head,
Surveillance Department



JOSE MARTIN O. GENERAL
AVP and Head, Investigation and
Enforcement Department



ERWIN C. DEL MUNDO
Assistant Corporate Secretary

In Memoriam



WILLIAM M. FOLEY †
1952-2018
Independent Director:
June 2017 – December 2018

The Capital Markets Integrity Corporation (CMIC) is a wholly-owned subsidiary of the PSE and has the primary mandate of safeguarding the interests of the investing public and maintaining the integrity of the capital markets.

As a self-regulatory organization (SRO), the CMIC monitors trading activities, conducts audit of the pertinent books and records of PSE trading participants (TPs), and enforces compliance with the securities laws by the TPs. It carries out the enforcement role of an SRO by investigating and resolving cases involving violations of securities laws, which include trading-related irregularities and unusual trading activities.

The CMIC operates through three core departments namely, the Audit and Compliance Department (ACD); the Surveillance Department (SD); and the Investigation and Enforcement Department (IED).

AUDIT AND COMPLIANCE

The ACD conducts regular and spot audits of the books and records of the TPs. ACD's Regular Examination Unit (REU) evaluated all 131 TPs, including their branches and agencies. The procedure covered a review of the TPs' trading activities, an assessment of their financial and risk profiles, and a monitoring of their compliance with reportorial requirements. All fieldworks were completed in December, and 25 percent of the reports have already been issued, of which 85 percent of the TPs examined were compliant.

The Risk Management Unit (RMU) conducted a semi-monthly review of the TPs' risk-based capital adequacy (RBCA) reports and reserve requirements to regularly assess their financial and risk profiles. The RMU subjected 41 TPs to a spot audit. By year end, 68 percent of the reports had already been issued and of this, 89 percent of the TPs involved were found to be in compliance with the securities laws.

SURVEILLANCE

The SD monitors daily market activities, identifies irregularities in the market, and investigates unfair trading practices.

For 2018, the SD evaluated a total of 94 surveillance cases, 23 of which were referred to the IED for further investigation. The SD is currently investigating seven (7) cases involving possible trading-related irregularities, unusual trading activities, and other violations of the securities laws.

INVESTIGATION AND ENFORCEMENT

The IED conducts investigations of alleged violations of securities laws, based on complaints filed by investors, initial findings of the SD, and other matters which the IED has determined should be resolved to enforce the securities laws.

In 2018, the IED issued resolutions on four (4) investor complaints and 34 SD-endorsed cases concerning purported trading-related irregularities and unusual trading activities, among other violations of the securities laws. One of these resolutions eventually resulted in the temporary denial of a TP's exercise of its trading right and access to the facilities and systems of the PSE.

Further, the IED initiated the endorsement of 24 cases of possible violations by certain beneficial owners of the securities laws to the SEC, which has jurisdiction over these matters. Similarly, the IED has forwarded 19 cases concerning apparent violations of the Disclosure Rules to the PSE for further evaluation and appropriate action.

I. ACKERMAN & CO., INC.

The CMIC continued to uphold the SEC Order that mandates it to settle I. Ackerman & Co., Inc.'s (IACI) obligations to its customers in accordance with the relevant securities laws and corresponding allocation and liquidation plan.

In 2014, the CMIC suspended the operations of IACI for various violations of the securities laws. In 2015, the SEC issued an Order directing the CMIC to take over IACI's operations and settle IACI's liabilities to its customers through the sale of its trade-related assets, among other actions.

PCCI SECURITIES BROKERS CORPORATION

The CMIC approved the application for voluntary suspension filed and submitted on April 8 by the PCCI Securities Brokers Corporation (PCCI SBC) based on the results of a special audit and upon determining PCCI SBC's compliance with the requirements under the pertinent securities laws.

The voluntary suspension of PCCI SBC, which took effect on July 18, was approved for a period of six (6) months from effectivity. Subsequently, PCCI SBC sought an extension of its voluntary suspension, which was approved.

ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM

CMIC, as one of the representatives from the securities sector, participated in the Third Mutual Evaluation on the Philippines' compliance with international standards on anti-money laundering and combating the financing of terrorism. The mutual evaluation is one of the Philippines' commitments pursuant to the Terms of Reference of the Asia Pacific Group on Money Laundering, which implements and enforces Anti-Money Laundering and Combatting the Financing of Terrorism (AML/CFT) standards.

SEMINARS AND TRAININGS

The CMIC conducted its Trading Participants' Seminar on April 12 at the Makati Sports Club, Makati City. The seminar focused on the following topics: common CMIC findings; trading without clearing and settlement; Foreign Account Tax Compliance Act or FATCA; Republic Act 10963, otherwise known as the Tax Reform for Acceleration and Inclusion (TRAIN) Act; and Republic Act 10173, otherwise known as the Data Privacy Act of 2012. The seminar gathered 151 representatives from 100 stock brokerage firms, two (2) representatives from the SEC, one (1) representative from the PSE, and two (2) representatives from the Securities Clearing Corporation of the Philippines.

CMIC also held a series of dialogues with TP representatives in relation to the introduction by the PSE of short selling. CMIC, being the regulator of TP activities, required that sessions be conducted to address TPs' concerns in relation to this new product. Consequently, CMIC submitted to the SEC, for approval, its proposed Implementing Guidelines on Securities Borrowing and Lending and Short Selling.

To keep the integrity of the market and minimize the risk of the investing public, the CMIC also continued to conduct investor protection seminars and participated in a series of roadshows and webinars principally organized by the PSE for the investors.

Moreover, the CMIC continued to provide trainings for its officers and employees to equip them with the capabilities to adhere to the corporation's foremost standards and values of professionalism, integrity, teamwork, competence, honesty, and fairness.

REPORTORIAL MATTERS

The CMIC regularly submitted to the SEC the following reports throughout the year: Report on Resolved and Appealed Cases, and Dockets of Examinations and Investigations Being Conducted by the CMIC; Monthly Report on Started and Completed Audits; Risk Management Unit Reports; and Report on the Results of the Monitoring of Trading of Listed Companies and Examinations Conducted by the SD.





Sustainability Report

INTRODUCTION | GRI 102-48 to 54 | GRI 102-46 | GRI 102-56

The PSE recognizes the value of its non-financial performance to its stakeholders. As such, the Company prepared a report that features its sustainable business practices for 2018. This Sustainability Report was prepared in accordance with the Global Reporting Initiative (GRI) Standards: Comprehensive Option. Each topic is tagged with the appropriate GRI code (e.g., GRI 102-48) to denote the material disclosure in the GRI Standards.

This is the fourth sustainability report of the company. There is no restatement requirement for any statements made in the 2017 report.

No external assurance provider was engaged for this report.

CREATING SHARED VALUE | GRI 102-47

In 2018, PSE has identified economic performance, governance, people, socio-economic impacts and environment as the areas of emphasis as these are the significant material factors that will drive the organization's growth for the next five years.

Profit

The PSE continues to look for avenues to increase profitability and at the same time embed sustainable business development practices. It aims to lead the capital market in creating additional platforms to attract market participants in pushing for innovations that generate tangible economic value.

SHAREHOLDER STRUCTURE OF PSE

As of 31 December 2018

TOTAL OUTSTANDING SHARES | 84,953,686

San Miguel Corporation Retirement Plan	7,555,200	8.90%
Premier Capital Venture Corp.	6,673,204	7.86%
Government Service Insurance System	6,673,201	7.86%
Banco de Oro for PLDT Retirement Fund	6,673,200	7.86%
Directors and Management Officers	39,780 and 65,665	0.12%
Public	57,273,436	67.40%

MEMBERSHIPS | GRI 102-13

- World Federation of Exchanges
- Asian and Oceanian Stock Exchanges Federation
- Philippine Chamber of Commerce and Industry
- Philippine Business for Social Progress
- Makati Business Club, Inc.
- Public Relations Society of the Philippines
- Employers Confederation of the Philippines
- Financial Executives Institute of the Philippines

DELEGATING AUTHORITY | GRI 102-19

The PSE Board is responsible for instituting projects and initiatives for the promotion of excellent corporate governance. Implementation of programs is delegated to the appropriate committee e.g., Investments Committee, Corporate Governance Committee, Risk Management Committee or Audit Committee while the actual roll out, execution and monitoring is handled by the Management Committee through the relevant divisions.

EXECUTIVE LEVEL RESPONSIBILITY FOR ECONOMIC ENVIRONMENTAL AND SOCIAL TOPICS | GRI 102-20

The Head of the Corporate Governance Office provides advice to the Management Committee and CG Committee of the Board of Directors regarding the promotion of PSE's ESG strategy as a listed company and as a regulator.

CONSULTING STAKEHOLDERS ON ECONOMIC, ENVIRONMENTAL AND SOCIAL TOPICS | GRI 102-21, 102-40

The PSE employs both formal and non-formal methodologies in consulting stakeholders on various topics. It regularly holds meetings with its regulators, fora with listed companies, and information sessions with TPs. The Exchange also solicits comments on proposed amendments on listing, disclosure, and trading rules from its stakeholders by posting such announcements on the website. Surveys are likewise posted on the website so the investing and general public can participate in the information-gathering activity. The company's hotline, email address, and social media accounts are included in most PSE collaterals so the public can easily reach the Exchange to raise their inquiry or share their view. Information collated from discussions and other feedback platforms are shared with management and used to further enhance PSE's policies and processes and develop its key strategies. Employee engagement activities are detailed in the **PEOPLE** section of this report.

NATURE AND TOTAL NUMBER OF CRITICAL CONCERNS | GRI 102-34

No critical incident occurred for the reporting period.

STAKEHOLDERS | GRI 102-40, 102-42

PSE's stakeholders are its regulators, the listed companies, stockbrokers, investors, suppliers and its employees. As a market regulator, PSE recognizes that policy changes, through the introduction of new guidelines or the revision of existing rules and regulations, have significant impact on the processes and operations of these stakeholders. As such, stakeholder engagement forms an integral part of the Exchange's business strategy.

APPROACH TO STAKEHOLDER ENGAGEMENT

GRI 102-43, 102-21

Recognizing its dual role as a listed company and a stock market regulator, PSE endeavours to regularly consult its various stakeholder groups before making critical decisions. This consultation comes in the form of formal or non-formal dialogues, fora, seminars, press conferences, and analyst briefings, as well as local and international roadshows. Feedback gathered from stakeholder groups are taken into account in crafting and implementing PSE's business strategies.

KEY TOPICS AND CONCERNS RAISED | GRI 102-44

The Exchange gathered all issues raised by stakeholders on the different undertakings of the company and identified their key concerns. The PSE Management reviewed the comments received and proposed courses of action that may be taken to address them. Some issues require the development of new products, development or revision of rules and regulations, and improvement of processes. All these concerns are in varying phases of action and resolution.

PROJECT	Key Topics and Concerns
New Products and Services	Short Selling Index Futures REIT Online LSI Index Licensing Market Data Business Expansion Trading Solutions Collaboration with Shenzhen Stock Exchange
Regulatory Developments	Revised Listing & Disclosure Rules Broker Industry Ownership SEC and BIR REIT Regulations
Technological and Operational Efficiency	New Clearing & Settlement System New Website

EVALUATION OF THE MANAGEMENT APPROACH | GRI 103-1 to 103-3

The PSE Management developed a sustainability strategy to ensure the realization of the eight goals it identified. The strategy aims to promote efficiencies, drive growth for business, human resource, and information technology, enhance stakeholder collaboration, and manage key risks. These goals are:

1. Development of new products in response to current market needs;
2. Effective management of key risks;
3. Boost technology and operational resilience to secure market operation;
4. Maintain a fair, orderly and transparent market by upholding excellent corporate governance practices through open collaboration with market participants to identify and address material issues;
5. Continuous expansion of shareholder base by promoting financial literacy;
6. Regular engagement with various stakeholders to identify and address material issues;
7. Advance our human capital by developing an all-inclusive talent management and retention program; and
8. Promote energy efficient use of materials by introducing policy that drive the habit for environment conscious practices.

These strategies will be reviewed by Management annually.

#PSEGOALS

In 2018, PSE formally started its internal sustainability efforts through the launch of #PSEGoals (Good Governance, Going Green, Growing Generation). In line with the 17 UN Sustainable Development Goals (UNSDGs), PSE was able to participate in the pursuit of achieving five (5) goals for the year. These goals are then identified as the focus of PSE's internal sustainability programs.



SDG 17: Collaborating for promotion of SDGs in the capital market

Activity partnership with:

- Securities and Exchange Commission
- Australian Department of Foreign Affairs and Trade
- World Wide Fund for Nature
- Habitat for Humanity
- Matthias "GreenMan" Gelber
- Roman Catholic Archdiocese of Manila

Development of Sustainability Report

The report details PSE's efforts toward achieving its sustainability goals. The abridged report is included in the company's annual report but the full GRI-compliant report will be soon be available on the PSE website.



Total Revenues
1,744,547



Total Expenses
762,033



Total Income Tax
255,408



Net Income
727,106

DIRECT ECONOMIC VALUE GENERATED AND DISTRIBUTED (IN THOUSAND PHP)

SIGNIFICANT INDIRECT ECONOMIC IMPACTS |

GRI 203-2

PSE functions as a market operator and, at the same time, performs regulatory functions to ensure a fair and orderly market.

As a venue for capital raising, PSE helps listed companies raise the funds they need for acquisition, research and development, expansion, debt payment, and other strategic or operational initiatives. These corporate activities have helped boost economic activity and generate jobs. For 2018, listed companies were able to raise a total of Php187.84 billion through the stock market.

ANTI-CORRUPTION OPERATIONS ASSESSED FOR RISKS RELATED TO CORRUPTION |

GRI 205-1

PSE's operation is regularly assessed for key risks through its risk register. The risk register is a tool that helps PSE track issues and address any potential problem.

PSE has institutionalized mitigating measures to manage the risk and will continue to evaluate its policies, procedures and programs in terms of effectiveness and efficiency in addressing this risk.

CONFIRMED INCIDENTS OF CORRUPTION AND ACTIONS TAKEN |

GRI 205-3

There has been no incident of corruption reported for the year.

People

A truly sustainable business appreciates the value of its human capital. The PSE understands that its human resource is a critical element for long-term profitability. Thus, it strives to create a work environment conducive to developing and sustaining excellent talent that will contribute in creating value for its business.

HUMAN RESOURCE ANALYTICS | As of December 31, 2018

GRI 102-7, 8 | GRI 405-1

Regular Employees | 124

Consultant | 1



40%



60%

Management Committee | 7

43%

57%

Department Heads | 14

43%

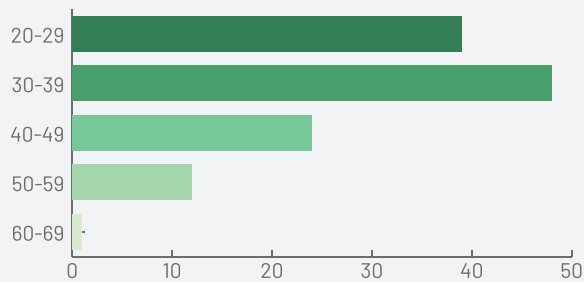
57%

Other Regular Employees | 103

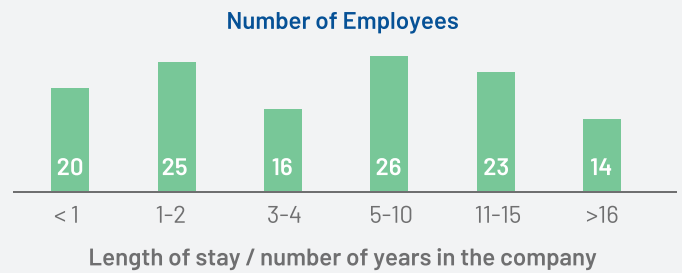
40%

60%

Age Profile



Employee Tenure Summary

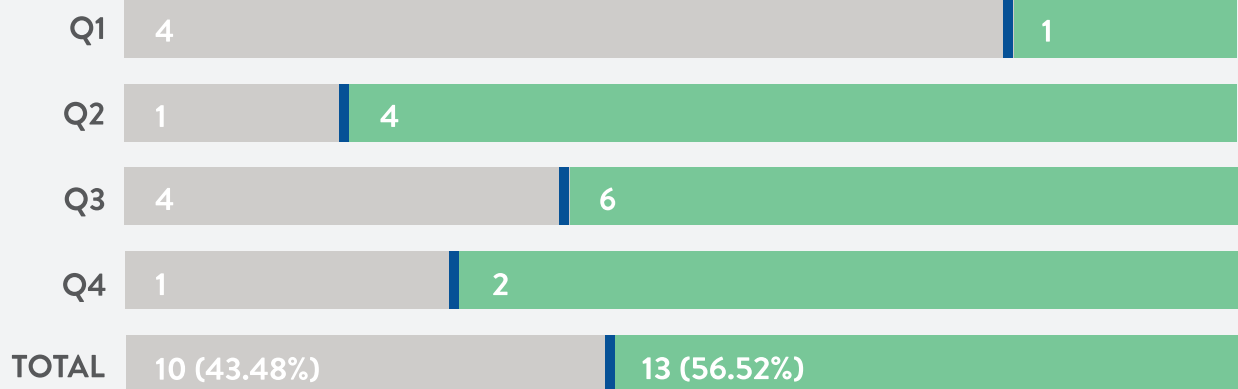


NEW EMPLOYEE HIRES AND EMPLOYEE TURNOVER | GRI 401-1

New hires in 2018 totalled 23, 19 of which are aged 20 to 29 years old, three (3) are 30 to 39 years old, while one (1) employee is under the 50-59 year old range.

New Hires | 23 employees

MALE  FEMALE 



Attrition Rate | Q1 to Q4 2018 = 1.74%



PARENTAL LEAVE

| GRI 401-3

PSE provides both maternity and paternity leave benefits to its employees in compliance with the laws and regulations. Ninety-three parents were entitled to such leave but only a fraction of that number availed of the leave benefit.

	PATERNITY	MATERNITY
TOTAL NUMBER OF EMPLOYEES ENTITLED TO PARENTAL LEAVE	19	74
TOTAL NUMBER OF EMPLOYEES THAT TOOK PARENTAL LEAVE	4	1
TOTAL NUMBER OF EMPLOYEES THAT RETURNED TO WORK IN THE REPORTING PERIOD AFTER PARENTAL LEAVE ENDED	4	1
TOTAL NUMBER OF EMPLOYEES THAT RETURNED TO WORK IN THE REPORTING PERIOD AFTER PARENTAL LEAVE ENDED THAT WAS STILL EMPLOYED 12 MONTHS AFTER THEIR RETURN TO WORK	4	1
RETURN TO WORK AND RETENTION RATES OF EMPLOYEES THAT TOOK PARENTAL LEAVE	4	1

PEOPLE IMPROVEMENT | GRI 404-1, 404-2, 404-3

In 2018, 124 employees attended at least one learning or training compared with 125 employees and 110 employees for 2017 and 2016, respectively.

The PSE organized nine (9) information sessions for its employees, which covered government-mandated and workplace improvement-related topics.

An average of 23 employees attended the information sessions. There were 39 employees who availed of external trainings for further professional improvement. The management officers also took part in various executive trainings.

In support of employee development, the annual performance review was likewise conducted, which covered all employees.

Employees Training and Development 2018		
In-House Training	An average of 23 employees attended each of the nine (9) information sessions. A total of 18 employees attended the in-house trainings.	Organized in-house training for employees' development, including information sessions on government-mandated seminars, workplace-improvement topics, and anti-corruption policies.
External Trainings	A total of 39 employees attended external seminars.	Encouraged employees to seek avenues for self-improvement. Coordinated with different management and professional organizations to provide up-to-date trainings in areas beneficial to the Exchange.
Executive Trainings	All management officers took part in external trainings on technical and management skills, both as participants and resource speakers.	Encouraged officers to attend trainings on management, leadership and organizational skills development as well as regulatory- and technology-related seminars.

EMPLOYEE ENGAGEMENT | GRI 412-2

The PSE continued to beef up its employee engagement program to ensure that its workforce remains motivated to foster camaraderie among Exchange employees. The events held include Valentine's day, Mothers' day, Fathers' day, Halloween, Christmas and quarterly get-together for employees' birthday celebration.



PSE celebrates Christmas with a Greek-themed party.



Employees sport their toon-inspired costumes for the office-wide Halloween party.



SDG 1: Reaching out to less fortunate communities

The PSE has always been conscious of its role to the bigger community. It has responded to the needs of fellow Filipinos and reached out by participating in a house-building volunteer work led by non-profit housing organization, Habitat for Humanity.



PSE volunteers help build homes in a Habitat for Humanity site.

The Philippine Stock Exchange Foundation, Inc. (PSEFI) also supported various causes to aid in poverty alleviation, including education-related programs. The PSEFI donated a total of Php3.25 million to the Adopt-a-School Program to construct a two-storey, four-classroom building at the Tuba Central Elementary School in Tuba, Benguet and a one-storey, two-classroom building at the Plaridel Elementary School in Nagcarlan, Laguna. The projects were done in partnership with the SM Foundation, Inc. and Philam Foundation, Inc., respectively. The PSEFI also provided financial help to the "Ready for School 2018" project of the Philippine Business for Social Progress. This program was developed to support the Brigada Eskwela project of the Department of Education.



PSE Foundation sponsors a school building for Plaridel Elementary School in Nagcarlan with Philam Foundation. Photo courtesy of Philam Foundation, Inc.



SDG 3: Promoting good health and well-being among employees

Integral to the holistic development of its employees is health and wellness. As such, the PSE had several lunch and learn series covering topics such as nutrition, fitness, finance, health effects of climate change, and health and safety campaign where it released a total of 32 materials providing health and safety reminders. A total of 55 Zumba classes were also held throughout the year.

PSE SPORTSFEST 2018

PSE organized a series of sportsfests for its employees as part of its wellness campaign.



Basketball Tournament | Q1

8-day event spread out from March 26 to April 30 held at Treston International College, BGC, Taguig City

52
Participants

36 PSE employees
2 SCCP employees
1 CMIC employee
13 Traders Participants



Badminton Tournament | Q2

Action-packed day held at the Team Prima Badminton Center in Makati City last July 28

40
Participants

31 PSE employees
3 SCCP employees
6 CMIC employee



Bowling Tournament | Q3

7-day event, including a special game dubbed "Game of the Legends" held from August 19 to October 15 at Coronado Lanes in Starmall, Mandaluyong City

46
Participants

35 PSE employees
8 SCCP employees
1 CMIC employee
2 PSEFI/SIPF

The safety and security of employees is among the priority concerns of the company. The PSE and the building administration of the PSE Tower, participated in the 1st BGC City Wide Drill held along 5th Avenue, BGC last September 27. This annual drill aims to increase awareness about disaster resiliency, where the community learns to withstand and recover from adversity and in the face of emergency. Also in the same month, PSE invited NDRRMC to discuss the Philippine Disaster Risk Reduction and Management System among the employees. Similarly, PSE's Health and Safety Committee was established on November 22.



PSE holds a disaster risk reduction seminar for its employees.

Planet

The PSE recognizes that in order to make a considerable impact in the global effort to save the environment, it has to advance its current strategy focused on internal sustainability practices. In the short-term, it aims to create a platform to link all its stakeholders where everyone can share knowledge and build capacity to embed sustainability in all aspect of the business process.



SDG 12: Encouraging responsible consumption

The PSE adhered to responsible consumption of products and services that have a minimal impact on the environment. The Exchange conducted briefings such as Let's Go Green: An Information Session on Sustainable Lifestyle with Matthias Gelber; Information Session on Our Daily Consumption and its Effects to the Environment with World Wild Fund for Nature (WWF) and launched a Responsible Consumption Campaign. In the last three years, there was a notable decrease on PSE's consumption of electrical and janitorial supplies to reduce any potential impact on the environment.

Electrical Supplies Comparative Data | 2016-2018



Janitorial Supplies Comparative Data | 2016-2018



13 CLIMATE ACTION



SDG 13: Promoting climate change action by energy savings and waste reduction

The PSE adopted energy and resource-conservation initiatives to help the environment. As offices get ample sunlight, employees were encouraged to switch off office lights and to maximize natural light as light source. Employees also participated in the 2018 International Coastal Clean Up. And to help reduce plastic waste, an Ecobrick making session was organized as part of the Exchange's general recycling program.

The company's recycling program was initiated as a response to R.A. 9003 or the "Ecological Solid Waste Management Act of 2000". PSE ensures the proper disposal of solid recyclable waste such as paper, plastic, cartons and materials, among others.

To date, PSE was able to dispose a total of 3,094kg of waste in Ayala and 450.5 kg of waste in BGC (excluding cartridges) with an overall volume of 3,544.50kg for the two offices.

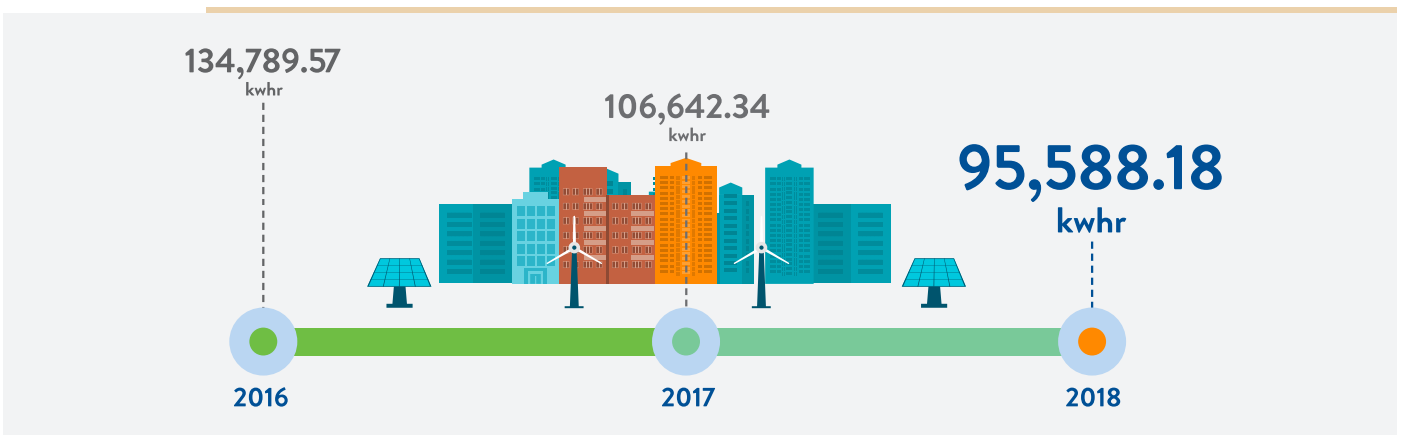


PSE employees participate in the 2018 International Coastal Clean Up at the Manila Bay.

Recycling and Waste Management | GRI 302-1, 302-3, 302-4

Waste Category	Ayala		BGC	
	2017	2018	2017	2018
White Paper	275kg	717kg	N/A	91kg
Newspaper	25kg	0kg	N/A	107kg
Assorted waste	251kg	1,651kg	N/A	23.5kg
Cartons	93kg	39kg	N/A	200kg
Plastics/PET Bottles	31kg	4kg	N/A	29kg
Cartridges	0kg	0kg	N/A	5 units
Metal Scrap/Aluminum Can	8kg	0kg	N/A	0kg

Lights Off Campaign and Office Energy Savings Program | Average consumption per month



Vehicle Usage and Fuel Consumption



Statement of Management's Responsibility for Financial Statements

The management of The Philippine Stock Exchange, Inc. and Subsidiaries (PSE Group) is responsible for the preparation and fair presentation of the financial statements including the schedules attached herein, for the years 2018 and 2017 ended December 31, in accordance with the prescribed financial reporting framework indicated therein, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

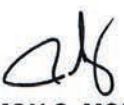
In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the (PSE Group) or to cease operations, or has no realistic alternative to do so.

The Board of Directors is responsible for overseeing the (PSE Group)'s financial reporting process.

The Board of Directors reviews and approves the financial statements including the schedules attached therein, and submits the same to the stockholders.

SyCip Gorres Velayo & Co. (SGV & Co.), the independent auditors appointed by the stockholders, have audited the financial statements of the (PSE Group) in accordance with Philippine Standards on Auditing and in its report to the stockholders, have expressed their opinion on the fairness of presentation upon completion of such audit.


JOSE T. PARDO
Chairman


RAMON S. MONZON
President & Chief Executive
Officer


OMELITA J. TIANGCO
Treasurer

REPUBLIC OF THE PHILIPPINES
CITY OF MAKATI CITY

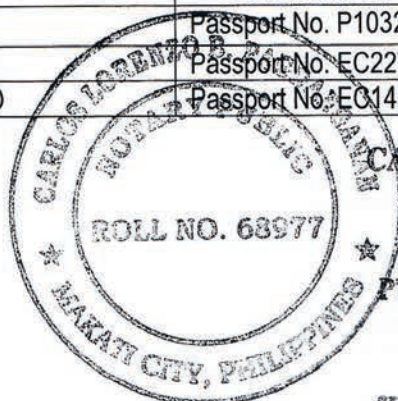
APR 01 2019

MAKATI CITY

SUBSCRIBED AND SWORN to before me this ___ day of _____ 2019 at _____ affiants presented to me the following competent evidence of their identity:

NAME	GOVERNMENT ISSUED ID	DATE AND PLACE OF ISSUANCE
JOSE T. PARDO	Passport No. P1032165A	28 November 2021 - Manila
RAMON S. MONZON	Passport No. EC2279511	01 October 2019 - Manila
OMELITA J. TIANGCO	Passport No. EC1454294	19 June 2019 - Manila

Doc. No. 302
Page No. 61
Book No. II
Series of 2019.



CARLOS LORENZO B. PAGDANGANAN
Notary Public
JUL 10 2020
ROLL OF ATTORNEYS NO. 68977
PTR # 7233363 ; 01-03-2019 ; Makati City
ID # 653725 ; 01-04-2019 ; Quezon City
ADMITTED TO THE BAR IN 2017
NOTARIAL COMMISSION NO. M-158
SF MONTEPINO BLDG., 138 AMORSOLO ST.,
LEGASPI VILLAGE, MAKATI CITY

INDEPENDENT AUDITOR'S REPORT

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc. and Subsidiaries

Opinion

We have audited the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group), which comprise the consolidated statements of financial position as at December 31, 2018 and 2017, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for each of the three years in the period ended December 31, 2018, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2018 and 2017, and its consolidated financial performance and its consolidated cash flows for each of the three years in the period ended December 31, 2018 in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matter below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Information Technology Environment Supporting the Trading-related Revenue Process

The Group is highly dependent on the reliability and continuity of its information technology (IT) environment to support the automated data processing of its trading and market-related businesses. The Exchange continuously makes investments to further improve its IT applications and supporting IT infrastructure and IT processes. This IT environment is key to the Exchange's revenue generation and is relied upon for many aspects of its revenue reporting process. We therefore considered the testing of the IT controls over the IT processes as a key audit matter.

Audit Response

We have involved our internal specialist in obtaining an understanding of the Exchange's IT environment, which covers the IT applications and supporting IT infrastructure, IT processes and IT personnel. We obtained an understanding of the IT controls over program changes to the IT applications, user access management to the IT applications and databases as well as controls over management of IT operations. To the extent applicable, we performed testing of the operation of the IT controls of the applications supporting the trading-related revenue process. We also performed walkthrough and testing of the trading-related revenue process transaction level controls. We evaluated and considered the results of the testing of controls in the design and extent of our substantive audit procedures.

Adoption of PFRS 15, Revenue Contracts with Customers

Effective January 1, 2018, the Group adopted the new revenue recognition standard, PFRS 15, *Revenue from Contracts with Customers* (which includes the availment of the relief granted by the Securities and Exchange Commission on the listing fees), under the modified retrospective approach. In order to adopt the new standard, management undertook a process to identify customer contracts relating to the services provided by the Group. For each type of contract identified, management determined the performance obligations that exist under the contract and the transaction price which represents revenue expected to be received under the contract. The key area of judgement for the Group in adopting PFRS 15 is in relation to the identification of performance obligation and determining the timing of when the performance obligation is satisfied. Accordingly, we considered the Group's adoption of PFRS 15 as a key audit matter.

Refer to Notes 2 and 3 to the consolidated financial statements for the details of the adoption of PFRS 15.

Audit Response

We obtained an understanding of the Group's process of implementing the new revenue standard, including the changes in the Group's systems, processes and controls. We reviewed the PFRS 15 adoption papers and accounting policies prepared by management and the revenue streams identification and scoping, and contract analysis. On a sample basis, we reviewed contracts, checked the identification of the performance obligations and evaluated whether the timing of revenue recognition is based on when the performance obligation is satisfied. We reviewed the disclosures on the adoption of PFRS 15 in notes to the consolidated financial statements.

Other Information

Management is responsible for the other information. The other information comprises the information included in the SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2018, but does not include the consolidated financial statements and our auditor's report thereon. The SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2018 are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audits of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ms. Mariecris N. Barboso.

SYCIP GORRES VELAYO & CO.



Mariecris N. Barboso

Partner

CPA Certificate No. 97101

SEC Accreditation No. 1513-AR-1 (Group A),

November 16, 2018, valid until November 15, 2021

Tax Identification No. 202-065-716

BIR Accreditation No. 08-001998-108-2018,

February 14, 2018, valid until February 13, 2021

PTR No. 7332526, January 3, 2019, Makati City

February 27, 2019

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2018	2017
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5, 6 and 7)	₱3,868,149,919	₱811,661,201
Financial assets at fair value through profit or loss (FVTPL) (Notes 5, 6 and 8)	259,808,893	319,000,934
Financial assets at fair value through other comprehensive income (FVOCI) (Notes 5, 6 and 9)	9,952,565	-
Available-for-sale (AFS) investments (Notes 5, 6 and 9)	-	5,046,882
Receivables (Notes 5, 6 and 10)	99,383,655	70,654,715
Other current assets (Note 11)	50,110,966	82,327,803
Total Current Assets	4,287,405,998	1,288,691,535
Noncurrent Assets		
Long-term financial assets at FVOCI (Notes 5, 6 and 9)	466,248,005	-
Long-term available-for-sale investments (Notes 5, 6 and 9)	-	508,869,494
Property and equipment (Note 12)	1,497,375,096	1,454,334,016
Investment in an associate (Note 13)	273,036,089	359,204,275
Deferred tax assets - net (Note 26)	366,047	10,672,688
Pension asset (Note 27)	49,788,768	29,377,931
Other noncurrent assets (Notes 5 and 14)	49,273,340	50,123,840
Total Noncurrent Assets	2,336,087,345	2,412,582,244
	₱6,623,493,343	₱3,701,273,779
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 5, 6 and 15)	₱244,746,692	₱313,852,909
Income tax payable	93,901,670	21,353,943
Deferred fees and others (Note 16)	30,483,028	20,653,267
Provision (Note 31)	20,000,000	-
Current portion of contract liabilities (Note 16)	12,002,103	-
Total Current Liabilities	401,133,493	355,860,119
Noncurrent Liabilities		
Pension liability (Note 27)	11,728,753	13,642,250
Deferred tax liabilities - net (Note 26)	3,022,100	-
Contract liabilities - net of current portion (Note 16)	239,658	-
Total Noncurrent Liabilities	14,990,511	13,642,250
Total Liabilities	416,124,004	369,502,369
EQUITY		
Capital stock (Notes 1 and 18)	85,003,850	73,480,413
Additional paid-in capital (Notes 1, 18 and 32)	3,891,433,938	1,072,514,796
Subscribed capital stock - net of subscription receivable (Notes 18 and 32)	3,947,219	5,374,731
Treasury stock (Note 18)	(68,000,006)	(68,000,005)
Retained earnings:		
Unappropriated (Note 18)	1,751,863,349	1,546,046,556
Appropriated (Note 18)	121,000,000	121,000,000
Donated capital (Note 17)	447,287,985	586,829,985
Net unrealized loss on financial assets at FVOCI/AFS investments (Note 9)	(48,706,567)	(18,567,910)
Remeasurement gains on pension benefits and others - net	23,539,571	13,092,844
Total Equity	6,207,369,339	3,331,771,410
	₱6,623,493,343	₱3,701,273,779

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2018	2017	2016
REVENUES (Note 19)	₱1,596,207,481	₱1,225,518,524	₱1,263,286,439
COST AND EXPENSES			
Cost of services (Note 21)	304,314,046	246,511,522	245,267,535
General and administrative (Note 22)	457,719,388	346,347,254	347,329,345
	762,033,434	592,858,776	592,596,880
OPERATING INCOME	834,174,047	632,659,748	670,689,559
OTHER INCOME (EXPENSES)			
Interest income (Note 20)	139,298,642	37,166,329	32,346,353
Equity in net income of an associate (Note 13)	38,860,417	53,604,469	49,166,134
Mark-to-market gain (loss) on FVTPL (Note 8)	(37,018,077)	59,762,708	31,748,890
Dividend income (Note 8)	4,330,027	4,670,140	7,811,185
Gain (loss) on sale of property and equipment (Note 12)	1,251,639	(107,416)	-
Gain on sale of investment property (Note 14)	-	252,627,252	-
Write-off of nonfinancial assets (Notes 11 and 12)	-	(1,928,081)	(14,137,479)
Income from donation (Note 17)	-	-	96,180,831
Others - net (Note 10)	1,616,794	136,118	1,640,396
	148,339,442	405,931,519	204,756,310
INCOME BEFORE INCOME TAX	982,513,489	1,038,591,267	875,445,869
PROVISIONS FOR INCOME TAX (Note 26)	255,407,585	210,505,777	173,904,471
NET INCOME	727,105,904	828,085,490	701,541,398
OTHER COMPREHENSIVE (LOSS) INCOME			
Item to be reclassified to profit or loss in subsequent periods:			
Change in the fair value of financial assets at fair value through other comprehensive income (Note 9)	(30,138,657)	-	-
Change in the fair value of available-for-sale investments - net of tax (Note 9)	-	(9,599,411)	1,585,263
Items not to be reclassified to profit or loss in subsequent periods:			
Remeasurement gains on pension benefits - net (Note 27)	9,595,330	5,276,984	14,917,425
Share in remeasurement gain (loss) on pension benefits of an associate (Note 13)	851,397	2,871,478	(19,926)
	10,446,727	8,148,462	14,897,499
	(19,691,930)	(1,450,949)	16,482,762
TOTAL COMPREHENSIVE INCOME	₱707,413,974	₱826,634,541	₱718,024,160
Basic Earnings Per Share (Note 28)	₱8.86	₱11.28	₱9.56
Diluted Earnings Per Share (Note 28)	₱8.84	₱11.26	₱9.55

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Capital Stock (Notes 1 and 18)	Additional Paid-in Capital (Notes 1, 18 and 32)	Subscribed Capital Stock - net of Subscription Receivable (Notes 18 and 32)	Treasury Stock (Note 18)	Retained Earnings			Net Unrealized Gain (Loss) on Financial Assets at		Remeasurement Gains (Losses) on Pension Benefits and others - net (Notes 13 and 27)	Total
					Unappropriated (Note 18)	Appropriated (Note 18)	Donated Capital (Note 17)	AFS Investments (Note 9)	FVOCI/ (Note 9)		
Balances as at January 1, 2018	₱73,480,413	₱1,072,514,796	₱5,374,731	(₱68,000,005)	₱1,546,046,556	₱121,000,000	₱586,829,985	(₱18,567,910)	₱13,092,844	₱3,331,771,410	₱3,331,771,410
Net income	-	-	-	-	727,105,904	-	-	-	-	-	727,105,904
Other comprehensive income (loss)	-	-	-	-	-	-	-	(30,138,657)	10,446,727	(19,691,930)	707,413,974
Total comprehensive income (loss)	-	-	-	-	727,105,904	-	-	(30,138,657)	10,446,727	(19,691,930)	707,413,974
Employee stock purchase plan	23,437	5,769,858	5,983,718	-	-	-	-	-	-	-	11,777,013
Subscription receivable	-	-	(7,411,230)	-	-	-	-	-	-	-	(7,411,230)
Cash dividends	-	-	-	-	(660,831,111)	-	-	-	-	-	(660,831,111)
Reclassification of donated capital	-	-	-	-	139,542,000	-	(139,542,000)	-	-	-	-
Stock rights offering	11,500,000	2,813,149,284	-	-	-	-	-	-	-	-	2,824,649,284
Adjustments	-	-	-	(1)	-	-	-	-	-	-	(1)
Balances as at December 31, 2018	₱85,003,850	₱3,891,433,938	₱3,947,219	(₱68,000,006)	₱1,751,863,349	₱121,000,000	₱447,287,985	(₱48,706,567)	₱23,539,571	₱6,207,369,339	₱6,207,369,339
Balances as at January 1, 2017	₱73,480,413	₱1,072,120,935	₱2,532,662	(₱68,000,023)	₱1,231,878,470	₱121,000,000	₱586,829,985	(₱8,968,499)	₱4,944,382	₱3,015,818,325	₱3,015,818,325
Net income	-	-	-	-	828,085,490	-	-	-	-	-	828,085,490
Other comprehensive income (loss)	-	-	-	-	-	-	-	(9,599,411)	8,148,462	(1,450,949)	(826,634,541)
Total comprehensive income (loss)	-	-	-	-	828,085,490	-	-	(9,599,411)	8,148,462	(1,450,949)	(826,634,541)
Employee stock purchase plan	-	393,861	1,677,865	-	-	-	-	-	-	-	2,071,726
Subscription receivable	-	-	1,164,204	-	-	-	-	-	-	-	1,164,204
Cash dividends	-	-	-	-	(513,917,404)	-	-	-	-	-	(513,917,404)
Adjustments	-	-	-	18	-	-	-	-	-	-	18
Balances as at December 31, 2017	₱73,480,413	₱1,072,514,796	₱5,374,731	(₱68,000,005)	₱1,546,046,556	₱121,000,000	₱586,829,985	(₱18,567,910)	₱13,092,844	₱3,331,771,410	₱3,331,771,410
Balances as at January 1, 2016	₱73,480,413	₱1,071,644,783	₱-	(₱68,000,023)	₱1,140,313,920	₱121,000,000	₱490,649,154	(₱10,553,762)	(₱9,953,117)	₱2,808,581,368	₱2,808,581,368
Net income	-	-	-	-	605,360,567	-	96,180,831	-	-	-	701,541,398
Other comprehensive income	-	-	-	-	-	-	-	1,585,263	14,897,499	16,482,762	718,024,160
Total comprehensive income	-	-	-	-	605,360,567	-	96,180,831	1,585,263	14,897,499	16,482,762	718,024,160
Employee stock purchase plan	-	476,152	7,275,854	-	-	-	-	-	-	-	7,752,006
Subscription receivable	-	-	(4,743,192)	-	-	-	-	-	-	-	(4,743,192)
Cash dividends	-	-	-	-	(513,796,017)	-	-	-	-	-	(513,796,017)
Balances as at December 31, 2016	₱73,480,413	₱1,072,120,935	₱2,532,662	(₱68,000,023)	₱1,231,878,470	₱121,000,000	₱586,829,985	(₱8,968,499)	₱4,944,382	₱3,015,818,325	₱3,015,818,325

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2018	2017	2016
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax	₱982,513,489	₱1,038,591,267	₱875,445,869
Adjustments for:			
Depreciation (Notes 12, 14, 21 and 22)	150,492,584	85,611,871	91,380,849
Interest income (Note 20)	(139,298,642)	(37,166,329)	(32,346,353)
Equity in net income of an associate (Note 13)	(38,860,417)	(53,604,469)	(49,166,134)
Mark-to-market loss (gain) on financial assets at FVTPL (Note 8)	37,018,077	(59,762,708)	(31,748,890)
Provision (Note 31)	20,000,000	1,140,000	39,860,000
Net movements in pension (Note 27)	10,685,417	10,462,602	13,423,145
Dividend income (Note 8)	(4,330,027)	(4,670,140)	(7,811,185)
Amortization of computer software (Note 14)	1,730,665	5,086,352	5,074,682
Amortization of debt premium (Note 9)	1,530,267	1,451,224	1,400,610
Loss (gain) on sale of property and equipment (Note 12)	(1,251,639)	107,416	-
Unrealized foreign exchange gains – net	(988,027)	(74,251)	(2,139,823)
Share-based payment expense (Note 32)	327,563	393,861	476,152
Impairment (recovery) of receivables (Note 10)	(150,000)	(25,760)	305,576
Provision for decline in value of equity securities (Note 9)	-	100,000	-
Gain on sale of investment property (Note 14)	-	(252,627,252)	-
Write-off of nonfinancial asset (Notes 11 and 12)	-	1,928,081	15,523,220
Income from donation (Note 17)	-	-	(96,180,831)
Income before working capital changes	1,019,419,310	736,941,765	823,496,887
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	(6,938,116)	23,424,760	1,128,949
Other current assets	32,147,262	(44,175,315)	16,754,259
Increase (decrease) in:			
Accounts payable and other current liabilities	(113,556,347)	16,207,575	(48,404,944)
Contract liabilities	12,241,761	-	-
Deferred fees and others	9,590,103	(75,825,209)	40,319,910
Cash generated from operations	952,903,973	656,573,576	833,295,061
Income taxes paid	(172,382,472)	(249,208,789)	(140,970,757)
Interest received	130,084,218	37,011,236	32,943,905
Benefits paid out of the Parent Company's funds	(476,012)	(142,985)	-
Net cash provided by operating activities	910,129,707	444,233,038	725,268,209
CASH FLOWS FROM INVESTING ACTIVITIES			
Dividends received (Notes 8, 10 and 13)	109,123,573	78,110,724	31,852,485
Acquisitions of/additions to:			
Property and equipment (Note 12)	(148,803,553)	(293,965,780)	(389,137,017)
Financial assets at FVTPL (Note 8)	-	(28,338,570)	-
Proceeds from maturities/withdrawal/sale of:			
Financial assets at FVOCI	5,046,881	-	-
Property and equipment (Note 12)	1,280,892	2,293,193	-
Available-for-sale investments (Note 9)	-	25,000,000	85,000,000
Financial assets at FVTPL	31,834,018	-	209,372,188
Investment property	-	233,691,812	-
Contribution on retirement fund	(20,087,055)	-	-
Decrease (increase) in other noncurrent assets	(880,165)	27,842,800	121,419,774
Net cash provided by (used in) investing activities	(22,485,409)	44,634,179	58,507,430
CASH FLOWS FROM FINANCING ACTIVITIES (Note 34)			
Issuance of additional shares (Note 18)	2,897,999,600	-	-
Dividend payments (Note 18)	(660,831,111)	(513,917,404)	(513,796,017)
Payment of stock rights offering related expenses	(73,350,316)	-	-
Share-based payment transactions	4,038,220	2,842,069	2,532,662
Net cash provided by (used in) financing activities	2,167,856,393	(511,075,335)	(511,263,355)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	3,055,500,691	(22,208,118)	272,512,284
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	988,027	74,251	2,139,823
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR (Note 7)	811,661,201	833,795,068	559,142,961
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 7)	₱3,868,149,919	₱811,661,201	₱833,795,068

See accompanying Notes to Consolidated Financial Statements.

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments.

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.8 million divided into 36.8 million shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 entitled "Securities Regulation Code" (SRC) and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

- a. Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
- b. Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.47 million shall be treated as additional paid-in capital;
- c. Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
- d. Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
- e. Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 18). Gross proceeds from the private placement offering amounted to ₱726.3 million, inclusive of additional paid-in capital of ₱720.2 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.1 million were recorded as a reduction of the additional paid-in capital (see Note 18).

On September 10, 2008, the Parent Company's BOD approved the issuance of the 100% stock dividend declared by the Exchange to stockholders of record as of December 13, 2013. On September 12, 2008, the SEC approved to increase the authorized shares of the Company by 61.0 million shares. The total number of shares issued in 2008 was 15.2 million shares (see Note 18).

The total number of shares issued in 2011 was 30.5 million shares (see Note 18).

On December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared by the Exchange on October 22, 2008 to stockholders of record as of September 26, 2008. On November 14, 2013, the SEC approved to increase the authorized shares of the Company by 22.2 million shares. The total number of shares issued in 2013 was 12.2 million shares (see Note 18).

On October 25, 2017, the BOD approved the stock rights offering (SRO) to stockholders of up to 11.50 million common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC. The proceeds from the stock rights offering will be used to fund the acquisition of PDSHC and capital requirements of the Exchange (see Note 18).

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange offered 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period was from March 12 to 16, 2018. On March 22, 2018, the Exchange successfully listed the 11,500,000 shares in the Philippine Stock Exchange (PSE). Gross proceeds from the stock rights offering amounted to ₱2.90 billion, inclusive of additional paid-in capital of ₱2.89 billion representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱73.35 million were recorded as a reduction of the additional paid-in capital (see Note 18).

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management.

To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD).

SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

The registered office address of the Parent Company is 6th to 10th Floors, The PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City.

The accompanying consolidated financial statements were authorized for issuance by the Parent Company's BOD on February 27, 2019.

2. Basis of Preparation, Statement of Compliance, Basis of Consolidation and Changes in Accounting Policies and Disclosures

Basis of Preparation

The consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVTPL) and financial assets at fair value through other comprehensive income (FVOCI) in 2018 and available-for-sale (AFS) investments in 2017, which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency under Philippine Financial Reporting Standards (PFRS). All values are rounded to the nearest peso, except when otherwise indicated.

The consolidated financial statements provide comparative information in respect of the previous period.

Statement of Compliance

The consolidated financial statements have been prepared in compliance with PFRS, which include the availment of a one-year relief granted by the SEC in its letter dated February 18, 2019 approved in a meeting held by the Commission en banc last February 14, 2019, as discussed in Note 2 to the financial statements, page 5.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2018 and for each of the three years in the period ended December 31, 2018. The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies.

Control is achieved when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights result in control. When the Parent Company has less than a majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or
- The Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Parent Company obtains control over the subsidiary and ceases when the Parent Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Parent Company's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Parent Company loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any gain or loss in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The consolidated financial statements include the accounts of the Parent Company and the following wholly-owned subsidiaries:

	Principal Activities	Direct Ownership
SCCP	Clearing agency	100.00%
CMIC	Audit and surveillance unit	100.00%

As discussed on page 5 of Note 2 of consolidated financial statements, the Group's adoption of PFRS 15 did not have a significant impact on the consolidated financial statements. The Exchange availed of the one-year relief given by the SEC with regard to the application of PFRS 15 on revenue from listing fees. The rest of PFRS 15 requirements were applied to all other revenue streams of the Group.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the new and amended standards and Philippine Interpretations which were applied starting January 1, 2018. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

Except as otherwise indicated, the adoption of the following new and amended standards and interpretations did not have any significant impact on the Group's consolidated financial statements:

- PFRS 15, *Revenue from Contracts with Customers*

PFRS 15 supersedes Philippine Accounting Standards (PAS) 11, *Construction Contracts*, PAS 18, *Revenue* and related interpretations and it applies, with limited exceptions, to all revenue arising from contracts with customers. PFRS 15 establishes a five-step model to account for revenue arising from contracts with customers. The five-step model is as follows:

1. Identify the contract with a customer;
2. Identify the performance obligations in the contract;
3. Determine the transaction price;
4. Allocate the transaction price to the performance obligations in the contract; and
5. Recognize revenue as the entity satisfies a performance obligation.

PFRS 15 requires that revenue be recognized at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.

PFRS 15 requires entities to exercise judgment, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with the customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract. In addition, PFRS 15 requires extensive disclosures

The Group adopted PFRS 15 using the modified retrospective method of adoption with the date of initial application of January 1, 2018. Under this method, PFRS 15 can be applied either to all contracts at the date of initial application or only to contracts that are not completed at this date. The Group elected to apply the method only to those contracts that are not completed as at January 1, 2018.

The cumulative effect of initially applying PFRS 15 is recognized at the date of initial application as an adjustment to the retained earnings as at January 1, 2018. Therefore, the comparative information was not restated and continues to be reported under PAS 11, PAS 18 and related interpretations.

Deferral of the Application of PFRS 15 on Revenue from Listing Fees

In September 2018, the International Financial Reporting Standards (IFRS) Interpretations Committee received a submission about whether a stock exchange (entity) provides an admission service that is distinct from an ongoing listing service. The submission was finalized by the IFRS Interpretations Committee on January 16, 2019 and it was concluded that a stock exchange entity does not promise to transfer any good or service to the customer other than the service of being listed in the stock exchange. In other words, the entity transfers only one service to the customer and accordingly there is one performance obligation in the contract.

In a letter dated February 18, 2019, the SEC provided a reply that refers to the Exchange's letter dated February 7, 2019 requesting for a deferral of the application of PFRS 15 on listing fees. Under the said reply letter, the Commission en banc, in its meeting held on February 14, 2019, resolved to approve the request of the Exchange subject to the following conditions:

1. The deferral will only be applicable to the Exchange and is valid only for a period of one (1) year. Effective January 1, 2019, the Group is required to fully comply with the requirements of PFRS 15 and any subsequent amendments thereof, retrospectively.
2. The deferral of application of the requirements of PFRS 15 should only be applied to the listing fee:
 - Assess the goods or services promised in a contract with a customer and to identify each promise to transfer a good or service as a performance obligation;
 - Determine the transaction price of the contract;
 - Allocate the transaction price to each performance obligation (or distinct good or service) on the basis of the relative stand-alone selling prices of each distinct good or service promised in the contract; and
 - Recognize revenue when a performance obligation is satisfied by transferring promised good or service to a customer (which is when the customer obtains control of that good or service).
3. The Exchange is required to disclose in the notes to the financial statements the accounting policies applied, a discussion of the deferral of the subject implementation issues, and a qualitative discussion of the impact in the financial statements had the concerned application guideline been adopted.

The SEC believes that the period of deferral will allow the Exchange to take the necessary steps to resolve implementation issues in the application of PFRS 15. In this regard, the SEC recommends that the following actions be undertaken to resolve the implementation issues encountered by the Exchange:

1. Determine how other jurisdictions similarly situated (e.g., Malaysia and Hong Kong) have complied with the requirement of the standard;
2. Coordinate with the affected exchanges to pursue collective representation to IFRS Interpretations Committee by raising new issues to warrant a favorable interpretation or ruling; and
3. Coordinate with Financial Reporting Standards Council and Philippine Interpretations Committee to comply with the requirements of the standard.

The Exchange availed of the deferral of the above specific requirements in the revenue recognition of its revenue from listing fees. Had these requirements been adopted, the Group is required to recognize its revenue from its listing fees overtime. It would have decreased retained earnings and increased contract liability and deferred tax assets as at January 1, 2018 and December 31, 2018, and decreased revenue from listing fees for 2018.

Given the above deferral, the Group assessed that the adoption of PFRS 15 did not have a significant impact to the consolidated financial statements as at January 1, 2018.

▪ PFRS 9, *Financial Instruments*

PFRS 9 replaces the provisions of PAS 39, *Financial Instruments: Recognition and Measurement*, that relate to the recognition, classification and measurement of financial assets and financial liabilities, derecognition of financial instruments, impairment of financial assets and hedge accounting.

The adoption of PFRS 9 from January 1, 2018 resulted in changes in accounting policies but did not have a material impact on the consolidated financial statements. In accordance with the transitional provisions of PFRS 9, comparative figures have not been restated, thereby resulting in the following impact:

- a. Comparative information for prior periods are not restated. The classification and measurement requirements previously applied in accordance with PAS 39 and disclosures required in PFRS 7 are retained for the comparative periods.
- b. The accounting policies for both the current period and the comparative periods, one applying PFRS 9 and one applying PAS 39 are disclosed in the notes to the consolidated financial statements.

- c. The difference between the previous carrying amount and the carrying amount at the beginning of the annual reporting period that includes the date of initial application are recognized in the opening retained earnings or other component of equity, as appropriate.
- d. As comparative information is not restated, the Group is not required to provide a third statement of financial information at the beginning of the earliest comparative period in accordance with PAS 1, *Presentation of Financial Statements*.

Classification and Measurement

Financial Assets

From January 1, 2018 (date of initial application of PFRS 9), the Group classifies its financial assets in the following measurement categories: (i) those to be measured subsequently at fair value (either through OCI or through profit or loss), and (ii) those to be measured at amortized cost. The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at FVOCI.

The Group reclassifies debt instruments when and only when its business model for managing those assets changes.

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial assets not at FVTPL, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVTPL are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

- *Debt instruments.* Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. There are three measurement categories into which the group classifies its debt instruments: (i) amortized cost; (ii) FVOCI; and (iii) FVTPL.

The Group has debt instruments at FVOCI and amortized cost. Assets that are held both for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss and recognized in other gains (losses). Interest income from these financial assets is included in interest income using the effective interest rate method.

Assets that are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and which contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, are measured at amortized cost.

Assets that do not meet the criteria for amortized cost or FVOCI are measured at FVTPL. A gain or loss on a debt instrument that is subsequently measured at FVTPL is recognized in profit or loss in the period in which it arises.

- *Equity instruments.* The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity instruments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognized in profit or loss as other income when the Group's right to receive payments is established. Changes in the fair value of financial assets at FVTPL are recognized in other gains (losses) in the statement of profit or loss as applicable. Impairment losses (and reversal of impairment losses) on equity instruments measured at FVOCI are not reported separately from other changes in fair value.

On January 1, 2018, the Group assessed which business model apply to the financial assets held by the Group and has classified its financial assets into the appropriate categories. There was no material impact on the resulting reclassification.

A reconciliation between the carrying amounts under PAS 39 to the balances reported under PFRS 9 as at January 1, 2018 is presented below.

	Original Measurement Category under PAS 39	New Measurement Category under PFRS 9	Original Carrying Amount under PAS 39	New Carrying Amount under PFRS 9
Financial assets:				
Cash and cash equivalents	Loans and receivables	Financial assets at amortized cost	₱811,661,201	₱811,661,201
Receivables	Loans and receivables	Financial assets at amortized cost	72,172,760	72,172,760
Investment management agreement account	Financial assets at FVTPL	Financial assets at FVTPL	319,000,934	319,000,934
Investments in government securities and corporate bonds	AFS investments	Financial assets at FVOCI	512,916,376	512,916,376
Investment in equity securities	AFS investments	Financial assets at FVTPL	1,000,000	1,000,000
Refundable deposits	Loans and receivables	Financial assets at amortized cost	419,639	419,639
Deposits in bank	Loans and receivables	Financial assets at amortized cost	688,432	688,432
			₱1,717,859,342	₱1,717,859,342

Financial Liabilities

Financial liabilities are classified as at FVTPL when the financial liability is either held-for-trading or it is designated at FVTPL.

Under PFRS 9, Management may designate a financial liability as at FVTPL upon initial recognition when the following criteria are met, and designation is determined on an instrument-by-instrument basis:

- The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the liabilities or recognizing gains or losses on them on a different basis; or
- The liabilities are part of a group of financial liabilities which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy; or
- The financial instrument contains an embedded derivative, unless the embedded derivative does not significantly modify the cash flows or it is clear, with little or no analysis, that it would not be separately recorded.

The Group's adoption of PFRS 9 has no impact on its financial liabilities.

Impairment of Financial Assets at Amortized Cost and Financial Assets at FVOCI

PFRS 9 requires that the Group record expected credit losses (ECL) for all loans and other debt financial assets not classified as FVTPL, together with loan commitments and financial guarantee contracts. The adoption of PFRS 9 has fundamentally changed the Group's accounting for impairment loss for financial assets by replacing PAS 39's incurred loss approach with a forward looking ECL approach.

Incurred Loss versus Expected Credit Loss Methodology. The application of ECL significantly changes the Group's credit loss methodology and models. ECL represents credit losses that reflect an unbiased and probability-weighted amount which is determined by evaluating a range of possible outcomes, the time value of money and reasonable and supportable information about past events, current conditions and forecasts of future economic conditions. The objective is to record lifetime losses on all financial instruments which have experienced a significant increase in credit risk (SICR) since their initial recognition. As a result, ECL allowances are measured at amounts equal to either (i) 12-month ECL or (ii) lifetime ECL for those financial instruments which have experienced a SICR since initial recognition (General Approach). The 12-month ECL is the portion of lifetime ECL that results from default events over the expected life of a financial instrument. In comparison, the previous incurred loss model recognizes lifetime credit losses only when there is objective evidence of impairment while ECL model eliminated the threshold or trigger event required under incurred loss model, and lifetime ECL are recognized earlier.

Staging Assessment

For non-credit-impaired financial instruments:

- Stage 1 is comprised of all non-impaired financial instruments which have not experienced a SICR since initial recognition. The Group recognizes a 12-month ECL for Stage 1 financial instruments.
- Stage 2 is comprised of all non-impaired financial instruments which have experienced a SICR since initial recognition. The Group recognizes a lifetime ECL for Stage 2 financial instruments.

For credit-impaired financial instruments:

Financial instruments are classified as Stage 3 when there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition with a negative impact on the estimated future cash flows of a loan or a portfolio of loans. The ECL model requires a lifetime ECL for impaired financial instruments

For cash in bank and cash equivalents the Group has applied the General Approach and has calculated ECL based on 12-month ECL. For trade receivables, deposits and other trade receivable, the Group applied the simplified approach permitted by PFRS 9, which requires lifetime ECL to be recognized from initial recognition of the receivables. For debt instruments measured at FVOCI, the Group applied the General Approach where the ECL is based on the 12-month ECL. The 12-month ECL is the portion of lifetime ECL that results from default events on a financial instrument that are possible within 12 months after the reporting date. However, when there has been a SICR since origination, the allowance will be based on the lifetime ECL. As at January 1, 2018, the Group assessed that there was no SICR related to its financial assets at amortized cost and financial assets at FVOCI.

- Amendments to PFRS 2, *Share-based Payment, Classification and Measurement of Share-based Payment Transactions*

The amendments to PFRS 2 address three main areas: the effects of vesting conditions on the measurement of a cash-settled share-based payment transaction; the classification of a share-based payment transaction with net settlement features for withholding tax obligations; and the accounting where a modification to the terms and conditions of a share-based payment transaction changes its classification from cash-settled to equity-settled. Entities are required to apply the amendments to: (1) share-based payment transactions that are unvested or vested but unexercised as of January 1, 2018, (2) share-based payment transactions granted on or after January 1, 2018 and to (3) modifications of share-based payments that occurred on or after January 1, 2018. Retrospective application is permitted if elected for all three amendments and if it is possible to do so without hindsight.

The Group has assessed that the adoption of the amendments has no impact on the consolidated financial statements.

- Amendments to PFRS 4, *Applying PFRS 9 Financial Instruments with PFRS 4 Insurance Contracts*

The amendments address concerns arising from implementing PFRS 9, the new financial instruments standard before implementing the new insurance contracts standard. The amendments introduce two options for entities issuing insurance contracts: a temporary exemption from applying PFRS 9 and an overlay approach. The temporary exemption is first applied for reporting periods beginning on or after January 1, 2018. An entity may elect the overlay approach when it first applies PFRS 9 and apply that approach retrospectively to financial assets designated on transition to PFRS 9. The entity restates comparative information reflecting the overlay approach if, and only if, the entity restates comparative information when applying PFRS 9.

The amendments are not applicable to the Group since none of the entities within the Group have activities that are predominantly connected with insurance or issue insurance contracts.

- Amendments to PAS 28, *Investments in Associates and Joint Ventures, Measuring an Associate or Joint Venture at Fair Value (Part of Annual Improvements to PFRSs 2014 - 2016 Cycle)*

The amendments clarify that an entity that is a venture capital organization, or other qualifying entity, may elect, at initial recognition on an investment-by-investment basis, to measure its investments in associates and joint ventures at fair value through profit or loss. They also clarify that if an entity that is not itself an investment entity has an interest in an associate or joint venture that is an investment entity, the entity may, when applying the equity method, elect to retain the fair value measurement applied by that investment entity associate or joint venture to the investment entity associate's or joint venture's interests in subsidiaries. This election is made separately for each investment entity associate or joint venture, at the later of the date on which (a) the investment entity associate or joint venture is initially recognized; (b) the associate or joint venture becomes an investment entity; and (c) the investment entity associate or joint venture first becomes a parent. Retrospective application is required.

The Group has assessed that the adoption of these amendments has no impact on the financial statements.

- Amendments to PAS 40, *Investment Property, Transfers of Investment Property*

The amendments clarify when an entity should transfer property, including property under construction or development into, or out of investment property. The amendments state that a change in use occurs when the property meets, or ceases to meet, the definition of investment property and there is evidence of the change in use. A mere change in management's intentions for the use of a property does not provide evidence of a change in use. Retrospective application of the amendments is not required and is only permitted if this is possible without the use of hindsight.

Since the Group's current practice is in line with the clarifications issued, the Group assessed that the adoption of the amendments had no effect on its consolidated financial statements.

- *Philippine Interpretation IFRIC-22, Foreign Currency Transactions and Advance Consideration*

The interpretation clarifies that, in determining the spot exchange rate to use on initial recognition of the related asset, expense or income (or part of it) on the derecognition of a non-monetary asset or non-monetary liability relating to advance consideration, the date of the transaction is the date on which an entity initially recognizes the nonmonetary asset or non-monetary liability arising from the advance consideration. If there are multiple payments or receipts in advance, then the entity must determine the date of the transaction for each payment or receipt of advance consideration. Retrospective application of this interpretation is not required.

Since the Group's current practice is in line with the clarifications issued, the Group assessed that the adoption of the amendments has no effect on its consolidated financial statements

Future Changes in Accounting Policies

The Group did not early adopt the following new standards, amendments and improvements to PFRS and Philippine Interpretations that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its consolidated financial statements unless otherwise indicated.

Effective beginning on or after January 1, 2019

- *Amendments to PFRS 9, Prepayment Features with Negative Compensation*

Under PFRS 9, a debt instrument can be measured at amortized cost or at fair value through other comprehensive income, provided that the contractual cash flows are 'solely payments of principal and interest on the principal amount outstanding' (the SPPI criterion) and the instrument is held within the appropriate business model for that classification. The amendments to PFRS 9 clarify that a financial asset passes the SPPI criterion regardless of the event or circumstance that causes the early termination of the contract and irrespective of which party pays or receives reasonable compensation for the early termination of the contract. The amendments should be applied retrospectively and are effective from January 1, 2019, with earlier application permitted.

The Group has assessed that the adoption of these amendments will not have any impact on the consolidated financial statements of the Group.

- *PFRS 16, Leases*

PFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under PAS 17, *Leases*. The standard includes two recognition exemptions for lessees – leases of 'low-value' assets (e.g., personal computers) and short-term leases (i.e., leases with a lease term of 12 months or less). At the commencement date of a lease, a lessee will recognize a liability to make lease payments (i.e., the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e., the right-of-use asset). Lessees will be required to separately recognize the interest expense on the lease liability and the depreciation expense on the right-of-use asset.

Lessees will be also required to remeasure the lease liability upon the occurrence of certain events (e.g., a change in the lease term, a change in future lease payments resulting from a change in an index or rate used to determine those payments). The lessee will generally recognize the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset.

Lessor accounting under PFRS 16 is substantially unchanged from today's accounting under PAS 17. Lessors will continue to classify all leases using the same classification principle as in PAS 17 and distinguish between two types of leases: operating and finance leases.

PFRS 16 also requires lessees and lessors to make more extensive disclosures than under PAS 17.

A lessee can choose to apply the standard using either a full retrospective or a modified retrospective approach. The standard's transition provisions permit certain reliefs.

The Group is currently assessing the impact of adopting PFRS 16.

▪ Amendments to PAS 19, *Employee Benefits, Plan Amendment, Curtailment or Settlement*

The amendments to PAS 19 address the accounting when a plan amendment, curtailment or settlement occurs during a reporting period. The amendments specify that when a plan amendment, curtailment or settlement occurs during the annual reporting period, an entity is required to:

- Determine current service cost for the remainder of the period after the plan amendment, curtailment or settlement, using the actuarial assumptions used to remeasure the net defined benefit liability (asset) reflecting the benefits offered under the plan and the plan assets after that event; and
- Determine net interest for the remainder of the period after the plan amendment, curtailment or settlement using: the net defined benefit liability (asset) reflecting the benefits offered under the plan and the plan assets after that event; and the discount rate used to remeasure that net defined benefit liability (asset).

The amendments also clarify that an entity first determines any past service cost, or a gain or loss on settlement, without considering the effect of the asset ceiling. This amount is recognized in profit or loss. An entity then determines the effect of the asset ceiling after the plan amendment, curtailment or settlement. Any change in that effect, excluding amounts included in the net interest, is recognized in other comprehensive income.

The amendments apply to plan amendments, curtailments, or settlements occurring on or after the beginning of the first annual reporting period that begins on or after January 1, 2019, with early application permitted. These amendments will apply only to any future plan amendments, curtailments, or settlements of the Group.

▪ Amendments to PAS 28, *Long-term Interests in Associates and Joint Ventures*

The amendments clarify that an entity applies PFRS 9 to long-term interests in an associate or joint venture to which the equity method is not applied but that, in substance, form part of the net investment in the associate or joint venture (long-term interests). This clarification is relevant because it implies that the expected credit loss model in PFRS 9 applies to such long-term interests.

The amendments also clarified that, in applying PFRS 9, an entity does not take account of any losses of the associate or joint venture, or any impairment losses on the net investment, recognized as adjustments to the net investment in the associate or joint venture that arise from applying PAS 28, *Investments in Associates and Joint Ventures*.

The amendments should be applied retrospectively and are effective from January 1, 2019, with early application permitted.

The Group has assessed that the adoption of these amendments will not have any impact on the 2018 financial statements.

▪ Philippine Interpretation IFRIC-23, *Uncertainty over Income Tax Treatments*

The interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of PAS 12, *Income Taxes*, and does not apply to taxes or levies outside the scope of PAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments.

The interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately.
- The assumptions an entity makes about the examination of tax treatments by taxation authorities.
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates.
- How an entity considers changes in facts and circumstances.

An entity must determine whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments. The approach that better predicts the resolution of the uncertainty should be followed.

The Group is currently assessing the impact of adopting this interpretation.

▪ *Annual Improvements to PFRSs 2015-2017 Cycle*

- Amendments to PFRS 3, *Business Combinations*, and PFRS 11, *Joint Arrangements, Previously Held Interest in a Joint Operation*

The amendments clarify that, when an entity obtains control of a business that is a joint operation, it applies the requirements for a business combination achieved in stages, including remeasuring previously held interests in the assets and liabilities of the joint operation at fair value. In doing so, the acquirer remeasures its entire previously held interest in the joint operation.

A party that participates in, but does not have joint control of, a joint operation might obtain joint control of the joint operation in which the activity of the joint operation constitutes a business as defined in PFRS 3. The amendments clarify that the previously held interests in that joint operation are not remeasured.

An entity applies those amendments to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period beginning on or after January 1, 2019 and to transactions in which it obtains joint control on or after the beginning of the first annual reporting period beginning on or after January 1, 2019, with early application permitted. These amendments are currently not applicable to the Group but may apply to future transactions.

- Amendments to PAS 12, *Income Tax Consequences of Payments on Financial Instruments Classified as Equity*

The amendments clarify that the income tax consequences of dividends are linked more directly to past transactions or events that generated distributable profits than to distributions to owners. Therefore, an entity recognizes the income tax consequences of dividends in profit or loss, other comprehensive income or equity according to where the entity originally recognized those past transactions or events.

An entity applies those amendments for annual reporting periods beginning on or after January 1, 2019, with early application is permitted.

The Group is currently assessing the impact of adopting these amendments.

- Amendments to PAS 23, *Borrowing Costs, Borrowing Costs Eligible for Capitalization*

The amendments clarify that an entity treats as part of general borrowings any borrowing originally made to develop a qualifying asset when substantially all of the activities necessary to prepare that asset for its intended use or sale are complete.

An entity applies those amendments to borrowing costs incurred on or after the beginning of the annual reporting period in which the entity first applies those amendments. An entity applies those amendments for annual reporting periods beginning on or after January 1, 2019, with early application permitted.

These amendments are currently not applicable to the Group but may apply to future transactions.

Effective beginning on or after January 1, 2020

- Amendments to PFRS 3, *Definition of a Business*

The amendments to PFRS 3 clarify the minimum requirements to be a business, remove the assessment of a market participant's ability to replace missing elements, and narrow the definition of outputs. The amendments also add guidance to assess whether an acquired process is substantive and add illustrative examples. An optional fair value concentration test is introduced which permits a simplified assessment of whether an acquired set of activities and assets is not a business.

An entity applies those amendments prospectively for annual reporting periods beginning on or after January 1, 2020, with earlier application permitted.

These amendments will apply on future business combinations of the Group.

- Amendments to PAS 1, *Presentation of Financial Statements*, and PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors, Definition of Material*

The amendments refine the definition of material in PAS 1 and align the definitions used across PFRSs and other pronouncements. They are intended to improve the understanding of the existing requirements rather than to significantly impact an entity's materiality judgements.

An entity applies those amendments prospectively for annual reporting periods beginning on or after January 1, 2020, with earlier application permitted.

Effective beginning on or after January 1, 2021

▪ PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach).
- A simplified approach (the premium allocation approach) mainly for short-duration contracts.

PFRS 17 is effective for reporting periods beginning on or after January 1, 2021, with comparative figures required. Early application is permitted. These amendments are currently not applicable to the Group.

Deferred effectivity

▪ Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board (IASB) completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures. These amendments are currently not applicable to the Group but may apply to future transactions.

3. Summary of Significant Accounting Policies and Financial Reporting

Current versus Noncurrent Classification

The Group presents assets and liabilities in consolidated statement of financial position based on current/noncurrent classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from dates of placement and are subject to an insignificant risk of change in value.

Determination of Fair Value

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

Financial Instruments

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Recognition, Measurement, Derecognition, and Impairment of Financial Instruments (Upon Adoption of PFRS 9)

Initial Recognition and Measurement. Financial assets are classified, at initial recognition, as financial assets measured at amortized cost, FVTPL and FVOCI. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVTPL, transaction costs that are attributable to the acquisition of the financial asset.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial liabilities are recognized initially at fair value and in the case of loans and borrowings, inclusive of directly attributable transaction costs (referred to herein as "debt issue costs").

The Group has no financial liabilities at FVTPL at December 31, 2018.

Subsequent Measurement. For purposes of subsequent measurement financial assets are classified in three categories:

- Financial assets at FVTPL

Financial assets at FVTPL comprise of quoted equity instruments which the Group has not irrevocably elected, at initial recognition or transition, to classify at FVOCI.

The Group has no financial asset designated at FVTPL on initial recognition or transition.

As at December 31, 2018, the Group has financial assets classified as financial assets at FVTPL (see Note 8).

- Financial Assets at Amortized Cost

This category includes financial assets: (a) which are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and (b) which contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

As at December 31, 2018, this category includes cash and cash equivalents, receivables, deposits in bank and refundable deposits. (see Notes 7, 10 and 11)

- Financial Assets at FVOCI

Financial Assets at FVOCI with recycling

This category includes financial assets: (a) which are held within a business model in which assets are managed to achieve a particular objective by both collecting contractual cash flows and selling financial assets; and (b) which contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

As at December 31, 2018, this category includes investments in government securities and corporate bonds (see Note 9).

Financial Assets at FVOCI without recycling

Financial assets at FVOCI comprise of unquoted equity instruments which the Group has irrevocably elected, at initial recognition or transition, to classify at FVOCI.

The Group has no financial asset designated at FVOCI on initial recognition or transition.

- Financial liabilities

For purposes of subsequent measurement, financial liabilities are classified either as financial liabilities at FVTPL or financial liabilities at amortized cost.

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the EIR method.

Debt issue costs are amortized over the life of the debt instrument using the EIR method. Debt issue costs are netted against the related loans and borrowings allocated correspondingly between the current and noncurrent portion.

Gains and losses are recognized in the profit or loss when the liabilities are derecognized, as well as through the amortization process.

As at December 31, 2018, this category includes accounts payable and other current liabilities (excluding payable to government agencies) (see Note 15).

Derecognition of Financial Assets and Financial Liabilities

Financial Assets. An entity shall derecognize a financial asset when, and only when:

- the contractual rights to the cash flows from the financial asset expire; or
- the Group transfers the contractual rights to receive the cash flows of the financial asset or retains the contractual rights to receive the cash flows of the financial assets, but assumes a contractual obligation to pay the cash flows to one or more recipients in an arrangement where:
 - a. the Group has no obligation to pay amounts to the eventual recipients unless it collects equivalent amounts from the original asset. Short-term advances by the entity with the right of full recovery of the amount lent plus accrued interest at market rates do not violate this condition;
 - b. the Group is prohibited by the terms of the transfer contract from selling or pledging the original asset other than as security to the eventual recipients for the obligation to pay them cash flows; and
 - c. the Group has an obligation to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the entity is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents during the short settlement period from the collection date to the date of required remittance to the eventual recipients, and interest earned on such investments is passed to the eventual recipients.

When the Group transfers a financial asset, it evaluates the extent to which it retains the risks and rewards of ownership of the financial asset. The transfer of risks and rewards is evaluated by comparing the Group's exposure, before and after the transfer, with the variability in the amounts and timing of the net cash flows of the transferred asset. The Group has retained substantially all the risks and rewards of ownership of a financial asset if its exposure to the variability in the present value of the future net cash flows from the financial asset does not change significantly as a result of the transfer. The Group has transferred substantially all the risks and rewards of ownership of a financial asset if its exposure to such variability is no longer significant in relation to the total variability in the present value of the future net cash flows associated with the financial asset.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in profit or loss.

Impairment of Financial Assets

The Group's accounting for impairment losses for financial assets uses a forward-looking ECL approach. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows the Group expects to receive. For cash in bank and cash equivalents, the Group has applied the General Approach and has calculated ECL based on 12-month ECL. For trade receivables, deposits and other current receivables, the Group has applied the simplified approach and has calculated ECL based on lifetime ECL. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Definition of Default and Credit-impaired Financial Assets. The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

- *Quantitative criteria.* For trade receivables and all other financial assets subject to impairment, default occurs when the receivable becomes 90 days past due.
- *Qualitative criteria.* The counterparty meets unlikelihood to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:
 - a. The counterparty is experiencing financial difficulty or is insolvent;
 - b. The counterparty is in breach of financial covenant(s);
 - c. An active market for that financial assets has disappeared because of financial difficulties;
 - d. Concessions have been granted by the Group, for economic or contractual reasons relating to the counterparty's financial difficulty;
 - e. It is becoming probable that the counterparty will enter bankruptcy or other financial reorganization; or
 - f. Financial assets are purchased or originated at a deep discount that reflects the incurred credit losses.

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to the ECL models throughout the Group's expected loss calculation.

Incorporation of Forward-looking information. The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. To do this, the Group has considered a range of relevant forward-looking macro-economic assumptions for the determination of unbiased general industry adjustments and any related specific industry adjustments that support the calculation of ECLs.

Based on the Group's evaluation and assessment and after taking into consideration external actual and forecast information, the Group considers two or more economic scenarios and the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies, monetary authorities and selected private-sector and academic institutions.

The Group has identified and documented key drivers of credit risk and credit losses of each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The Group considers macro-economic factors such as GDP growth rates and inflation rates of selected countries in its analysis.

Predicted relationship between the key indicators and default and loss rates on portfolios of financial assets have been developed based on analyzing historical data over the past 5 years. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The Group has not identified any uncertain event that is relevant to its assessment of the risk of default occurring on the financial instrument.

Determining the Stage for Impairment. At each reporting date, the Group assesses whether there has been a significant increase in credit risk for financial assets since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Group considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and forward-looking analysis.

Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Group's investment grade criteria are considered to have a low credit risk. The provision for credit losses for these financial assets is based on a 12-month ECL. The low credit risk exemption has been applied on debt investments that meet the investment grade criteria of the Group from the time of origination.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the loss allowance measurement reverts from lifetime ECL to 12-months ECL.

Grouping of Instruments for Losses Measured on Collective Basis. For expected credit loss provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogeneous. In performing this grouping, there must be sufficient information for the Group to be statistically credible. Where sufficient information is not available internally, the Group has considered benchmarking internal/external supplementary data to use for modelling purposes. The characteristics and any supplementary data used to determine groupings are outlined below.

Trade receivables – Groupings for collective measurement:

- a. Trading Participants
- b. Listed Companies
- c. Data Vendors

The following credit exposures are assessed individually:

- All Stage 3 assets, regardless of the class of financial assets
- The cash and cash equivalents, investment in debt securities and other long-term investments, and other financial assets

Write-off Policy. The financial exposures of the Group are written-off based on Management's decision of whether receivables from counterparties are still collectible or not.

Recognition, Measurement, Derecognition and Impairment of Financial Instruments (Prior to Adoption of PFRS 9)

Initial Recognition of Financial Instruments. Financial assets are classified, at initial recognition, as financial assets at FVTPL, loans and receivables, held-to-maturity investments (HTM), AFS investments, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVTPL, transaction costs that are attributable to the acquisition of the financial asset.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group has no HTM investments, financial liabilities at FVTPL and derivatives designated as hedging instruments in an effective hedge as at December 31, 2017.

Subsequent Measurement. The subsequent measurement of financial assets depends on their classification as follows:

Financial Assets at FVTPL. Financial assets at FVTPL include financial assets held for trading and financial assets designated upon initial recognition at FVTPL. Financial assets are classified as held for trading if these are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including any separated derivatives, are also classified under financial assets at FVTPL, unless these are designated as effective hedging instruments as defined by PAS 39. The Group has not designated any financial assets at FVTPL. Financial assets at FVTPL are carried in the consolidated statement of financial position at fair value with net changes in fair value presented as interest expense (negative net changes in fair value) or interest income (positive net changes in fair value) in profit or loss.

As at December 31, 2017, this category includes the Group's investment in management account which is classified as FVTPL as it is being managed on a fair value basis (see Note 8).

Loans and Receivables. Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the EIR. The EIR amortization is included in the "Interest income" account in profit or loss. The losses arising from impairment are recognized in profit or loss as part of "Others - net" account.

As at December 31, 2017, this category includes cash and cash equivalents, receivables (except advances to employees and suppliers) and refundable deposit included under "Other current assets" account and "Other noncurrent assets" account (see Note 14).

AFS Investments. AFS investments include equity investments and debt securities. Equity investments classified as AFS are those that are neither classified as held for trading nor designated as FVTPL. Debt securities in this category are those that are intended to be held for an indefinite period of time and that may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, AFS investments are subsequently measured at fair value with unrealized gains or losses recognized in OCI and credited in the AFS reserve in equity until the investments is derecognized, at which time the cumulative gain or loss is recognized in the consolidated statement of comprehensive income, or the investment is determined to be impaired, when the cumulative loss is reclassified from the AFS reserve in equity to the consolidated statement of comprehensive income. Interest earned while holding AFS investments is reported as interest income using the EIR method.

The Group evaluates whether the ability and intention to sell its AFS investments in the near term is still appropriate. When, in rare circumstances, the Group is unable to trade these financial assets due to inactive markets, the Group may elect to reclassify these financial assets if the management has the ability and intention to hold the assets for foreseeable future or until maturity.

The Group's AFS investments as at December 31, 2017 include investments in government debt securities, corporate bonds and quoted equity securities (see Note 9).

Other Financial Liabilities. This category pertains to financial liabilities that are not held for trading or not designated as at FVTPL upon the inception of the liability. These include liabilities arising from operations and borrowings. Other financial liabilities are recognized initially at fair value and are subsequently carried at amortized cost, taking into account the impact of applying the EIR method of amortization (or accretion) for any related premium, discount and any directly attributable transaction costs. Gains and losses are recognized in the consolidated statements of comprehensive income when the liabilities are derecognized as well as through the EIR amortization process.

This category includes accounts payable and other current liabilities (excluding payable to government agencies) (see Note 16).

Derecognition of Financial Assets and Liabilities

Financial Asset. A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- The rights to receive cash flows from the asset have expired; or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either: (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the profit or loss.

Impairment of Financial Assets

The Group assesses at each reporting date whether a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired, if and only if, there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (an incurred loss event) and that loss event has an impact on the estimated future cash flows of the financial asset or a group of financial assets that can be reliably estimated. Objective evidence of impairment may include indications that the borrower or a group of borrowers is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization and where observable data indicate that there is measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Assets Carried at Amortized Cost. The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are no longer included in a collective assessment of impairment.

The amount of any impairment loss identified is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original EIR.

The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognized in the profit or loss. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to interest expense in profit or loss.

AFS Investments. For AFS financial assets, the Group assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of equity investments classified as AFS, objective evidence would include a significant or prolonged decline in the fair value of the investment below its cost. 'Significant' is evaluated against the original cost of the investment and 'prolonged' against the period in which the fair value has been below its original cost. When there is evidence of impairment, the cumulative loss - measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognized in profit or loss is removed from OCI and recognized in profit or loss. Impairment losses on equity investments are not reversed through profit or loss; increases in their fair value after impairment are recognized in OCI.

The determination of what is 'significant' or 'prolonged' requires judgment. In making this judgment, the Group evaluates, among other factors, the duration or extent to which the fair value of an investment is less than its cost.

In the case of debt instruments classified as AFS, the impairment is assessed based on the same criteria as financial assets carried at amortized cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the consolidated statement of profit or loss.

Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest is recorded as part of interest income. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through profit or loss.

'Day 1 Difference'

Where the transaction price in a non-active market is different from the fair value based on other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day 1 difference') in the profit or loss unless it qualifies for recognition as some other type of asset. In cases where unobservable data is used, the difference between the transaction price and model value is recognized in the profit or loss only when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1 difference' amount.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, even of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Other Current Assets

Other current assets include prepaid expenses which are expenses paid in advance and recorded as asset before they are utilized; and creditable withholding taxes, which will be applied in the following year against the Group's corporate income tax due.

Value-added Tax (VAT)

Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxable authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statement of financial position.

Property and Equipment

Property and equipment, except land, is stated at cost less accumulated depreciation and any impairment in value. The cost of the land, which is represented by shares in the Condominium Corporation donated to the Parent Company, is valued at the fair value of the land at the date of donation. Land is subsequently carried at cost less any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful life of the depreciable assets:

Buildings	25 years
Building improvements	10 years
Trading system equipment	3 to 7 years
Computer hardware and peripherals	3 to 5 years
Transportation equipment	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until these are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.

Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and readily for use.

Computer Software

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Computer software development costs recognized as assets are amortized using the straight-line method over their estimated useful life, but not exceeding a period of seven (7) years.

Investment in an Associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investment in an associate is accounted for under the equity method.

Under the equity method, investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share in the net asset of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

Profit or loss reflects the Parent Company's share in the result of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest on the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting date as the Group. The accounting policies of the associate conform to those used by the Group for like transactions and events in similar circumstances.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognized the loss as "Equity in net income of an associate" account in the consolidated statement of comprehensive income.

Upon loss of significant influence over the associate, the Group measures and recognized any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of comprehensive income.

Impairment of Nonfinancial Assets

The carrying values of property and equipment, investment property, computer software, and investment in an associate are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying value exceeds the estimated recoverable amount, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable

amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deferred Fees

Deferred fees represent listing fees, listing maintenance fees and data feed fees (prior to adoption of PFRS 15) which are collected but not yet earned as at reporting date. This account is reversed and recognized as revenue when services are rendered.

Capital Stock and Additional Paid-in Capital

Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value, if any, are recognized as additional paid-in capital stock.

Subscribed Capital Stock / Subscription Receivable

Subscribed shares are the shares of stock that will be issued upon completion of an installment purchase contract with an investor. Subscribed shares are presented net of subscription receivable.

Treasury Shares

The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital.

Retained Earnings

Retained earnings represent accumulated earnings, net of dividends declared and the cumulative effect of the retrospective application of change in accounting policy.

Donated Capital and Donation Income

Donations received, other than those contributions from equity participants, are recognized as income on the date of donation. Donations in kind are recognized at the fair value of asset received. Donated capital becomes available for dividend declaration when all conditions or restrictions are met such that the asset received will be for the exclusive use of the Exchange for at least a period of 10 years from the date of the occupancy.

Dividends on Common Shares

Dividends on common shares are recognized as a liability and deducted from equity when approved by the BOD of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Employee Stock Purchase Plan

All regular employees in good standing are granted options to purchase shares, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). ESPP is considered an equity-settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which these are granted. The fair value is determined using the quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date). The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period. No expense is recognized for awards that do not ultimately vest.

Revenue Recognition (Upon Adoption of PFRS 15)

The following is a description of the principal activities separated by reportable segments from which the Group generates its revenue.

Listing-related Fees

Listing-related revenues mainly pertain to fees from approved applications for initial and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange also recognizes annual fees for maintenance of listings which are directly affected by the change in number of shares and market price.

Processing Fees. These are non-refundable upfront fees paid to administer the requirements of the applying customer before the approval to listing. Revenue is recognized upon receipt of the payment and services are rendered on a period of 20-30 days. The Parent Company recognizes processing fees at point in time upon the receipt of payment from customers.

Initial Listing Fees. These are income from approved applications of Initial Public Offering (IPO) and computed based on percentage (%) of market capitalization. Initial listing fee shall be paid as soon as practicable which in no case shall be later than 15 calendar days from the receipt of approval. Following the requirements of PFRS 15 on listing fees, the revenue is recognized over time based on the duration of the customer's listing life. However, the application of this requirement was deferred for a period of one (1) year (see Note 2). As a result of the deferral, in 2018, the revenue from initial listing fees is recognized upon the listing of the new securities issued by the applicant.

Additional Listing Fees. These are income from issuances of new voting shares to any party by a listed customer. Such transactions may include private placements, share swaps, property-for-share swaps, or conversion of securities into equity. Following the requirements of PFRS 15 on listing fees, the revenue is recognized over time based on the duration of the customer's listing life. However, the application of this requirement was deferred for a period of one (1) year (see Note 2). As a result of the deferral, in 2018, the revenue from additional listing fees is recognized upon the listing of the additional securities issued by the applicant.

Listing Maintenance Fees. These are annual fee paid by listed customer based on percentage of market capitalization. The revenue is earned by means of providing ongoing market access and maintenance of the listing (for example, maintaining technology, regulatory oversight and general operation). Revenue is recognized over-time by spreading out through the year.

Service related Fees

Service fees are revenue from services provided by Subsidiaries (SCCP and CMIC). These include Settlement and Clearing Services from SCCP; Seminars and Management Services from CMIC.

Settlement and Clearing Fee. These are income from services provided to clearing members that includes risk management functions during the settlement and clearing process of any eligible trades. Revenue from these services is recognized at a point in time.

Management Fee. Management fee is collected against failed Trading Participants (TP) in exchange of management services to facilitate settlement and liquidation of Customers' claims. Revenue from these services shall be recognized over-time based on five (5)-year minimum period from the date of take-over of the TP's book.

Seminar Fee. These are income from seminars and trainings conducted for the TP. Revenue is recognized when services are rendered.

Trading related Fees

Trading related fees are revenues that are directly affected by the trading volume of the Exchange for the period. These include Transaction/Block Sales, Data Feed and Subscription Fees.

Transaction Fees. These are revenues billed based on 0.005% of the peso value of the volume of the buying and selling of shares of stocks by Investors to Trading Participants/Brokers of the Parent Company. Revenue is recognized at point in time once the trading transaction is completed.

Block Sales. These revenue pertain to income computed from 0.005% of the peso value of the volume of the block sale transactions. Block sales are pre-arranged stock transactions by and among the broker dealers' clients or among two brokers representing their clients whose trading transactions do not go below ₱20.0 million. Revenue is recognized at point in time once the block sale transaction is completed.

Data Feed Fees. This revenue account consists of subscription and data feed fees paid by the data feed customers for the access to market data other than those basic information posted in the Exchange's disclosure website. Revenue is recognized over time on a monthly basis.

Subscription Fees. These are fees paid by the Trading Participants to allow them to transact in trading activities with the PSE through access in different PSE trading sites and facilities. Revenue is recognized over the period covered by the subscription.

Contract Balances

- *Trade Receivables.* A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).
- *Contract Assets.* A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

- *Contract Liabilities.* A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration or an amount of consideration is due from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due, whichever is earlier. If the revenue recognized which is determined based average period of listing is lower than the amount collected as of date arising from the contract with the customer, a contract liability is recognized for the difference.

Revenue Recognition (Prior to PFRS 15)

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties. The Group assesses its revenue arrangements against specific criteria to determine if it is acting as principal or agent. The Group has concluded that it is acting as principal in all of its revenue arrangements.

The following specific recognition criteria must also be met before revenue is recognized:

Listing Fees. Listing fees for initial public offering are recognized upon listing of an applicant. The additional listing fees are recognized upon the listing of new securities issued by an applicant.

Listing Maintenance, Processing, Service Fees, and Trading-related Fees. Revenue is recognized when the related services are rendered.

Other Revenues. Revenue is recognized when the services are rendered or when penalties or fines are charged. This account mainly consists of trading and listing related fines and penalties for late payment, late submission of requirements, noncompliance and nondisclosure of listed companies.

Interest Income. Revenue is recognized as the interest accrues, taking into account the effective yield of the asset.

Dividend Income. Dividend income is recognized when the Group's right to receive the dividend payment is established.

Expense Recognition

Expenses are recognized in the profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in the profit or loss on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statements of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Pension and Other Post-employment Benefits

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans. The defined benefit plans cover the Group's permanent employees. The retirement fund of the Parent Company is being administered by its trustees. The Group's retirement cost is actuarially determined using the projected unit credit method. This method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost;
- Net interest on the net defined benefit liability or asset; and
- Remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which these arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Group recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Group recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Employee Leave Entitlements. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting date. These are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to pay as a result of the unused entitlement.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

Operating Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date, whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset, even if that right is not explicitly specified in an arrangement.

Group as a Lessee. Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments are recognized as an expense in the statement of comprehensive income on a straight-line basis over the lease term.

Income Taxes

Current Income Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Deferred Income Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward of unused tax credits can be utilized, except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred income tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiary.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Income tax relating to OCI is recognized in OCI section of the consolidated statement of comprehensive income.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date. All differences are taken to profit or loss. For income tax purposes, foreign exchange gains and losses are treated as taxable income or deductible expenses when realized.

Earnings Per Share (EPS)

Basic EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, with retroactive adjustments for any stock dividends declared, if any.

Diluted EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, adjusted for the effects of potential dilutive shares. Stocks under the ESPP are deemed to have been converted into shares on the date of grant.

Operating Segments

For management purpose, the Group is organized and managed under a single business segment, the equity securities market, which is the basis upon which the Parent Company reports its primary segment information.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the

passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to the consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statement when an inflow of economic benefits is probable.

Events after the Reporting Period

Post-year-end events that provide additional information about the Group's financial position at the end of the reporting period (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statement when material.

4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRS requires the Group to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, at the end of the reporting date. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be determinable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Operating Lease Commitments – The Group as Lessee. The Group has entered into a property lease for its condominium units, office space and parking lots as a lessee. The Group has determined, based on evaluation of the terms and condition of the lease agreement, that the significant risks and rewards of ownership of the leased property was retained by the lessor and accounts this lease as operating lease. Other operating leases entered into by the Group include leases of office equipment, which are normally for a period of not more than a year, and/or renewable yearly. Rent expense arising from operating leases amounted to ₱51.41 million, ₱24.90 million and ₱9.81 million for the years ended December 31, 2018, 2017 and 2016, respectively (see Note 25).

Fair Values of Financial Assets and Liabilities. The Group carries certain financial assets at fair value. Fair value determinations for financial assets are based generally on listed or quoted market prices (see Note 6).

Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when these occur.

Impairment of Financial Assets at FVOCI and AFS Investments. Upon adoption of PFRS 9, the Group takes in to consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment in assessing the impairment of its financial assets at FVOCI. For financial debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established.

There were no provisions for impairment losses on the financial assets at FVOCI for the year ended December 31, 2018. The total carrying value of the financial assets at FVOCI amounted to ₱476.20 million as at December 31, 2018 (see Note 9).

Prior, to the adoption of PFRS 9, the Group treats AFS investments as impaired when there is objective evidence that an investment or a group of investments is impaired.

AFS equity investments as impaired when there has been a significant or prolonged decline in the fair value below its cost or where other objective evidence of impairment exists. The determination of what is 'significant' or 'prolonged' requires judgment. The Group treats 'significant' generally as 20% or more and 'prolonged' as greater than the period of six months. In addition, the Group evaluates other factors, including normal volatility in share price for quoted equities and the future cash flows and the discount factors for unquoted equities.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of the recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If this is the case, the carrying amount of the asset is increased to its recoverable amount. The increased amount cannot exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the consolidated statements of comprehensive income.

In the case of debt instruments classified as AFS, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the profit or loss.

Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest is recorded as part of interest income. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through profit or loss.

As at December 31, 2017, the Group assessed that its investment in quoted equity securities is impaired. The Group recognized provision for decline in value of equity securities of ₱0.10 million in the 2017 consolidated statement of comprehensive income. The total carrying value of AFS investments amounted to ₱513.92 million as at December 31, 2017 (see Note 9).

Impairment of Receivables. Upon adoption of PFRS 9, allowance for doubtful accounts is maintained at a level considered adequate to provide for potentially uncollectible receivables. The level of allowance is based on the Group's historical credit loss experience and forward-looking factors specific to the debtors and the economic environment that may affect collectability. The Group applies the simplified approach designed to identify potential uncollectible receivables and is performed on a continuous basis throughout the period.

There were no provisions for impairment of receivables the year ended December 31, 2018. The Group recognized a reversal of impairment loss amounting to ₱0.15 million in 2018 (see Note 10).

Prior to adoption of PFRS 9, the Group annually reviews its receivables that are individually significant to assess impairment. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, it collectively assesses them for impairment. For the purpose of a collective evaluation of impairment, receivables are grouped based on credit risk. In determining whether an impairment loss should be recorded in the consolidated statements of profit or loss, the Group makes judgment as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from the receivables. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers. Allowance for impairment losses is maintained at a level considered adequate to provide for potentially uncollectible receivables.

Provision for impairment losses on receivables amounted to ₱0.03 million and ₱0.31 million in 2017 and 2016, respectively. The Group recognized a reversal of impairment loss amounting to ₱0.05 million in 2017 and nil in 2016 (see Note 10).

The carrying values of receivables amounted to ₱99.38 million and ₱70.65 million as at December 31, 2018 and 2017, respectively (see Note 10).

Estimation of Useful Lives of Property and Equipment and Computer Software. The Group estimated the useful lives of its property and equipment and computer software based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment and computer software would increase the recorded depreciation and amortization expense and decrease the related assets.

There were no significant changes in the estimated useful lives of the Group's property and equipment and computer software as at December 31, 2018 and 2017.

Impairment of Investment in an Associate. The Group assesses impairment on its investment in an associate whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Among others, the factors that the Group considers important which could trigger an impairment review on its investment in an associate include the following:

- Deteriorating or poor financial condition;
- Recurring net losses; and
- Significant changes with an adverse effect on the technological, market, economic, or legal environment in which the associate operates have taken place during the period, or will take place in the near future.

There was no provision for impairment losses on the investment in an associate for the years ended December 31, 2018, 2017 and 2016. The carrying value of the investment in an associate amounted to ₱273.04 million and ₱359.20 million as at December 31, 2018 and 2017, respectively (see Note 13).

Provisions. The Group recognizes a provision for an obligation resulting from a past event when it has assessed that it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. These assessments are made based on available evidence, including the opinion of experts. Future events and developments may result in changes in these assessments which may impact the Group's financial position and performance (see Note 31).

Contingencies. The Group is currently involved in legal proceedings. The estimate of the probable costs for the resolution of these claims has been developed in consultation with counsel handling the defense in these matters and is based upon an analysis of potential results. The outcome of these legal proceeding are not presently determinable. In the opinion of management and its legal counsel, the eventual liability under these lawsuits or claims, if any, will not have a material or adverse effect on the consolidated financial position and results of operations (see Note 31).

Present Value of Pension Liability. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. Other key assumptions for pension obligations are based in part on current market conditions.

While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension obligations.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation, are presented in Note 27.

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at December 31, 2018 and 2017, the Parent Company and CMIC recognized total deferred tax assets amounting to ₱12.79 million and ₱19.51 million, respectively (see Note 26). SCCP's deferred tax asset, which were not recognized due to the use of the Optional Standard Deduction (OSD) method amounted to ₱3.29 million and ₱3.74 million as at December 31, 2018 and 2017, respectively (see Note 26).

5. Financial Risk Management Objectives and Policies

The Group's principal financial instruments consist of cash and cash equivalents, financial assets at FVTPL and AFS investments. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has other financial assets and liabilities such as receivables, other noncurrent assets - deposits in bank, accounts payable and other current liabilities excluding payable to government agencies, which arise directly from its operations. It is the Group's policy not to directly engage in the trading of financial instruments.

The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, interest rate risk and foreign currency risk. The Group's BOD, management and the Corporate Governance Officer review and agree on the policies of managing each of these risks as summarized below.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Exchange regularly evaluates its projected and actual cash flows.

To meet the requirement for liquidity, adequate cash flow is provided for administrative operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

	As at December 31, 2018				
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	P3,868,076,419	P-	P-	P73,500	P3,868,149,919
Receivables:					
Receivables from:					
Trading participants	57,733,669	-	-	-	57,733,669
Data vendors	11,271,056	-	-	-	11,271,056
Listed companies	3,141,038	-	-	-	3,141,038
Accrued interest receivable	13,250,095	-	-	-	13,250,095
Receivable from other fund members	193,166	-	-	-	193,166
Others	1,132,691	-	-	-	1,132,691
Deposits in bank	-	-	689,956	-	689,956
Financial assets at FVTPL	258,608,893	-	-	1,200,000	259,808,893
Financial assets at FVOCI:					
Government debt securities -*					
Long-term	15,498,269	16,759,778	329,331,360	-	361,589,407
Corporate bonds:*					
Short-term	10,305,425	-	-	-	10,305,425
Long-term	4,608,697	50,149,521	50,419,151	-	105,177,369
	P4,243,819,418	P66,909,299	P380,440,467	P1,273,500	P4,692,442,684
Financial Liabilities					
Other financial liabilities -					
Accounts payable and other current liabilities:					
Trade	P57,783,164	P-	P-	P-	P57,783,164
Due to SEC	82,135,484	-	-	-	82,135,484
Accrued expenses**	91,351,498	-	-	-	91,351,498
Others	4,574,921	-	-	-	4,574,921
	P235,845,067	P-	P-	P-	P235,845,067

*Including interest.

**Excluding accrued taxes amounting to P1.28 million.

	As at December 31, 2017				
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Loans and receivables:					
Cash and cash equivalents	P811,587,701	P-	P-	P73,500	P811,661,201
Receivables:					
Receivables from:					
Trading participants	57,014,698	-	-	-	57,014,698
Data vendors	3,120,307	-	-	-	3,120,307
Listed companies	3,070,698	-	-	-	3,070,698
Accrued interest receivable	4,035,671	-	-	-	4,035,671
Receivable from other fund members	4,483,276	-	-	-	4,483,276
Others	448,110	-	-	-	448,110
Other current assets -					
Refundable deposits	419,639	-	-	-	419,639
Other noncurrent asset -					
Deposits in bank	-	-	688,432	-	688,432
Financial assets at FVTPL	319,000,934	-	-	-	319,000,934
AFS investments:					
Government debt securities:*					
Short-term	5,045,605	-	-	-	5,045,605
Long-term	16,791,673	17,553,103	359,147,853	-	393,492,629
Corporate bonds -*					
Long-term	5,634,078	14,592,918	97,752,792	-	117,979,788
Equity securities	-	-	-	1,000,000	1,000,000
	P1,230,652,390	P32,146,021	P457,589,077	P1,073,500	P1,721,460,988
Financial Liabilities					
Other financial liabilities -					
Accounts payable and other current liabilities:					
Trade	P73,261,637	P-	P-	P-	P73,261,637
Due to SEC	96,835,212	-	-	-	96,835,212
Accrued expenses**	116,999,290	-	-	-	116,999,290
Others	15,352,115	-	-	-	15,352,115
	P302,448,254	P-	P-	P-	P302,448,254

*Including interest.

**Excluding accrued taxes amounting to P1.28 million.

Credit Risk

Credit risk refers to the potential loss arising from any failure by the Group's counterparties to fulfill their contractual obligations, as and when they fall due. The Group's credit exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of clearing participants and takes note of participants with potential default.

The credit risk of the Group's financial assets arises from default of the counterparty with maximum exposure equal to the carrying amounts of these financial instruments. The fair values of these financial instruments are disclosed in Note 6.

The tables below show the aging analysis of the Group's financial assets as at December 31, 2018 and 2017:

	As at December 31, 2018						
	Neither Past Due nor Impaired	Past Due but not Impaired				Past Due and Impaired	Total
		30 to 60 Days	60 to 120 Days	120 to 180 Days	Over 180 Days but Less than 360 Days		
Financial assets at amortized cost:							
Cash and cash equivalents*	P3,868,076,419	P-	P-	P-	P-	P-	P3,868,076,419
Receivables:							
Receivables from:							
Trading participants	57,396,942	1,100	2,200	2,200	10,280	320,947	57,733,669
Listed companies	810,820	2,580	-	-	3,360	2,324,278	3,141,038
Data vendors	8,829,010	179,588	1,580,733	681,725	-	-	11,271,056
Accrued interest receivable	13,250,095	-	-	-	-	-	13,250,095
Receivable from other fund members	193,166	-	-	-	-	-	193,166
Others	772,835	-	41,600	5,040	73,600	239,616	1,132,691
Other noncurrent assets -							
Deposits in bank	689,956	-	-	-	-	-	689,956
Financial assets at FVTPL	259,808,893	-	-	-	-	-	259,808,893
Financial assets at FVOCI:							
Government debt securities-							
Long-term	365,817,013	-	-	-	-	-	365,817,013
Corporate bonds:							
Short-term	9,952,565	-	-	-	-	-	9,952,565
Long-term	100,430,992	-	-	-	-	-	100,430,992
	P4,686,028,706	P183,268	P1,624,533	P688,965	P87,240	P2,884,841	P4,691,497,553

*Excluding cash on hand amounting to P0.07 million.

	As at December 31, 2017						
	Neither Past Due nor Impaired	Past Due but not Impaired				Past Due and Impaired	Total
		30 to 60 Days	60 to 120 Days	120 to 180 Days	Over 180 Days but Less than 360 Days		
Loans and receivables:							
Cash and cash equivalents*	P811,587,701	P-	P-	P-	P-	P-	P811,587,701
Receivables:							
Receivables from:							
Trading participants	56,693,751	-	-	-	-	320,947	57,014,698
Listed companies	228,980	19,120	19,960	-	328,360	2,474,278	3,070,698
Data vendors	-	796,323	1,522,107	801,877	-	-	3,120,307
Accrued interest receivable	4,035,671	-	-	-	-	-	4,035,671
Receivable from other fund members	4,483,276	-	-	-	-	-	4,483,276
Others	156,841	15,175	4,480	-	31,998	239,616	448,110
Other current assets -							
Refundable deposits	419,639	-	-	-	-	-	419,639
Other noncurrent assets -							
Deposits in bank	688,432	-	-	-	-	-	688,432
Financial assets at FVTPL	319,000,934	-	-	-	-	-	319,000,934
AFS investments:							
Government debt securities:							
Short-term	5,046,882	-	-	-	-	-	5,046,882
Long-term	392,903,294	-	-	-	-	-	392,903,294
Corporate bonds -							
Long-term	114,966,200	-	-	-	-	-	114,966,200
Equity securities	1,000,000	-	-	-	-	-	1,000,000
	P1,711,211,601	P830,618	P1,546,547	P801,877	P360,358	P3,034,841	P1,717,785,842

*Excluding cash on hand amounting to P0.07 million.

Credit Quality of Financial Assets

The credit quality of financial assets is managed by the Group using high quality and standard quality as internal credit ratings.

High Quality. This pertains to a counterparty who is not expected by the Group to default in settling its obligations, thus credit risk exposure is minimal. This normally includes large prime financial institutions, companies and government agencies.

Standard Quality. Other financial assets not belonging to high quality financial assets are included in this category.

The credit analyses of the Group's financial assets that are neither past due nor impaired as at December 31, 2018 and 2017 are as follows:

	2018		
	High Quality	Standard Quality	Total
Financial assets at amortized cost:			
Cash and cash equivalents*	₱3,868,076,419	₱-	₱3,868,076,419
Receivables:			
Receivables from:			
Trading participants	57,733,669	-	57,733,669
Listed companies	3,141,038	-	3,141,038
Data vendors	11,271,056	-	11,271,056
Accrued interest receivable	13,250,095	-	13,250,095
Receivable from other fund members	193,166	-	193,166
Others	1,132,691	-	1,132,691
Other noncurrent assets -			
Deposits in bank	689,956	-	689,956
Financial assets at FVTPL	258,608,893	1,200,000	259,808,893
Financial assets at FVOCI			
Government debt securities:			
Long-term	365,817,013	-	365,817,013
Corporate bonds:			
Short-term	9,952,565	-	9,952,565
Long-term	100,430,992	-	100,430,992
	₱4,690,297,553	₱1,200,000	₱4,691,497,553

*Excluding cash on hand amounting to ₱0.07 million.

	2017		
	High Quality	Standard Quality	Total
Loans and receivable:			
Cash and cash equivalents*	₱811,587,701	₱-	₱811,587,701
Receivables:			
Receivables from:			
Trading participants	56,693,751	-	56,693,751
Listed companies	228,980	-	228,980
Accrued interest receivable	4,035,671	-	4,035,671
Receivable from other fund members	4,483,276	-	4,483,276
Others	156,841	-	156,841
Other current assets -			
Refundable deposit	-	419,639	419,639
Other noncurrent assets -			
Deposits in bank	688,432	-	688,432
Financial assets at FVTPL	319,000,934	-	319,000,934
AFS Investments			
Government debt securities:			
Short-term	5,046,882	-	5,046,882
Long-term	392,903,294	-	392,903,294
Corporate bonds -			
Long-term	114,966,200	-	114,966,200
Equity securities	-	1,000,000	1,000,000
	₱1,709,791,962	₱1,419,639	₱1,711,211,601

*Excluding cash on hand amounting to ₱0.05 million.

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.

In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scripless Securities under the name of the Group.

The Treasury Manager is responsible for the identification of investments that provide a relatively stable rate of return and submit these identified investments to the Vice President for Controllershship and Treasury Division who endorses it to the Treasurer or President for approval. The Group is guided by a BOD who approved investment policy guidelines. Any exemption to the set policy

is subject to the approval of the BOD. In addition, on a monthly basis, the Treasurer reports the investment portfolio performance and management's performance associated with the investment portfolio to the BOD.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in equity price, interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVTPL on the consolidated statements of financial position. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

The effect on profit or loss (as a result of change in fair value of financial assets at FVTPL as at December 31, 2018 and 2017) due to a possible change in equity indices, based on historical trend, with all other variables held constant is as follows:

	Change in Equity Price	Effect on Profit or Loss/Equity (In Millions)
2018	+3.28%	₱8.84
	-3.28%	(8.84)
2017	+5.05%	₱6.77
	-5.05%	(6.77)

As at December 31, 2018 and December 31, 2017, the Group's exposure to equity price risk arising from equity securities investments is minimal.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.

The table below sets forth the sensitivity to a reasonable possible change in interest rates with all other variables held constant, of the Group's equity (through the impact on unrealized gain/loss on fixed rate debt financial assets at FVOCI in 2018 and AFS fixed rate debt securities in 2017).

	Effect on Equity	
	2018	2017
	(In Millions)	
Increase (Decrease) in interest rates:		
+70 basis points	(₱14.22)	(₱17.77)
-70 basis points	14.09	17.53

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at December 31, 2018 and 2017:

	2018		2017	
	In USD	In ₱	In USD	In ₱
Financial assets:				
Cash and cash equivalents	\$131,210	₱6,899,027	\$704,707	₱35,186,009
Receivables	206,174	10,840,652	255,558	12,760,014
	\$337,384	₱17,739,679	\$960,265	₱47,946,023

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rate used was ₱52.58 to US\$1.00 and ₱49.93 to US\$1.00, the Philippine peso to U.S. Dollar exchange rate as at December 31, 2018 and 2017, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

2018		2017	
USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)	USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)
5.31% (5.31%)	P0.94 (0.94)	0.42% (0.42%)	P0.20 (0.20)

The increase in ₱ rate as against US\$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.

There is no other impact on the equity other than those already affecting the consolidated statement of profit or loss.

6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets, by category and by class, recognized as at December 31, 2018 and 2017:

2018				
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVTPL	P259,808,893	P258,608,893	P1,200,000	P-
Financial assets at FVOCI:				
Government securities -				
Long-term	365,817,013	25,825,363	339,991,650	-
Corporate bonds:				
Current	9,952,565	9,952,565	-	-
Long-term	100,430,992	100,430,992	-	-
	476,200,570	136,208,920	339,991,650	-
	P736,009,463	P394,817,813	P341,191,650	P-
2017				
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVTPL	P319,000,934	P319,000,934	P-	P-
AFS investments:				
Government securities:				
Current	5,046,882	5,046,882	-	-
Long-term	392,903,294	26,418,824	366,484,470	-
Corporate bonds -				
Long-term	114,966,200	114,966,200	-	-
Equity securities	1,000,000	-	1,000,000	-
	512,916,376	146,431,906	367,484,470	-
	P831,917,310	P465,432,840	P367,484,470	P-

For the years ended December 31, 2018 and 2017, there were no transfers made among the three levels in the fair value hierarchy. There are no financial instruments classified under level 3.

Cash and Cash Equivalents, Receivables excluding Advances to Employees and Suppliers, Refundable Deposits and Other Noncurrent Assets – Deposits in Bank, Accounts Payable and Other Current Liabilities excluding Payable to government agencies

The carrying amounts approximate the fair values because of their short-term nature or due to the immaterial effect of discounting when present value of future cash flows from these instruments are calculated.

7. Cash and Cash Equivalents

This account consists of:

	2018	2017
Cash on hand and in banks	P203,923,616	P73,520,871
Cash equivalents	3,664,226,303	738,140,330
	P3,868,149,919	P811,661,201

Cash in banks earns interest at an average of 0.25% bank deposit rate. Time deposits are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 1.50% to 7.00% in 2018, 0.50% to 2.00% in 2017 and 1.50% to 2.00% in 2016.

Interest income earned from cash and cash equivalents amounted to P89.60 million, P12.80 million and P4.66 million in 2018, 2017 and 2016, respectively (see Note 20)

8. Financial Assets at FVTPL

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The funds were invested in traded equity securities. The fair value of the investment as at December 31, 2018 and 2017 amounted to P259.81 million and P319.00 million, respectively.

In 2018, the financial assets at FVTPL also included quoted equity securities that were previously classified as AFS investments (see Note 9).

Mark-to-market gain (loss) on financial assets at FVTPL amounted to (P37.02 million), P59.76 million and P31.75 million in 2018, 2017 and 2016, respectively.

Dividend income earned on financial assets at FVTPL amounted to P4.33 million, P4.67 million and P7.81 million in 2018, 2017 and 2016, respectively.

The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable (see Note 6).

9. Financial Assets at FVOCI/AFS Investments

This account consists of:

	2018	2017
Debt securities:		
Government debt securities	P365,817,013	P397,950,176
Corporate bonds	110,383,557	114,966,200
Total debt securities	476,200,570	512,916,376
Quoted equity securities	–	1,000,000
Total:		
Financial Assets at FVOCI	476,200,570	–
AFS investments	–	513,916,376
Less:		
Short-term Financial Assets at FVOCI	9,952,565	–
Short-term AFS investments	–	5,046,882
Long-term Financial Assets at FVOCI/AFS investments	P466,248,005	P508,869,494

Short-term financial assets at FVOCI as at December 31, 2018 pertain to corporate bonds with interest rate of 5.63% to 6.00% which will mature in 2019. Short-term AFS investments as at December 31, 2017 pertain to government debt securities with interest rate of 2.13% which will mature in 2018.

Peso-denominated long-term government debt securities and corporate bonds earn annual interest rates ranging from 2.13% to 6.00% in 2018 and 2.08% to 6.00% in 2017. Long-term government debt securities and corporate bonds as at December 31, 2018 and 2017 will mature starting 2020 to 2032.

Interest income earned from financial assets at FVOCI amounted to ₱49.22 million in 2018 and interest income earned from AFS investments amounted to ₱24.04 million and ₱27.20 million in 2017 and 2016, respectively (see Note 20).

The rollforward analysis of the Group's financial assets at FVOCI as at December 31, 2018 and AFS investments as at December 31, 2017 follows:

	2018	2017
Balance at beginning of year	₱513,916,376	₱550,067,011
Net change in fair value	(30,138,657)	(9,599,411)
Maturities	(5,046,881)	(25,000,000)
Amortization of premium	(1,530,268)	(1,451,224)
Reclassification of quoted equity securities to financial assets at FVTPL	(1,000,000)	-
Provision for decline in value of equity securities	-	(100,000)
Balance at end of year	₱476,200,570	₱513,916,376

The movement of net unrealized loss on financial assets at FVOCI as at December 31, 2018 and AFS investments as at December 31, 2017 follows:

	2018	2017
Balance at beginning of year	(₱18,567,910)	(₱8,968,499)
Net change in fair value	(30,138,657)	(9,599,411)
Balance at end of year	(₱48,706,567)	(₱18,567,910)

10. Receivables

This account consists of:

	2018	2017
Receivables from:		
Trading participants (Note 29)	₱57,733,669	₱57,014,698
Data vendors	11,271,056	3,120,307
Listed companies	3,141,038	3,070,698
Accrued interest receivable (Note 20)	13,250,095	4,035,671
Advances to/receivables from:		
Other fund members	193,166	4,483,276
Officers and employees	1,389,732	1,401,751
Suppliers	-	115,045
Dividends receivable	12,426,400	-
Others	2,863,340	448,110
Total	102,268,496	73,689,556
Less allowance for impairment loss	2,884,841	3,034,841
	₱99,383,655	₱70,654,715

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

The movements in the allowance for impairment losses follow:

	2018	2017	2016
Balance at beginning of year	P3,034,841	P3,060,601	P2,755,025
Reversal	(150,000)	(52,640)	-
Provision	-	26,880	305,576
Balance at end of year	P2,884,841	P3,034,841	P3,060,601

Provision for (reversal of) impairment losses is presented under "Others - net" account in profit or loss.

11. Other Current Assets

This account consists of:

	2018	2017
Input VAT - net of noncurrent portion	P32,149,218	P39,441,339
Prepaid expenses	17,844,235	42,069,175
Deposits	117,513	817,289
	P50,110,966	P82,327,803

Input VAT, net of noncurrent portion, represents VAT paid to suppliers that can be claimed as credit against the Group's future output VAT liabilities without prescription.

Prepaid expenses include prepayment of rental, insurance, prepaid income tax, creditable withholding tax and other expenses which are normally incurred within the next financial year.

Deposit pertains to refundable deposit of CMIC which are expected to be received within the next financial year.

12. Property and Equipment

The composition of and movements in property and equipment are as follows:

	2018								
	Land	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	Construction in progress - Office fit-out	Total
Cost									
At beginning of year	P155,690,154	P885,453,090	P157,513,609	P258,601,298	P509,039,017	P89,411,825	P21,388,430	P133,655,135	P2,210,752,558
Additions (Note 17)	-	96,209,906	-	22,515,088	2,197,418	50,819,935	1,903,482	19,957,231	193,603,060
Disposals	-	-	(117,179,870)	-	(363,450)	(1,998,687)	(1,799,107)	-	(121,341,114)
Reclassification	-	113,332,735	-	(13,000,000)	13,026,786	40,252,845	-	(153,612,366)	-
Write-off	-	-	(997,909)	-	-	(153,348)	-	-	(1,151,257)
At end of year	155,690,154	1,094,995,731	39,335,830	268,116,386	523,899,771	178,332,570	21,492,805	-	2,281,863,247
Accumulated Depreciation									
At beginning of year	-	68,853,697	156,202,456	125,473,642	320,721,494	77,633,753	7,533,500	-	756,418,542
Depreciation	-	42,840,651	1,106,092	26,586,290	58,897,353	16,234,882	4,827,316	-	150,492,584
Disposals	-	-	(117,179,842)	-	(363,444)	(2,484,387)	(1,244,045)	-	(121,271,718)
Reclassification	-	-	-	-	-	-	-	-	-
Write-off	-	-	(997,909)	-	-	(153,348)	-	-	(1,151,257)
At end of year	-	111,694,348	39,130,797	152,059,932	379,255,403	91,230,900	11,116,771	-	784,488,151
Net Book Value	P155,690,154	P983,301,383	P205,033	P116,056,454	P144,644,368	P87,101,670	P10,376,034	P-	P1,497,375,096

	2017								
	Land	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	Construction in progress - Office fit-out	Total
Cost									
At beginning of year	P155,690,154	P886,755,314	P156,132,995	P206,394,573	P361,936,540	P87,143,521	P14,522,394	P14,917,551	P1,883,493,042
Additions (Note 17)	-	-	83,490	54,650,776	156,025,684	2,635,232	11,816,036	118,737,584	343,948,802
Disposals	-	-	(5,100)	-	(1,969,341)	(366,928)	(4,950,000)	-	(7,291,369)
Write-off	-	-	-	(2,444,051)	(6,953,866)	-	-	-	(9,397,917)
Reclassification	-	(1,302,224)	1,302,224	-	-	-	-	-	-
At end of year	155,690,154	885,453,090	157,513,609	258,601,298	509,039,017	89,411,825	21,388,430	133,655,135	2,210,752,558
Accumulated Depreciation									
At beginning of year	-	57,600,001	154,597,732	102,428,538	286,556,717	75,528,426	6,465,494	-	683,176,908
Depreciation	-	11,253,696	1,609,823	23,813,106	42,726,308	2,470,485	3,738,453	-	85,611,871
Disposals	-	-	(5,099)	-	(1,859,697)	(365,158)	(2,670,447)	-	(4,900,401)
Write-off	-	-	-	(768,002)	(6,701,834)	-	-	-	(7,469,836)
At end of year	-	68,853,697	156,202,456	125,473,642	320,721,494	77,633,753	7,533,500	-	756,418,542
Net Book Value	P155,690,154	P816,599,393	P1,311,153	P133,127,656	P188,317,523	P11,778,072	P13,854,930	P133,655,135	P1,454,334,016

As at December 31, 2018 and 2017, the Group's acquisition of property and equipment which remains unpaid and is included under "Accounts payable and other current liabilities - Trade" amounted to ₱44.76 million and ₱49.98 million, respectively (see Note 34).

The Group disposed property and equipment with carrying value amounting to ₱0.05 million and ₱23.09 million with related gain (loss) on disposal amounting to ₱1.25 million and (₱0.11 million) in 2018 and 2017, respectively.

As at December 31, 2018, write-off of building improvements and office furniture and fixtures amounting to ₱1.00 million and ₱0.15 million, respectively, pertains to properties left at the Ayala office of CMIC.

As at December 31, 2017, write-off of computer hardware and peripherals amounting to ₱1.93 million pertains to those equipment which were no longer used for the Group's trading and technology operations.

As at December 31, 2018 and 2017, no property and equipment have been pledged as security or collateral for any of the Group's liabilities.

Land. This represents shares in a condominium corporation donated to the Parent Company. Ayala Land, Inc. (ALI) established a stock condominium corporation with the corporate name of Tower One and PSE Exchange Plaza Condominium for the purpose of holding title to the parcel of land where the Exchange Plaza is located and other common areas of the condominium. The PSE's share in the parcel of land where the condominium is located and the common areas of the condominium is classified under Land. The donation is divided into two tranches consisting of 120 and 176 shares, each valued at ₱63.12 million and ₱92.57 million, respectively. Such shares were received by the Parent Company on December 29, 1994 for the 120 shares and on January 15, 1995 for the 176 shares and were valued at fair market value of the land at the time of donation.

Buildings. These include condominium units at the PSE Plaza, Ayala Triangle and PSE Tower, Fort Bonifacio Global City (see Note 17). The condominium units at PSE Tower, Fort Bonifacio Global City were transferred and accepted by the Exchange on September 22, 2017.

Building Improvements. These pertain to improvements of office units at PSE Plaza, Ayala Triangle donated by ALI.

Construction in Progress. These pertain to expenditures for building improvements in the course of construction and installation of fit-out, furniture and equipment and computer hardware which was already transferred to the appropriate property and equipment accounts in 2018.

Trading System Equipment. This represents software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware.

13. Investment in an Associate

This account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC) whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments:

	2018	2017
Acquisition cost	₱137,050,657	₱137,050,657
Accumulated equity in net income of an associate:		
Balance at beginning of year	324,212,210	270,607,741
Share in net income of investee	38,860,417	53,604,469
Balance at end of year	363,072,627	324,212,210
Accumulated equity in other comprehensive loss -		
remeasurement losses on pension liability:		
Balance at beginning of year	(4,576,708)	(7,448,186)
Share in remeasurement gain	851,397	2,871,478
Balance at end of year	(3,725,311)	(4,576,708)
Accumulated dividend income:		
Balance at beginning of the year	(97,481,884)	(24,041,299)
Dividends declared during the year	(125,880,000)	(73,440,585)
Balance at end of year	(223,361,884)	(97,481,884)
	₱273,036,089	₱359,204,275

The available financial information of PDSHC follows (in millions):

	2018	2017
Current assets	₱1,244.07	₱1,547.52
Noncurrent assets	188.72	242.49
Current liabilities	162.49	95.58
Noncurrent liabilities	68.85	82.66
Total equity	1,201.45	1,611.77
Net income attributable to:		
Equity holder of the parent company	224.08	248.56
Noncontrolling interest	6.78	6.36
Other comprehensive income (loss)	40.07	13.69
Total comprehensive income	270.93	268.60

The reconciliation of the net assets of the associate to the carrying amounts of the interest in this associate recognized in the consolidated statements of financial position follows (in millions):

	2018	2017
Net assets of associate attributable to controlling shareholders	₱1,183.06	₱1,593.77
Proportionate ownership in net assets (20.98%)	248.21	334.37
Goodwill	24.83	24.83
	₱273.04	₱359.20

On August 13, 2014, the Parent Company's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of ₱2.25 billion.

On October 7, 2014, the Parent Company and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Parent Company of BAP's 28.90% stake in PDSHC.

On May 2, 2015, the Exchange's stockholders approved the increase in the Exchange's shareholdings in PDSHC to at least two-thirds (2/3) of the total issued and outstanding shares of PDSHC using a PDS equity value of ₱2.25 billion.

On May 27, 2015, the Exchange's BOD authorized the availing of a clean term loan in the total amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. The loan includes a 5-year term, with interest rate based on 5-year PDST R-2 on drawdown and can be released on a staggered basis as the need arises.

On July 22, October 27, November 12 and November 16 of 2015, the Exchange has signed Share Purchase Agreements (SPA) with the BAP, Finex Research and Development Foundation, Inc. (FINEX), Whistler Technology Services, Inc. (WTSI) and Insular Investment Corp. for the proposed purchase by the Exchange of 1,807,094 common shares or 28.91%, 192,776 common shares or 3.08%, 500,000 common shares or 8.00% and 192,776 common shares or 3.0844%, respectively.

On January 26, 2016, the Exchange submitted regulatory requirements to SEC.

On March 28, 2016, the Exchange received SEC En Banc Resolution No. 230, series of 2016, denying the application for exemptive relief by the PSE that was required for the acquisition to be completed. On the same date, BOD of PDSHC declared cash dividends in the amount of ₱18.33 per share to all stockholders of record as of December 31, 2015 payable on or before April 20, 2016.

On June 15, July 6, August 25, September 26, 2017 and November 8, 2017, the Exchange has signed SPAs with the shareholders of PDSHC, such as BAP, WTSI, Investment House of Association of the Philippines (IHAP) and Philippine American Life and General Insurance Co. (Philam) and FINEX, for the newly proposed purchase by the Exchange of 1,466,800 common shares or 23.47%, 500,000 common shares or 8.00%, 36,446 common shares or 0.58%, 250,000 common shares or 4.00%, and 192,776 common shares or 3.08%, respectively.

On September 13, 2017, the Exchange's BOD authorized the obtainment of a one-year loan in the amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC.

On September 28, 2017, BOD of PDSHC declared cash dividends in the amount of ₱56 per share (₱73.44 million) in favor of all shareholders on record as of June 30, 2017 payable on or before October 15, 2017.

On October 5, 2017, the Exchange entered into a loan agreement with Bank of Commerce amounting to ₱1,000.00 million. As at February 27, 2019, the Exchange has not yet made any drawdown to the loan.

On November 30, 2017, the proposed acquisition of PDHSC was deemed approved by the Philippine Competition Commission.

On January 12 and 15, 2018, the Exchange has signed SPAs with San Miguel Corporation and Tata Consulting Services Asia-Pacific Pte. Ltd. (TCS) for the proposed purchase by the Exchange of 250,000 common shares or 4.00% and 500,000 common shares or 8.00%, respectively.

On June 14, 2018, the BOD of PDSHC declared cash dividends in the amount of ₱96 per share (₱600.00 million) in favor of all shareholders on record as of June 14, 2018 payable on or before June 30, 2018.

On March 31, 2018, the SPAs with BAP, IHAP, Philam, FINEX and SMC were automatically terminated due to the non-satisfaction of closing condition on the target Closing Date. The SPA with TCS automatically lapsed on July 2, 2018. As at February 27, 2019, the acquisition of PDHSC has not yet been approved by the SEC.

14. Other Noncurrent Assets

This account consists of:

	2018	2017
Input VAT – noncurrent portion	₱48,397,216	₱45,497,950
Deposits in bank	689,956	688,432
Computer software – net	132,062	1,862,727
Prepaid rent – noncurrent portion	–	2,020,625
Other investments	54,106	54,106
	₱49,273,340	₱50,123,840

Noncurrent portion of input VAT pertains to deferred VAT that can be claimed as credit against future output VAT from the reporting date without prescription.

Deposits in bank represent the amount deposited by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

The movements in computer software account follow:

	2018	2017
Cost:		
Balance at beginning and end of year	₱68,229,080	₱68,229,080
Accumulated amortization:		
Balance at beginning of year	66,366,353	61,280,001
Amortization (Notes 21 and 22)	1,730,665	5,086,352
Balance at end of year	68,097,018	66,366,353
Net book value	₱132,062	₱1,862,727

On May 24, 2017, the Exchange and Philippine Realty and Holdings Corporation (PRHC) entered into a memorandum of agreement for the Exchange to sell its condominium units and parking slots at the Philippine Stock Exchange Center in Pasig City. On August 29, 2017, the Exchange and PRHC signed the deed of sale for the condominium units and parking slots of its investment property with carrying value of ₱4.56 million. The total consideration for the sale amounted to ₱272.61 million, resulting to a gain on sale of investment property amounting to ₱252.63 million.

Subsequent to the sale, the Exchange entered into a lease agreement with PRHC for the lease of the portion of the same property and agreed to deduct from the total consideration the advance rental payments amounting to ₱38.92 million (see Notes 11 and 25). As at December 31, 2017, the unamortized portion of prepaid rent amounted to ₱26.27 million (see Note 11). In 2018, the Exchange preterminated its contract with PRHC following the transfer of all operations at PSE Tower, Fort Bonifacio Global City. Rent expense amounting to ₱22.23 million was recorded as "Occupancy Costs" under the "General and Administrative Expenses" account (see Note 22).

15. Accounts Payable and Other Current Liabilities

This account consists of:

	2018	2017
Trade (Note 12)	₱57,783,164	₱73,261,637
Due to SEC	82,135,484	96,835,212
Accrued expenses:		
Occupancy costs	36,299,321	9,448,155
Telecommunication and others	12,240,084	9,226,922
Repairs and maintenance	11,810,652	31,001,971
Professional fees	10,379,833	6,192,458
Compensation and other related staff costs	4,612,274	6,728,607
Penalties (Note 18)	1,277,500	1,277,500
Legal costs	-	41,000,000
Other accrued expenses	16,009,334	13,401,177
Payable to government agencies	7,624,125	10,127,155
Others	4,574,921	15,352,115
	₱244,746,692	₱313,852,909

Trade, accrued expenses, payable to government agencies and others are noninterest-bearing, except for legal costs, and are normally settled within the next financial year.

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled "Additional Fees of Exchanges", which are subsequently billed and collected from active trading participants.

Legal costs in 2017 include estimates of legal services, settlement amounts and other costs of claims made against the Parent Company.

16. Contract Liabilities, Deferred Fees and Others

Contract Liabilities

This account consists of:

	2018	2017
Data feed fees	₱11,762,446	₱-
Management fees	479,315	-
Total	12,241,761	-
Less contract liabilities - net of current portion	239,658	-
Total current portion of contract liabilities	₱12,002,103	₱-

Deferred fees and others

This account consists of:

	2018	2017
Deferred fees:		
Listing fees*	₱23,727,843	₱5,476,354
Data feed fees	-	11,043,855
Others	366,821	321,274
Deferred output tax	6,388,364	3,811,784
	₱30,483,028	₱20,653,267

*In 2018, the adoption of PFRS 15 on listing fees was deferred for a period of one year (see Note 2).

Contract liabilities from data feed fees and management fees, deferred revenue from listing, data feed and others are normally realized within the next financial year. The noncurrent portion of contract liabilities are expected to be realized in 2020.

17. Donated Capital

As at December 31, 2018 and 2017, this account consists of donations from:

	2018	2017
ALI (Note 12)	P235,690,154	P235,690,154
FBDC	211,597,831	211,597,831
PRHC	-	139,542,000
	P447,287,985	P586,829,985

On November 12, 2002, the Parent Company and FBDC executed a Definitive Agreement with the following salient terms and conditions: (i) the Parent Company agrees to relocate its headquarters, majority of its management offices and its unified trading operations in equity securities for the National Capital Region (NCR) to the Bonifacio Global City; (ii) Crescent West Development Corporation (CWDC) shall be the corporate vehicle to which FBDC shall contribute the land as additional capital and the shares of which shall eventually be donated to the Parent Company; and (iii) the FBDC and the Parent Company agree to develop the land and construct the building that will house the Parent Company's headquarters, majority of its management offices and its unified trading operations in equity securities for the NCR.

Based on such agreement, all outstanding shares of stocks of CWDC shall be donated by FBDC to the Parent Company on the following dates:

Date of Donation	%/Number of Shares to be Donated
January 7, 2005	14.32% or 5,247,419 shares
January 7, 2006	14.28% or 5,232,762 shares
January 7, 2007	14.28% or 5,232,762 shares
January 7, 2008	14.28% or 5,232,762 shares
January 7, 2009	14.28% or 5,232,762 shares
January 7, 2010	14.28% or 5,232,762 shares
January 7, 2011	14.28% or 5,232,762 shares

Following the Definitive Agreement, on January 7, 2006 and 2005, FBDC executed a Deed of Conditional Donation in favor of the Parent Company, which covers the transfer of 5,232,762 shares and 5,247,419 shares of CWDC, respectively, for P10.48 million. Such shares received were classified as other investments under "Other noncurrent assets" account in the consolidated statement of financial position.

In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Parent Company, FBDC and ALI for the joint development, pursuant to a Memorandum of Understanding dated April 26, 2007, of an iconic office building in Bonifacio Global City for the relocation of the Parent Company's headquarters, majority of its management offices and unified trading operations in equities securities for the NCR to the Bonifacio Global City.

On May 3, 2012, the Parent Company, FBDC and ALI executed a Memorandum of Agreement (MOA) for the Parent Company's acquisition of office units in the West Super Block building developed by FBDC and ALI in Bonifacio Global City. Subject to the fulfillment of certain conditions (including regulatory licenses and execution of the necessary agreements), if the Parent Company proceeds with the acquisition of office units in the West Super Block building, then the Definitive Agreement relating to donation of CWDC shares shall be terminated, and FBDC shall buyback the 10,480,181 CWDC shares that were previously donated to the Parent Company.

On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building. On June 30, 2015, in line with the provision of the MOA, the Parent Company sold back the FBDC's previously donated 10,480,181 shares of CWDC for P52.11 million resulting to a gain amounting to P41.63 million.

Further, FBDC agreed to donate a portion of the total purchase price of the office units amounting to P235.01 million. Total donation, net of related expenses, received by the Parent Company amounted to nil, P96.18 million and P115.42 million for the years ended December 31, 2017, 2016 and 2015, respectively, which is presented as "Income from donation" account in the consolidated statements of comprehensive income. Consequently, portion of donated capital pertaining to CWDC shares amounting to P10.48 million was reclassified to unappropriated retained earnings.

As at December 31, 2016, the total advances amounting to P805.37 million, inclusive of the instalment payments made in 2016 was reclassified to property and equipment since the office units have been substantially completed.

The Parent Company has hired various external consultants to conduct project and construction management and quantity surveying services of the fit-out works in the said office units with total project cost of P356.84 million. The fit-out works were completed in 2018.

As at December 31, 2018, the Exchange reclassified the donated capital from PRHC to unappropriated retaining earnings following the sale of the property in 2017.

18. Equity

The composition of equity is as follows:

	2018	2017
Common stock - P1.00 par value		
Authorized - 120.0 million shares		
Issued - 85,003,850 shares in 2018		
and 73,480,413 in 2017	P85,003,850	P73,480,413
Additional paid-in capital in excess of par*	3,891,433,938	1,072,514,796
Subscribed capital stock	14,423,776	8,440,058
Subscription receivable	(10,476,557)	(3,065,327)
	3,980,385,007	1,151,369,940
Treasury stock - 100,005 shares in 2018 and		
100,005 shares in 2017	(68,000,006)	(68,000,005)
	P3,912,385,001	P1,083,369,935

*Including share grants outstanding amounting to P0.59 million and P0.39 million in 2018 and 2017, respectively.

The following summarizes the information on the Parent Company's registration of securities under the Securities Regulation Code:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	P31.16
January 28, 2004	-	6,077,505	119.50
September 10, 2008	-	15,177,499	-
September 12, 2008	61,000,000	-	-
June 9, 2011	-	30,504,363	-
November 14, 2013	22,200,000	12,221,680	-
March 22, 2018		11,500,000	252
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2014		50,603	
2015		50,000	
2018		23,437	
	120,000,000	85,003,850	

The Parent Company has total number of shareholders of 287 and 281 as at December 31, 2018 and 2017, respectively.

Retained Earnings

Date of Declaration	Dividends		Record Date	Payment Date
	Per Share	Total Amount		
January 24, 2018	₱9.00	₱660,831,111	February 8, 2018	March 6, 2018
February 22, 2017	7.00	513,917,404	March 31, 2017	April 27, 2017
February 24, 2016	7.00	513,796,017	March 30, 2016	April 25, 2016

Unappropriated retained earnings include the accumulated equity in net earnings of subsidiaries and associate amounting to ₱403.67 million and ₱425.14 million as at December 31, 2018 and 2017, respectively, that is not available for distribution until such time that the Parent Company receives the dividends from the respective subsidiaries and associate. In addition, the retained earnings of the Parent Company is restricted for the payment of dividends to the extent of ₱68.00 million as at December 31, 2018 and 2017, representing the cost of shares held in treasury.

In accordance with SEC Memorandum Circular No. 11 issued in December 2008, the Parent Company's retained earnings available for dividend declaration as of December 31, 2018 and 2017 amounted to ₱1,264.5 million and ₱1,064.5 million, respectively.

As at December 31, 2018 and 2017, the total appropriated retained earnings of the Parent Company and SCCP is ₱121.00 million. On August 13, 2008, the Parent Company's BOD appropriated ₱68.00 million in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.00 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers. SCCP restricted retained earnings amounting to ₱50.00 million for the settlement of trade obligations of defaulting clearing members should the clearing and trade guarantee fund not be enough (see Note 33).

Ownership in the Parent Company

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Parent Company. On August 13, 2007, the SEC imposed on the Parent Company a penalty of ₱101,100 plus a daily fine of ₱100 for every day of delay of compliance because the total trading participant ownership in the Parent Company exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is ₱500. As at December 31, 2018 and 2017, the total amount of penalty recognized by the Group under "Accounts payable and other current liabilities - accrued expenses" account in the consolidated statements of financial position amounted to ₱1.28 million (see Note 15). As at February 27, 2019, the brokers' ownership is as 26.44%.

Stock Rights Offering (SRO)

On October 25, 2017, the BOD approved the SRO to stockholders of up to 11.50 million common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC.

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange offered 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period was from March 12 to 16, 2018. On March 22, 2018, the Exchange successfully listed the 11,500,000 shares in the PSE. Gross proceeds from the stock rights offering amounted to ₱2.90 billion, inclusive of additional paid-in capital of ₱2.89 billion representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱73.35 million were recorded as a reduction of the additional paid-in capital.

Capital Management

The Group's objectives when managing capital are (a) to safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group's stability and growth; and (c) to provide capital for the purpose of strengthening the Group's risk management capability.

The Group considers all the components of its total equity as capital.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at December 31, 2018 and 2017.

The Group adopts a practice of providing shareholders with regular dividends.

19. Revenues

This account consists:

	2018	2017	2016
Listing-related fees:			
Listing	P572,908,473	P249,801,463	P324,358,484
Listing maintenance	263,941,478	244,114,470	233,508,454
Processing	1,450,000	1,030,000	1,040,000
Service fees (Note 29)	310,146,965	349,707,632	344,553,434
Trading-related fees:			
Transaction (Note 29)	153,394,901	168,732,553	177,625,903
Data feed	118,769,453	89,358,799	80,278,852
Block sales (Note 29)	20,287,400	27,103,721	15,324,021
Subscription (Note 29)	104,924,249	50,142,297	29,960,816
Other revenues (Note 29)	50,384,562	45,527,589	56,636,475
	P1,596,207,481	P1,225,518,524	P1,263,286,439

Disaggregated Revenue Information

The table below shows the disaggregation of revenues from contracts with customers of the Group by major products/service lines and also includes a reconciliation of the disaggregated revenue with the Group's three strategic divisions for the year ended December 31:

	December 31, 2018			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Initial listing fees*	P27,875,185	P-	P-	P27,875,185
Additional listing fees*	543,033,288	-	-	543,033,288
Delisting fees	2,000,000	-	-	2,000,000
Listing maintenance fees*	263,941,478	-	-	263,941,478
Processing fees	1,450,000	-	-	1,450,000
Settlement and clearing fee	-	-	310,146,965	310,146,965
Transaction fees	-	153,394,901	-	153,394,901
Data feed fees	-	118,769,453	-	118,769,453
Block sales	-	20,287,400	-	20,287,400
Subscription fees	-	104,924,249	-	104,924,249
Management fee	-	-	718,973	718,973
Seminar fee	-	-	403,750	403,750
Other revenues**	5,519,289	-	40,071,273	45,590,562
	P843,819,240	P397,376,003	P351,340,961	P1,592,536,204
Timing of revenue recognition				
Transferred at a point in time	P843,819,240	P173,682,301	P350,621,988	P1,368,123,529
Transferred over time	-	223,693,702	718,973	224,412,675
	P843,819,240	P397,376,003	P351,340,961	P1,592,536,204

*In 2018, the adoption of PFRS 15 on listing fees was deferred for a period of one year (see Note 2).

**Excludes rental income of P4.79 million as it is out of scope of PFRS 15.

The contract liabilities primarily relate to the advance consideration received from customers for which revenue is recognized at certain milestone of completion.

Significant changes in the contract liabilities balances during the period are as follows:

	Contract Liabilities
Beginning Balance	P-
Transfers from beginning balance of "Deferred Fees" account due to the adoption of PFRS 15	11,043,855
Increases due to cash received, excluding amounts recognized as revenue during the period	96,083,146
Revenue recognized that was included in the contract liability balance at the beginning of the period	(94,885,240)
Ending Balance	P12,241,761

20. Interest Income

This account consists of interest income from:

	2018	2017	2016
Financial assets at FVOCI (Note 9)	₱49,223,468	₱-	₱-
AFS investments (Note 9)	-	24,037,525	27,203,042
Cash and cash equivalents:			
Time deposits (Note 7)	89,194,574	12,457,743	4,522,199
Cash in banks (Note 7)	401,472	338,207	140,974
Financial assets at FVTPL	457,271	332,854	480,138
Other interest income	21,857	-	-
	₱139,298,642	₱37,166,329	₱32,346,353

21. Cost of Services

This account consists of:

	2018	2017	2016
Repairs and maintenance	₱118,519,860	₱74,746,407	₱76,170,052
Compensation and other related staff costs (Note 23)	87,742,578	87,489,343	76,121,171
Depreciation (Notes 12 and 14)	80,032,980	61,963,559	74,327,298
Communication	12,377,893	11,194,779	8,368,492
Amortization of computer software (Note 14)	1,677,844	5,033,532	5,048,271
Others	3,962,891	6,083,902	5,232,251
	₱304,314,046	₱246,511,522	₱245,267,535

22. General and Administrative Expenses

This account consists of:

	2018	2017	2016
Compensation and other related staff costs (Note 23)	₱143,320,194	₱150,918,739	₱138,599,127
Occupancy costs (Notes 14 and 24)	104,384,174	60,644,216	46,182,398
Professional fees	69,808,463	56,044,951	52,258,485
Depreciation (Notes 12 and 14)	70,512,425	23,701,133	22,154,644
Provision (Note 31)	20,000,000	-	39,860,000
Taxes and licenses	9,779,955	13,443,065	9,668,600
Public relations	7,875,054	7,062,739	6,090,327
Trading participants' development	6,016,878	6,738,846	6,469,753
Office supplies	6,008,393	3,897,845	3,806,826
Travel and transportation	4,921,347	3,558,764	2,981,756
Repairs and maintenance	4,658,207	4,207,917	3,190,045
Communication	1,799,782	1,880,872	4,180,170
Insurance	1,630,752	2,446,407	2,719,672
Meetings and conferences	1,300,897	1,542,637	1,758,112
Market development	993,802	3,174,377	1,763,027
Donations and contributions	500,000	1,054,500	500,000
Others	4,209,065	6,030,246	5,146,403
	₱457,719,388	₱346,347,254	₱347,329,345

23. Compensation and Other Related Staff Costs

This account consists of:

	2018	2017	2016
Salaries and wages	₱199,405,343	₱199,318,742	₱180,057,223
Pension expense (Note 27)	10,685,417	10,462,602	14,486,365
Other employee benefits	20,972,012	28,626,738	20,176,710
	₱231,062,772	₱238,408,082	₱214,720,298

Other employee benefits include the ESPP expense amounting to ₱0.33 million, ₱0.24 million and ₱0.32 in 2018, 2017 and 2016, respectively (see Note 32).

24. Occupancy Costs

This account consists of:

	2018	2017	2016
Condominium rent and dues (see Note 14)	₱72,388,433	₱30,060,663	₱15,251,234
Utilities	19,317,301	18,757,703	19,973,784
Security and janitorial services	12,678,440	11,825,850	10,957,380
	₱104,384,174	₱60,644,216	₱46,182,398

25. Lease Commitments

The Exchange as Lessee

As at August 29, 2017, the Exchange entered into a contract of lease with PRHC covering the lease of condominium units and parking slots at the Philippine Stock Exchange Center in Pasig City. This lease has a term of 18 months starting September 1, 2017 to February 28, 2019 which may be pre-terminated under terms and conditions that are mutually agreed upon by the parties. In April 2018, the contract of lease with PRHC was terminated.

Furthermore, at various dates in 2018, the Exchange entered into lease agreements covering storage room, colocation space and data recovery site. These contracts are renewable on a yearly basis.

Total rental expense amounted to ₱51.35 million, ₱20.64 million and ₱6.21 million for the year ended December 31, 2018, 2017 and 2016, respectively (see Notes 21, 22 and 24).

The Exchange as Lessor

The Exchange entered into lease agreements with the trading participants for the lease of trading booths at PSE Tower, Fort Bonifacio Global City. These contracts are renewable on a yearly basis.

Rent income amounted to ₱4.79 million and nil in 2018 and 2017, respectively (see Notes 19 and 29).

CMIC as Lessee

In May 2012, CMIC entered into a lease agreement for its present office space with Ayala Land, Inc. The lease is for a period of five (5) years commencing on May 2, 2012 with an option to renew, subject to the fulfillment of the conditions specified in the lease agreement and under such terms and conditions as may be mutually acceptable to the lessor and the lessee. The lease agreement provides for escalation of rent at a rate of 5% for the second and third year and 10% for the fourth and fifth year. The lease is accounted for on a straight-line method over the term of the agreement.

The lease agreement contains (1) an advanced rental equivalent to three months' rent amounting to ₱0.40 million which shall be applied for the last three months of the lease, subject to adjustment if rent increases; and (2) a refundable deposit at an amount equivalent to three months' rent or ₱0.40 million which shall be refunded at the end of the lease. This refundable deposit is initially recognized at present value and subsequently carried at amortized cost using the effective interest method.

On May 2, 2017, CMIC renewed its lease agreement with Ayala Land, Inc. for a period of one (1) year. On February 19, 2018, the lease agreement for office space with Ayala was terminated. Total rent expense amounted to ₱0.06 million in 2018 and ₱4.26 million in 2017 and ₱3.6 million in 2016 (see Notes 21, 22 and 24).

26. Income Tax

The provision for (benefit from) income tax consists of:

	2018	2017	2016
Current:			
RCIT	₱217,075,013	₱203,836,120	₱178,598,345
MCIT	-	263,781	-
Final	27,855,186	8,505,363	8,463,599
Deferred	10,477,386	(2,099,487)	(13,157,473)
	₱255,407,585	₱210,505,777	₱173,904,471

The components of the net deferred tax assets are as follows:

	2018			2017		
	PSE	CMIC	Total	PSE	CMIC	Total
Deferred tax assets:						
Provision	₱6,000,000	₱-	₱6,000,000	₱12,300,000	₱-	₱12,300,000
Unamortized past service costs	5,524,375	-	5,524,375	5,876,443	-	5,876,443
Allowance for impairment losses on receivables	865,452	-	865,452	910,452	-	910,452
Pension liability	-	313,824	313,824	-	351,873	351,873
Accrued expenses	-	89,201	89,201	-	-	-
Excess MCIT over RCIT	-	-	-	-	69,575	69,575
	12,389,827	403,025	12,792,852	19,086,895	421,448	19,508,343
Deferred tax liabilities:						
Pension asset	14,936,631	-	14,936,631	8,813,380	-	8,813,380
Unrealized foreign exchange gains	296,408	-	296,408	22,275	-	22,275
Rent receivable - PAS 17	178,888	36,978	215,867	-	-	-
	15,411,927	36,978	15,448,905	8,835,655	-	8,835,655
	(₱3,022,100)	₱366,047	(₱2,656,053)	₱10,251,240	₱421,448	₱10,672,688

Total movement in net deferred tax asset accounted under OCI for Parent Company and CMIC amounted to ₱2.85 million and ₱1.96 million in 2018 and 2017, respectively.

As at December 31, 2018, the carryforward benefit from the excess of MCIT over RCIT of CMIC that can be claimed as tax credit against RCIT due in the future is as follows:

Year Incurred	Expiry Year	Beginning Balance	Addition	Applied During the Year	Ending Balance
2017	2020	₱69,575	₱-	₱69,575	₱-

Optional Standard Deduction (OSD)

Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions.

SCCP elected the OSD method in 2018 and 2017, in computing its taxable income.

The availment of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which SCCP expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.

SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to ₱3.29 million and ₱3.74 million as at December 31, 2018 and 2017, respectively.

Deferred tax asset in 2014 amounting to ₱5.13 million was derecognized in 2016 as management believes that the future taxable income against which the deferred tax asset can be used may not be available.

The reconciliation between the statutory tax rates and the Group's effective tax rates on income before income tax is as follows:

	2018	2017	2016
Provision for income tax at statutory income tax rate	30.00%	30.00%	30.00%
Adjustments for:			
Nontaxable income	(0.002%)	(4.99%)	(4.65%)
Benefit from using OSD	(2.49%)	(3.01%)	(3.60%)
Equity in net income of an associate	(1.19%)	(1.55%)	(1.69%)
Income subjected to final tax	(1.55%)	(0.25%)	(0.20%)
Derecognized DTL – unrealized gain on AFS investments	–	–	(0.0044%)
Nondeductible expenses	1.22%	0.07%	0.0001%
Effective income tax rate	25.99%	20.27%	19.87%

27. Retirement Plan

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans. The benefits are accumulated based on years of service and compensation per year of credited service.

The principal actuarial assumptions used in determining retirement liabilities as at December 31, 2018 and 2017 are shown below:

	Parent Company		SCCP		CMIC	
	2018	2017	2018	2017	2018	2017
Discount rate	8.58%	5.94%	7.70%	5.77%	7.72%	5.08%
Future salary increases	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%

The latest actuarial valuation studies of the retirement plan of the Parent Company, SCCP and CMIC were made as at December 31, 2018.

The pension expense included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statements of comprehensive income are as follows:

	2018	2017	2016
Current service cost	₱12,193,640	₱11,498,353	₱14,929,060
Net interest income	(1,508,223)	(1,035,751)	(442,695)
	₱10,685,417	₱10,462,602	₱14,486,365

The component of remeasurements of the Parent Company, SCCP and CMIC in the statements of comprehensive income is as follows:

	2018	2017	2016
Remeasurement gains on pension asset/liability	₱12,446,684	₱7,245,370	₱21,198,310
Tax effect	(2,851,354)	(1,968,386)	(6,280,885)
	₱9,595,330	₱5,276,984	₱14,917,425

The Parent Company's share in remeasurement loss on pension benefits of the associate is ₱0.85 million, ₱2.87 million and ₱0.01 million in 2018, 2017 and 2016, respectively.

The pension (asset)/ liability included in the consolidated statements of financial position as at December 31, 2018 and 2017 are as follows:

	2018			2017		
	Parent	SCCP	CMIC	Parent	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Present value of the obligation	P83,363,729	P10,682,672	P1,046,081	P109,892,509	P12,469,341	P1,172,909
Fair value of plan assets	(155,165,634)	-	-	(142,778,571)	-	-
Effect of asset ceiling	22,013,137	-	-	3,508,131	-	-
	(P49,788,768)	P10,682,672	P1,046,081	(P29,377,931)	P12,469,341	P1,172,909

Changes in the present value of the consolidated defined benefit obligation are as follows:

	2018			2017		
	Parent	SCCP	CMIC	Parent	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Balance at beginning of year / period	P109,892,509	P12,469,341	P1,172,909	P105,428,560	P11,762,008	P952,974
Current service cost	11,067,460	912,032	214,148	10,447,899	845,146	205,308
Interest cost on benefit obligation	6,527,615	719,481	59,584	6,272,999	689,254	55,844
Actual benefits paid	(1,829,850)	(476,012)	-	(2,523,870)	(142,985)	-
Actuarial gains arising from:						
Changes in financial assumptions	(32,296,170)	(3,249,725)	(384,303)	144,402	164,769	338,276
Experience adjustments	(9,997,835)	307,555	(97,144)	(9,877,481)	(848,851)	(397,102)
Changes in demographic assumptions	-	-	80,887	-	-	17,609
Balance at end of year / period	P83,363,729	P10,682,672	P1,046,081	P109,892,509	P12,469,341	P1,172,909

The movements in the fair value of plan assets recognized by the Parent Company follow:

	2018	2017
Balance at beginning of year	P142,778,571	P140,410,413
Interest income	9,023,286	8,299,133
Actual benefits paid	(1,829,850)	(2,523,870)
Remeasurement loss	(14,893,428)	(4,072,599)
Contributions	20,087,055	665,494
Balance at end of year	P155,165,634	P142,778,571

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan.

The following table presents the carrying amounts and estimated fair values of the assets of the Parent Company's retirement plan as at December 31, 2018 and 2017:

	2018		2017	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and cash equivalents	P32,648,247	P32,648,247	P16,824,235	P16,824,235
Investment in government securities, bonds and other debt instruments	103,473,763	103,473,763	99,948,853	99,948,853
Investment in equity securities	17,973,077	17,973,077	23,124,563	23,124,563
Others	1,070,547	1,070,547	2,880,920	2,880,920
	P155,165,634	P155,165,634	P142,778,571	P142,778,571

The Parent Company's retirement plans' assets and investments consist of the following:

- Cash and cash equivalents includes regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.
- Investments in government securities, consisting of retail treasury bonds that bear interest ranging from 4.25% to 7.38% in 2018 and 2017 and have maturities from April 2020 to March 2027 in 2018 and fixed-income treasury notes that bear interest ranging from 3.375% to 8.75% in 2018 and 2.13% to 8.75% in 2017 with maturities from November 2019 to August 2037 in 2018 and May 2018 to August 2037 in 2017, respectively.

- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 4.00% to 6.15% in 2018 and 2017 and have maturities from May 2020 to April 2025 in 2018 and 2017.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

As at December 31, 2018 and 2017, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation	
		2018	2017
Discount rate	100	(P10,362,864)	(P15,062,844)
	(100)	12,226,195	18,064,481
Future salary increases	100	11,665,196	16,733,042
	(100)	(10,077,713)	(14,295,902)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as these fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A large portion of the plan assets as at December 31, 2018 and 2017 consists of equity and debt securities, although the Parent Company also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

On the other hand, SCCP's retirement plan is non-contributory and of the final salary defined benefit type. The plan provides a retirement benefit equal to one hundred fifty percent (150%) of the plan salary for every year of credited service. Benefits are paid in lump sum directly by SCCP upon retirement or separation in accordance with the terms of the plan.

Moreover, CMIC does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (Republic Act No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days pay for every year of credited service. The regulatory benefit is paid directly by the Company in a lump sum upon retirement.

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2018 and 2017:

	2018	2017
More than one year to five years	P25,831,378	P28,836,960
More than five years to 10 years	30,128,108	29,262,032
	P55,959,486	P58,098,992

The weighted average duration of the defined benefit obligations as at December 31, 2018 are 11.7 years, 13.4 years and 11.1 years for the Parent Company, SCCP and CMIC, respectively.

The weighted average duration of the defined benefit obligations as at December 31, 2017 are 13.2 years, 14.9 years and 13.6 years for the Parent Company, SCCP and CMIC, respectively.

28. Basic/Diluted Earnings Per Share (EPS)

Basic EPS are calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the net income attributable to ordinary equity holders of the Parent Company by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares (ESPP shares) into ordinary shares.

The following reflects the diluted EPS computations:

	2018	2017	2016
(a) Net income	₱727,105,904	₱828,085,490	₱701,541,398
(b) Weighted average number of shares - basic	82,020,286	72,380,390	72,380,390
Weighted average number of shares outstanding under the ESPP (Note 32)	223,736	134,296	108,688
(c) Adjusted weighted average shares - diluted	82,244,022	72,514,686	72,489,078
EPS:			
Basic (a/b)	₱8.86	₱11.28	₱9.56
Diluted (a/c)	8.84	11.26	9.55

29. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities. Related parties include trading participants that are stockholders of the Group.

The Group, in its normal course of business, has transactions with related parties.

The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
Stockholders					
Trading participants -					
Revenues					
Trading-related fees (Note 10):					
Transaction	2018	₱153,394,901	₱11,158,139	Collectible monthly	Unsecured; no impairment
	2017	168,732,553	11,507,812	through cash,	
	2016	177,625,903	11,721,353	noninterest-bearing	
Block sales	2018	20,287,400	2,392,351	Collectible monthly	Unsecured; no impairment
	2017	27,103,721	1,803,034	through cash,	
	2016	15,324,021	1,082,230	noninterest-bearing	
Subscription	2018	104,924,249	2,559,024	Collectible monthly	Unsecured; no impairment
	2017	50,142,297	–	through cash,	
	2016	29,960,816	–	noninterest-bearing	
Service fees	2018	310,146,965	27,752,718	Collectible monthly	Unsecured; no impairment
	2017	349,707,632	27,262,237	through cash,	
	2016	344,553,434	26,172,888	noninterest-bearing	
Other revenues	2018	41,705,684	13,871,437	Collectible monthly	Unsecured; no impairment
	2017	37,739,419	16,441,615	through cash,	
	2016	45,247,167	16,393,688	noninterest-bearing	

The receivable from trading participants included in the consolidated statements of financial position are net of allowance for impairment losses of ₱0.33 million as at December 31, 2018 and 2017, respectively.

Other revenues include trading participants' maintenance fee, recoveries from printing of data transaction report, lease of trading floor, cancellation of matched orders, and other fees.

Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statement of comprehensive income is as follows:

	2018	2017	2016
Short-term employee benefits	₱62,737,834	₱70,517,094	₱52,531,345
Post-employment pension and medical benefits	3,017,446	1,028,185	244,238
Employee stock purchase plan (Notes 23 and 32)	449,562	51,168	242,435
	₱66,204,842	₱71,596,447	₱53,018,018

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

30. Operating Segment

The Group has one reportable business segment which is the equity securities market. The equity securities market provides trading, clearing, depository and information services for the equity market. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management, the chief operating decision maker of the Group, monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

31. Provision and Contingencies

Parent Company

Provision. As at December 31, 2016, the Parent Company is a party to legal proceedings, the outcome of which are not presently determinable. Provision recognized under "General and administrative" account in the 2016 consolidated statement of comprehensive income amounted to ₱39.86 million (see Note 22).

These include estimates of legal services, settlement amounts and other costs of claims made against the Parent Company. Other information on the claims are not disclosed as this may prejudice the Parent Company's position on such claims.

On January 25, 2017, the Parent Company filed a motion for reconsideration and received the respondents' comment on June 15, 2017. In a resolution dated December 13, 2017, the Supreme Court denied the Parent Company's reconsideration with finality. The provision amounting to ₱41.00 million as at December 31, 2017 was reclassified to "Accounts payable and other current liabilities" account in the 2017 statement of financial position.

On March 28, 2018, the Parent Company paid the award to the claimant after the Exchange obtained from the claimant a signed Release, Waiver and Quitclaim.

On April 26, 2018, the Joint Manifestation and Motion that the full satisfaction and settlement of the case was filed by the Parent Company with the Regional Trial Court of Pasig.

For the year ended December 31, 2018, the Parent Company recorded a provision amounting to ₱20.0 million which pertains to termination benefits payable to employees identified under its organizational streamlining program, the timing of settlement is not yet certain as at December 31, 2018 (see Note 22).

Contingencies. In February 2017, the Parent Company appointed a financial adviser for the acquisition of the shares of PDSHC until December 31, 2017. The fee is payable only upon the closing of the transaction between the Parent Company and PDSHC. As at December 31, 2018 and 2017, the transaction is not yet closed as the acquisition of PDSHC has not yet been approved by the SEC.

SCCP

The SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2018 and 2017. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2018	2017
Value of shares not yet delivered (net selling)	P6,208,754,404	P10,726,045,500
Amount of purchases unpaid (due clearing)	2,575,673,113	4,111,108,419
	P8,784,427,517	P14,837,153,919

All transactions outstanding as at December 31, 2018 and 2017 were subsequently settled in January 2019 and 2018, respectively. Accordingly, no failed trades occurred from these transactions.

32. **Employee Stock Purchase Plans**

2015 ESPP

On March 25, 2015 and May 2, 2015, the Parent Company's BOD and at least two thirds of the stockholders of the Parent Company approved to offer 150,000 ESPP shares for 3 years.

On December 23, 2015, the Parent Company submitted a request from SEC to be exempted from the registration requirements of the SRC. The Parent Company received the reply from the SEC stating that the Commission, in its meeting on January 21, 2016, ruled that the proposed ESPP is exempt from registration requirements of the SRC on January 26, 2016. Also, such approval commences the effectivity date of ESPP.

On February 16, 2016, the initial offering of ESPP was announced with the following terms and conditions:

- the number of shares allotted for the offering is 150,000 shares or about 0.20% of the outstanding capital stock of the Parent Company. Each offering shall consist of 50,000 shares;
- the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Corporate Governance & Compliance Officer, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- all regular employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- offer date shall be quarterly for a period commencing on the quarter immediately after the SEC approval is obtained until the 4th quarter of 2017. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the Parent Company shares for the month preceding the offer date less a discount of ten percent (10%). Payment terms will be through monthly salary deduction over a period of twenty four (24) months subject to salary deduction over a period of twenty four (24) months subject to payroll guidelines on net take home pay;
- a mandatory holding period of two (2) years from the date of subscription shall be implemented;
- if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; and
- in case an employee dies pending completion of the full payment over the 24-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

2018 ESPP

On April 11, 2018, the Parent Company's BOD approved to offer 300,000 ESPP shares for 3 years.

On November 16, 2018, the SEC approved Parent Company's request to be exempted from the registration requirements of the SRC. Also, such approval commences the effectivity date of ESPP.

On December 27, 2018, the initial offering of ESPP was announced with the following terms and conditions:

- a. the number of shares allotted for the offering is 300,000 shares or about 0.35% of the outstanding capital stock of the Parent Company. Each offering shall consist of 100,000 shares;
- b. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- c. all Officers and employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- d. offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2021. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- e. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty six (36) months subject to payroll guidelines on net take home pay;
- f. a mandatory holding period of three (3) years from the date of subscription shall be implemented;
- g. one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;
- h. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon; and
- i. in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

The movement in the number of ESPP shares is as follows:

	2018 ESPP	2015 ESPP
Total number of ESPP shares granted:		
2016	-	100,000
2017	-	50,000
2018	100,000	-
Availed shares in:		
2016	-	(31,437)
2017	-	(13,859)
2018	(82,123)	-
Forfeited shares in 2017	-	(8,000)
Expired shares in 2017	-	(96,704)
Outstanding ESPP shares as at December 31, 2018	17,877	-

Total additional paid-in capital and employee benefit expense arising from ESPP amounted to ₱0.59 million, ₱0.39 million and ₱0.48 million in 2018, 2017 and 2016, respectively.

In 2017, 8,000 shares from the 2015 ESPP with a subscription price amounting to ₱1.81 million were forfeited following the resignation of the employee who availed of the said ESPP shares.

In 2018, 23,437 shares from the 2015 ESPP with a subscription price amounting ₱5.47 million have vested following the completion of the two (2) year mandatory period. The said shares were issued to the employees and was recorded the "Capital stock" and "Additional paid-in capital" accounts in the 2018 statement of changes in equity (see Note 18).

The exercise prices of the shares granted during 2018 and 2017 follow:

	2018	2017
Quarter 1	P–	P211.72
Quarter 2	–	216.30
Quarter 3	–	216.48
Quarter 4	139.55	214.84

The fair value of shares granted during 2018 and 2017, based on the Exchange's daily stock quotation follows:

	2018	2017
Quarter 1	P–	P240.20
Quarter 2	–	238.80
Quarter 3	–	241.80
Quarter 4	178.50	239.80

33. Clearing and Trade Guaranty Fund (CTGF)

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the members' trade value, net of block sales and cross transactions of the same flag.

The CTGF was presented off balance sheet and is not included within the noncurrent assets and noncurrent liabilities in the consolidated statement of financial position since these are not assets and liabilities of SCCP. This presentation is to better reflect the clearing members' contribution as trust monies and does not result in a change in net assets of SCCP.

The CTGF consists of:

	2018	2017
Principal contributions from:		
Trading participants:		
Balance at beginning of year	P645,738,112	P584,109,238
Contributions	42,922,008	61,628,874
Balance at end of year	688,660,120	645,738,112
The Parent Company	80,000,000	80,000,000
	768,660,120	725,738,112
Accumulated income:		
Balance at beginning of year	339,033,519	325,958,647
Interest income - net of management fee of P1.10 million and P1.07 million in 2018 and 2017, respectively	49,154,285	29,209,269
Balance at end of year	388,187,804	355,167,916
Net unrealized loss on financial assets at FVOCI in 2018 and AFS investments in 2017	(59,133,623)	(16,134,397)
	329,054,181	339,033,519
	P1,097,714,301	P1,064,771,631

Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, SCCP continuously builds up the CTGF through the monthly contributions collected from the clearing members and collection of initial contributions from new and returning clearing members.

On September 25, 2001, the SCCP's Board resolved to approve the return of the principal amount without interest, of the contributions made by members to the CTGF in case of (1) liquidation of the CTGF, in which case the contribution shall be returned to members as of the date of liquidation, and/or (2) cessation of membership in the Corporation, whether by sale of seat or otherwise.

On January 28, 2003, the SCCP's BOD approved the amendment of its rules on CTGF providing for the non-refundability of all CTGF contributions to its clearing members. On April 26, 2007, the SCCP's BOD approved the full refund of CTGF contributions upon cessation of trading operations of a clearing member and upon termination of its membership with SCCP, at the same time that it approved an increase in the rate of CTGF contribution to be collected from each clearing member. The SEC subsequently approved the rate increase in July 2007.

While awaiting approval by the SEC of the refundability of the contributions, on November 3, 2009, the SCCP's BOD approved to postpone the implementation thereof until such time that SCCP is able to implement other measures to augment the Clearing Fund. The SCCP's President formally notified the SEC of such decision of the BOD on November 12, 2009.

During its regular meeting held on March 15, 2017, the SCCP Board approved the refund of the contributions to the members upon cessation of business operations by the Clearing Member and/or upon termination of membership with the Corporation, provided that all liabilities of such Clearing Member at the time of termination, whether actual or contingent, shall have been satisfied or paid in full, (taking into account any pending and previous applications of the Clearing Fund at the time of such termination), subject to the approval of the SEC.

In April 2017, the SCCP submitted to the SEC the aforementioned revisions to its Rules and Operating Procedures. During SCCP Management's meeting with the SEC on February 19, 2018, the SEC required a further revision to SCCP's Rules and Operating Procedures to indicate that refunds of contributions to the Clearing Fund shall be restricted and classified as "trade-related assets" in order to give priority to settlement of claims of client-investors vis a vis claims of other creditors, if any. This revision was approved by the SCCP Board during its regular meeting held on February 21, 2018 and was submitted to the SEC on March 6, 2018.

SCCP Management was notified by the SEC on May 10, 2018 that during its meeting held on March 13, 2018, the Commission en banc resolved to approve SCCP's proposed amendments to SCCP Rule 5.2 and Operating Procedure 4.3.1.3, making contributions to the Clearing Fund refundable as trade-related assets to a Clearing Member upon cessation of business of the Clearing Member and/or upon termination of its membership with the SCCP, subject to the conditions mentioned above. The return of contributions shall be made after a reasonable processing time. SCCP Management notified its Clearing Members of the said approval by the Commission through Memo for Brokers No. 01-0718 dated July 25, 2018. The said revisions to SCCP Rule 5.2 and Operating Procedure 4.3.1.3 became effective on August 1, 2018 and apply only to all current and actively operating PSE Trading Participants/Clearing Members of the SCCP.

Assets of CTGF

The assets of the CTGF consist of:

	2018	2017
Financial assets at amortized cost in 2018 and Loans and receivables in 2017:		
Cash in banks	₱34,306,542	₱10,012,184
Accounts receivable	3,429,725	3,602,110
Accrued interest receivable	8,789,913	8,967,965
Financial assets at FVOCI in 2018 and AFS investments in 2017 - debt securities:		
Principal amount	1,105,375,600	1,050,079,600
Net unamortized premium	6,044,957	9,310,006
Net unrealized loss on financial assets at FVOCI in 2018 and AFS investments in 2017	(59,133,623)	(16,134,397)
	1,098,813,144	1,065,837,468
Less accrued management fees	1,098,813	1,065,837
	₱1,097,714,301	₱1,064,771,631

Under the SCCP's rules, the CTGF may only be invested in the following:

- Securities issued or guaranteed by the Republic of the Philippines; and
- Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

As at December 31, 2018, financial assets at FVOCI with face value of ₱212.96 million will mature within one year from reporting date.

Net unrealized loss from CTGF investments held as financial assets at FVOCI in 2018 and AFS investments in 2017 follows:

	2018	2017
Balance at beginning of year	(P16,134,397)	(P8,552,458)
Change in fair value	(42,999,226)	(7,581,939)
Balance at end of year	(P59,133,623)	(P16,134,397)

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Management fee amounting to P1.10 million, P1.07 million and P0.98 million in 2018, 2017 and 2016, respectively, is included under "Other revenues" account in the consolidated statements of comprehensive income.

Any proceeds from the CTGF shall not be used for any purpose other than for:

- Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
- Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
- The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
- For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
- For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
- Payment of premium on any insurance policy taken for the CTGF.

34. Notes to the Consolidated Statements of Cash Flows

In 2018 and 2017, changes in liabilities arising from financing activities follow:

	January 1, 2018	Cash flows	Other (Note 18)	December 31, 2018
Dividends payable	P-	(P660,831,111)	P660,831,111	P-

	January 1, 2017	Cash flows	Other (Note 18)	December 31, 2017
Dividends payable	P-	(P513,917,404)	P513,917,404	P-

Other pertains to the cash dividends declared during the year. The Group classifies interest paid as cash flows from operating activities.

The principal noncash transaction under financing activities pertains to fully vested 2015 ESPP shares which were availed in 2016 amounting to P5.47 million in 2018 and nil in 2017 and 2016, respectively (see Note 32).

The principal noncash transaction under investing activities pertains to acquisition of property and equipment on account amounting to P44.76 million, P44.98 million and P21.27 million in 2018, 2017 and 2016, respectively (see Note 12).

Listed Companies and Issues

As of December 31, 2018

ISSUE/SECURITY	CODE	FREE FLOAT (IN %)	MARKET CAPITALIZATION (IN PHP)
FINANCIALS SECTOR			4,554,698,742,055.11
BANKS			1,941,762,791,295.24
Asia United Bank Corporation	AUB	34.00	28,778,914,903.40
BDO Unibank, Inc.	BDO	45.00	572,114,349,151.20
Bank of the Philippine Islands	BPI	48.00	423,230,253,094.00
China Banking Corporation	CHIB	58.00	72,787,884,905.20
Citystate Savings Bank, Inc.	CSB	13.00	552,286,334.82
Export and Industry Bank, Inc. "A"	EIBA	28.00 ¹	715,844,676.56
Export and Industry Bank, Inc. "B"	EIBB	28.00 ¹	4,207,985,965.04
East West Banking Corporation	EW	21.00	26,774,707,390.90
Metropolitan Bank & Trust Company	MBT	49.00	322,182,217,164.20
NextGenesis Corporation	NXGEN	33.00	728,092,575.00
Philippine Business Bank	PBB	33.00	7,712,126,126.12
Philippine Bank of Communications	PBC	25.00	9,709,032,292.60
Philippine National Bank	PNB	21.00	53,400,721,234.50
Philippine Savings Bank	PSB	16.00	23,867,716,616.80
Philippine Trust Company	PTC	13.00	145,200,000,000.00
Rizal Commercial Banking Corporation	RCB	24.00	55,165,420,087.50
Security Bank Corporation	SECB	59.00	116,798,527,485.00
Union Bank of the Philippines	UBP	20.00	77,836,711,292.40
OTHER FINANCIAL INSTITUTIONS			2,612,935,950,759.87
Bright Kindle Resources & Investments Inc.	BKR	17.00	2,292,711,000.00
BDO Leasing and Finance, Inc.	BLFI	11.00	4,735,820,933.28
COL Financial Group, Inc.	COL	26.00	7,730,240,000.00
First Abacus Financial Holdings Corporation	FAF	81.00	859,104,000.00
Ferronoux Holdings, Inc.	FERRO	33.00	1,170,353,288.94
Filipino Fund, Inc.	FFI	29.00	367,225,346.04
I-Remit, Inc.	I	23.00	935,807,856.66
Medco Holdings, Inc.	MED	20.00	1,469,070,985.07
Manulife Financial Corporation	MFC	0.20 ²	1,489,522,363,500.00
National Reinsurance Corporation of the Philippines	NRCP	48.00	1,932,481,096.00
The Philippine Stock Exchange, Inc.	PSE	49.00	15,286,623,480.00
Sun Life Financial Inc.	SLF	0.60 ²	1,081,678,642,200.00
Vantage Equities, Inc.	V	34.00	4,955,507,073.88

ISSUE/SECURITY	CODE	FREE FLOAT (IN %)	MARKET CAPITALIZATION (IN PHP)
INDUSTRIAL SECTOR			2,817,156,123,693.90
ELECTRICITY, ENERGY, POWER & WATER			1,084,883,473,806.38
Alsons Consolidated Resources, Inc.	ACR	20.00	8,053,120,000.00
Aboitiz Power Corporation	AP	19.00	258,287,011,175.70
Basic Energy Corporation	BSC	82.00	671,374,251.36
First Gen Corporation	FGEN	32.00	72,786,391,888.86
First Philippine Holdings Corporation	FPH	47.00	34,906,619,716.50
Manila Electric Company	MER	21.00	428,297,507,900.00
Manila Water Company, Inc.	MWC	56.00	58,331,719,180.25
Petron Corporation	PCOR	27.00	72,282,055,671.87
PetroEnergy Resources Corporation	PERC	39.00	1,990,491,447.00
PHINMA Energy Corporation	PHEN	44.00	5,623,241,160.30
PH Resorts Group Holdings, Inc.	PHR	10.00	26,123,302,446.80
Phoenix Petroleum Philippines, Inc.	PNX	13.00	15,071,487,451.68
Pilipinas Shell Petroleum Corporation	SHLPH	23.00	77,041,960,645.50
SPC Power Corporation	SPC	13.00	8,141,241,808.32
Vivant Corporation	VVT	13.00	17,275,949,062.24
FOOD, BEVERAGE & TOBACCO			1,458,336,235,798.24
AgriNurture, Inc.	ANI	27.00	13,060,659,496.00
Bogo-Medellin Milling Company, Inc.	BMM	43.00	588,900,000.00
Central Azucarera de Tarlac, Inc.	CAT	12.00	4,520,620,160.00
Century Pacific Food, Inc.	CNPF	24.00	53,842,330,644.00
Del Monte Pacific Limited	DELM	3.80	12,402,464,953.12
D&L Industries, Inc.	DNL	30.00	78,428,580,730.20
Emperador Inc.	EMP	15.00	113,678,992,044.36
San Miguel Food and Beverage, Inc.	FB	11.00	484,556,047,380.00
Alliance Select Foods International, Inc.	FOOD	32.00	2,649,695,210.78
Ginebra San Miguel, Inc.	GSMI	21.00	7,509,265,938.50
Jollibee Foods Corporation	JFC	44.00	317,489,103,515.80
Liberty Flour Mills, Inc.	LFM	50.00	6,750,000,000.00
Macay Holdings, Inc.	MACAY	10.00	10,342,046,398.64
Max's Group, Inc.	MAXS	34.00	11,153,461,566.24
Millennium Global Holdings, Inc.	MG	45.00	440,000,000.00
Pepsi-Cola Products Philippines, Inc.	PIP	33.00	4,949,654,853.86
Shakey's Pizza Asia Ventures, Inc.	PIZZA	28.00	18,222,720,530.70
Roxas and Company, Inc.	RCI	38.00	3,968,093,065.86
RFM Corporation	RFM	49.00	17,028,148,054.74
Roxas Holdings, Inc.	ROX	16.00	4,132,988,583.33
Swift Foods, Inc.	SFI	100.00	226,802,934.13
Universal Robina Corporation	URC	44.00	279,928,557,236.00
Vitarich Corporation	VITA	27.00	6,078,124,687.86
Victorias Milling Company, Inc.	VMC	16.00	6,388,977,814.12
CONSTRUCTION, INFRASTRUCTURE & ALLIED SERVICES			187,283,953,707.15
Concrete Aggregates Corporation "A"	CA	23.00	1,433,951,226.45
Concrete Aggregates Corporation "B"	CAB	23.00	420,586,317.90
Cemex Holdings Philippines, Inc.	CHP	45.00	9,871,251,362.60
Da Vinci Capital Holdings, Inc.	DAVIN	15.00	7,312,499,798.50

ISSUE/SECURITY	CODE	FREE FLOAT (IN %)	MARKET CAPITALIZATION (IN PHP)
Eagle Cement Corporation	EAGLE	12.00	77,300,000,077.30
EEl Corporation	EEI	45.00	8,238,437,805.75
Holcim Philippines, Inc.	HLCM	14.00	37,422,175,035.20
Megawide Construction Corporation	MWIDE	35.00	38,660,663,914.50
Phinma Corporation	PHN	40.00	2,562,608,849.85
Philippine National Construction Corporation	PNC	13.00	854,779,319.10
Supercity Realty Development Corporation	SRDC	49.00	88,000,000.00
TKC Metals Corporation	T	29.00	799,000,000.00
Vulcan Industrial & Mining Corporation	VUL	40.00	2,320,000,000.00
CHEMICALS			24,617,032,977.20
Chemical Industries of the Philippines, Inc.	CIP	31.00	1,740,125,569.00
Crown Asia Chemicals Corporation	CROWN	42.00	1,135,440,000.00
Euro-Med Laboratories Phil., Inc.	EURO	13.00	6,990,638,918.00
LMG Chemicals Corporation	LMG	29.00	832,239,956.80
Mabuhay Vinyl Corporation	MVC	12.00	2,182,321,013.40
Pryce Corporation	PPC	68.00	11,736,267,520.00
ELECTRICAL COMPONENTS & EQUIPMENT			60,124,083,448.86
Concepcion Industrial Corporation	CIC	31.00	15,003,692,067.00
Greenery Holdings Incorporated	GREEN	69.00	3,583,549,358.28
Integrated Micro-Electronics, Inc.	IMI	31.00	23,503,308,079.00
Ionics, Inc.	ION	35.00	1,515,207,095.52
Panasonic Manufacturing Philippines Corporation	PMPC	15.00	495,632,077.20
SFA Semicon Philippines Corporation	SSP	15.00	3,052,683,996.51
Cirtek Holdings Philippines Corporation	TECH	30.00	12,970,010,775.35
OTHER INDUSTRIALS			1,911,343,956.08
Filsyn Corporation "A"	FYN	32.00	371,243,121.00
Filsyn Corporation "B"	FYNB	32.00	412,492,370.00
Picop Resources, Inc.	PCP	50.00 ³	867,608,465.08
Steniel Manufacturing Corporation	STN	16.00	260,000,000.00
HOLDING FIRMS SECTOR			3,899,319,639,974.97
Asia Amalgamated Holdings Corporation	AAA	10.00	1,287,999,969.41
AbaCore Capital Holdings, Inc.	ABA	43.00	1,943,419,757.69
Asiabest Group International Inc.	ABG	48.00	7,800,000,000.00
Ayala Corporation	AC	46.00	568,147,797,000.00
Aboitiz Equity Ventures, Inc.	AEV	46.00	309,803,590,635.00
Alliance Global Group, Inc.	AGI	30.00	119,445,388,190.10
A. Soriano Corporation	ANS	18.00	16,250,000,000.00
Anglo Philippine Holdings Corporation	APO	17.00	2,642,906,233.44
ATN Holdings, Inc. "A"	ATN	38.00	5,254,000,000.00
ATN Holdings, Inc. "B"	ATNB	38.00	1,136,000,000.00
BHI Holdings, Inc.	BH	10.00	625,483,737.00
Cosco Capital, Inc.	COSCO	25.00	48,767,363,172.44
DMCI Holdings, Inc.	DMC	28.00	169,686,066,600.00
Filinvest Development Corporation	FDC	11.00	102,051,863,246.60
F & J Prince Holdings Corporation "A"	FJP	26.00	1,550,833,625.40
F & J Prince Holdings Corporation "B"	FJPB	26.00	982,039,006.65
Forum Pacific, Inc.	FPI	52.00	402,728,570.87

ISSUE/SECURITY	CODE	FREE FLOAT (IN %)	MARKET CAPITALIZATION (IN PHP)
GT Capital Holdings, Inc.	GTCAP	44.00	194,354,144,400.00
House of Investments, Inc.	HI	52.00	3,591,257,344.62
JG Summit Holdings, Inc.	JGS	41.00	398,970,280,294.90
Jollville Holdings Corporation	JOH	34.00	1,908,570,000.00
Keppel Philippines Holdings, Inc. "A"	KPH	18.00	174,324,795.40
Keppel Philippines Holdings, Inc. "B"	KPHB	18.00	106,234,964.59
Lodestar Investment Holdings Corporation	LIHC	25.00	1,680,000,000.00
Lopez Holdings Corporation	LPZ	44.00	18,438,130,444.00
LT Group, Inc.	LTG	26.00	179,635,055,557.40
Metro Global Holdings Corporation	MGH	12.00	2,000,000,000.00
Mabuhay Holdings Corporation	MHC	36.00	708,000,000.00
MJC Investments Corporation	MJIC	13.00	8,126,478,901.76
Metro Pacific Investments Corporation	MPI	42.00	146,231,682,209.28
Pacifica, Inc.	PA	36.00	1,480,000,000.00
Prime Orion Philippines, Inc.	POPI	33.00	11,667,711,172.71
Prime Media Holdings, Inc.	PRIM	18.00	861,367,297.68
Republic Glass Holdings Corporation	REG	24.00	1,787,011,955.84
Solid Group, Inc.	SGI	21.00	2,404,435,440.00
Synergy Grid & Development Phils., Inc.	SGP	12.00	26,513,776,000.00
SM Investments Corporation	SM	44.00	1,105,204,780,472.50
San Miguel Corporation	SMC	15.00	349,643,171,766.00
SOCResources, Inc.	SOC	24.00	667,421,220.32
Seafront Resources Corporation	SPM	81.00	423,800,000.00
Top Frontier Investment Holdings, Inc.	TFHI	12.00	83,154,964,516.60
Unioil Resources & Holdings Company, Inc.	UNI	41.00	391,031,754.34
Wellex Industries, Inc.	WIN	43.00	808,168,730.46
Zeus Holdings, Inc.	ZHI	56.00	610,360,991.96

PROPERTY SECTOR

2,318,361,793,791.78

Arthaland Corporation	ALCO	26.00	5,105,371,391.04
Anchor Land Holdings, Inc.	ALHI	14.00	11,918,411,460.00
Ayala Land, Inc.	ALI	52.00	598,236,171,888.60
Araneta Properties, Inc.	ARA	24.00	3,375,900,496.10
Belle Corporation	BEL	47.00	22,552,821,746.07
A Brown Company, Inc.	BRN	45.00	1,932,580,970.58
Cityland Development Corporation	CDC	31.00	3,426,115,419.87
Crown Equities, Inc.	CEI	54.00	3,195,999,990.60
Cebu Holdings, Inc.	CHI	30.00	13,738,539,739.47
Cebu Landmasters, Inc.	CLI	31.00	6,906,348,000.00
Century Properties Group Inc.	CPG	32.00	4,987,828,296.70
Cebu Property Ventures and Development Corporation "A"	CPV	16.00 ⁴	3,836,628,000.00
Cebu Property Ventures and Development Corporation "B"	CPVB	16.00 ⁴	2,632,980,000.00
Cyber Bay Corporation	CYBR	36.00	2,586,613,964.14
DoubleDragon Properties Corp.	DD	30.00	42,236,710,224.00
D.M. Wenceslao & Associates, Incorporated	DMW	20.00	26,487,739,980.00
Empire East Land Holdings, Inc.	ELI	17.00	7,117,956,596.00
Ever-Gotesco Resources and Holdings, Inc.	EVER	37.00	605,000,000.00
Filinvest Land, Inc.	FLI	39.00	34,192,160,903.46
Global-Estate Resorts, Inc.	GERI	18.00	12,414,180,000.00
8990 Holdings, Inc.	HOUSE	30.00	44,695,724,832.00
Philippine Infradev Holdings Inc.	IRC	41.00	3,374,764,474.50

ISSUE/SECURITY	CODE	FREE FLOAT (IN %)	MARKET CAPITALIZATION (IN PHP)
Keppel Philippines Properties, Inc.	KEP	20.00	1,034,277,728.00
City & Land Developers, Incorporated	LAND	16.00	1,159,064,571.30
Megaworld Corporation	MEG	34.00	153,137,367,892.00
MRC Allied, Inc.	MRC	48.00	3,830,696,538.75
Philippine Estates Corporation	PHES	53.00	679,408,420.10
Primetown Property Group, Inc.	PMT	21.00	320,354,880.00
Primex Corporation	PRMX	31.00	5,882,299,994.10
Robinsons Land Corporation	RLC	39.00	104,655,688,302.75
Philippine Realty and Holdings Corporation	RLT	54.00	2,091,988,085.48
Rockwell Land Corporation	ROCK	13.00	12,294,692,017.98
Shang Properties, Inc.	SHNG	35.00	14,863,855,615.44
Sta. Lucia Land, Inc.	SLI	18.00	11,183,062,500.00
SM Prime Holdings, Inc.	SMPH	32.00	1,033,876,494,645.20
Starmalls, Inc.	STR	10.00	45,500,298,242.40
Suntrust Home Developers, Inc.	SUN	39.00	1,665,000,000.00
PTFC Redevelopment Corporation	TFC	55.00	1,400,000,000.00
Vista Land & Lifescapes, Inc.	VLL	28.00	69,230,695,985.16

SERVICES SECTOR

2,035,981,332,334.52

MEDIA

43,358,044,174.04

ABS-CBN Corporation	ABS	42.00	17,243,851,620.00
GMA Network, Inc.	GMA7	24.00	18,284,095,680.00
Manila Bulletin Publishing Corporation	MB	22.00	1,282,471,456.64
Manila Broadcasting Company	MBC	10.00	6,547,625,417.40

TELECOMMUNICATIONS

496,358,918,075.00

Globe Telecom, Inc.	GLO	22.00	252,801,171,200.00
Philippine Telegraph and Telephone Corporation	PTT	16.00	495,000,000.00
PLDT Inc.	TEL	42.00	243,062,746,875.00

INFORMATION TECHNOLOGY

38,727,779,740.39

Apollo Global Capital, Inc.	APL	10.00	10,732,646,789.28
DFNN, Inc.	DFNN	63.00	2,496,327,861.52
Imperial Resources, Inc.	IMP	16.00	1,220,175,000.00
Island Information & Technology, Inc.	IS	81.00	630,261,580.37
ISM Communications Corporation	ISM	38.00	11,807,071,004.79
Jackstones, Inc.	JAS	20.00	847,700,338.83
Now Corporation	NOW	21.00	5,219,437,524.00
Transpacific Broadband Group International, Inc.	TBGI	54.00	1,150,958,732.00
Philweb Corporation	WEB	26.00	4,623,200,909.60

TRANSPORTATION SERVICES

481,813,503,660.00

2GO Group, Inc.	2GO	12.00	33,707,759,592.00
Asian Terminals, Inc.	ATI	65.00	27,760,000,000.00
Cebu Air, Inc.	CEB	32.00	44,093,537,436.00
Chelsea Logistics Holdings Corp.	CLC	30.00	11,769,975,392.90
International Container Terminal Services, Inc.	ICT	51.00	201,100,193,100.00
LBC Express Holdings, Inc.	LBC	15.00	20,104,703,141.10
Lorenzo Shipping Corporation	LSC	11.00	443,713,800.80

ISSUE/SECURITY	CODE	FREE FLOAT (IN %)	MARKET CAPITALIZATION (IN PHP)
MacroAsia Corporation	MAC	26.00	27,052,977,081.00
Metro Alliance Holdings & Equities Corporation "A"	MAH	24.00	383,877,552.30
Metro Alliance Holdings & Equities Corporation "B"	MAHB	24.00	277,959,182.33
PAL Holdings, Inc.	PAL	10.00	96,713,165,745.07
Globalport 900, Inc.	PORT	11.00	15,739,160,620.00
Harbor Star Shipping Services, Inc.	TUGS	32.00	2,666,481,016.50
HOTEL & LEISURE			4,789,163,139.86
Acesite (Phils.) Hotel Corporation	ACE	44.00	482,646,528.00
Boulevard Holdings, Inc.	BHI	57.00	672,000,000.00
Discovery World Corporation	DWC	26.00	1,345,900,000.00
Grand Plaza Hotel Corporation	GPH	14.00	539,322,384.76
Waterfront Philippines, Inc.	WPI	53.00	1,749,294,227.10
EDUCATION			33,782,232,335.16
Centro Escolar University	CEU	27.00	2,904,832,320.00
Far Eastern University, Inc.	FEU	33.00	14,664,550,470.00
iPeople, Inc.	IPO	20.00	8,388,052,075.20
STI Education Systems Holdings, Inc.	STI	35.00	7,824,797,469.96
CASINOS & GAMING			292,579,760,649.76
Berjaya Philippines, Inc.	BCOR	12.00	19,535,763,847.50
Bloomerry Resorts Corporation	BLOOM	35.00	103,591,640,209.59
IP E-Game Ventures, Inc.	EG	91.00 ⁵	282,000,000.00
Pacific Online Systems Corporation	LOTO	39.00	4,472,178,075.27
Leisure & Resorts World Corporation	LR	64.00	3,911,519,189.12
Manila Jockey Club, Inc.	MJC	58.00	5,429,079,008.70
Melco Resorts and Entertainment (Philippines) Corporation	MRP	2.10	41,232,713,300.00
Premium Leisure Corp.	PLC	21.00	25,279,144,800.00
Philippine Racing Club, Inc.	PRC	62.00	5,182,026,766.08
Travellers International Hotel Group, Inc.	RWM	10.00	83,663,695,453.50
RETAIL			406,898,899,665.00
Metro Retail Stores Group, Inc.	MRSGL	24.00	8,539,143,750.00
Puregold Price Club, Inc.	PGOLD	33.00	118,911,400,458.00
Robinsons Retail Holdings, Inc.	RRHI	34.00	126,119,148,800.00
Philippine Seven Corporation	SEVN	33.00	93,795,867,092.00
SSI Group, Inc.	SSI	29.00	7,876,815,703.40
Wilcon Depot, Inc.	WLCN	34.00	51,656,523,861.60
OTHER SERVICES			237,673,030,895.31
APC Group, Inc.	APC	51.00	3,039,202,618.79
Easycall Communications Philippines, Inc.	ECP	12.00	2,238,000,000.00
Golden Bria Holdings, Inc.	HVN	11.00	209,338,235,925.00
IPM Holdings, Inc.	IPM	32.00	5,658,000,000.00
Paxys, Inc.	PAX	15.00	3,732,738,314.50
Premiere Horizon Alliance Corporation	PHA	84.00	646,906,288.93
Philcomsat Holdings Corporation	PHC	10.00	1,394,947,755.60
SBS Philippines Corporation	SBS	25.00	11,624,999,992.50

ISSUE/SECURITY	CODE	FREE FLOAT (IN %)	MARKET CAPITALIZATION (IN PHP)
MINING & OIL SECTOR			271,554,431,577.40
MINING			239,777,637,107.74
Atok-Big Wedge Co., Inc.	AB	10.00	39,396,600,000.00
Apex Mining Co., Inc.	APX	34.00	10,400,572,109.97
Abra Mining and Industrial Corporation	AR	73.00	398,589,168.40
Atlas Consolidated Mining and Development Corporation	AT	20.00	9,112,403,901.44
Benguet Corporation "A"	BC	45.00	556,109,941.50
Benguet Corporation "B"	BCB	45.00	367,546,833.00
Coal Asia Holdings Incorporated	COAL	20.00	1,200,000,001.20
Century Peak Metals Holdings Corporation	CPM	32.00	5,866,287,336.00
Dizon Copper-Silver Mines, Inc.	DIZ	77.00	574,966,030.49
Global Ferronickel Holdings, Inc.	FNI	36.00	9,155,050,671.56
GEOGRACE Resources Philippines, Inc.	GEO	86.00	721,000,000.00
Lepanto Consolidated Mining Company "A"	LC	85.00	4,460,161,349.95
Lepanto Consolidated Mining Company "B"	LCB	85.00	3,053,582,223.62
Manila Mining Corporation "A"	MA	78.00	1,090,572,604.60
Manila Mining Corporation "B"	MAB	78.00	674,639,565.15
Marcventures Holdings, Inc.	MARC	28.00	3,557,487,959.90
NiHAO Mineral Resources International, Inc.	NI	38.00	1,090,800,000.00
Nickel Asia Corporation	NIKL	34.00	30,087,013,257.40
Omico Corporation	OM	86.00	630,277,003.80
Oriental Peninsula Resources Group, Inc.	ORE	44.00	2,705,790,004.70
Philex Mining Corporation	PX	34.00	15,265,833,120.12
Semirara Mining and Power Corporation	SCC	26.00	97,975,122,641.00
United Paragon Mining Corporation	UPM	21.00	1,437,231,383.94
OIL			31,776,794,469.65
Oriental Petroleum and Minerals Corporation "A"	OPM	59.00	1,560,000,000.00
Oriental Petroleum and Minerals Corporation "B"	OPMB	59.00	1,040,000,000.00
The Philodrill Corporation	OV	47.00	2,494,294,469.65
PHINMA Petroleum and Geothermal, Inc.	PPG	22.00	842,500,000.00
PXP Energy Corporation	PXP	29.00	25,840,000,000.00
PREFERRED			218,895,323,528.92
8990 Holdings, Inc. Series A Perpetual Preferred Shares	8990P		4,800,000,000.00
Allied Banking Corporation - 15% Cumulative Convertible Preferred A	ABC	1.50 ⁶	50,000,000.00
Ayala Corporation Preferred Class "A" Shares	ACPA		500.00
Ayala Corporation Class "B" Series 1 Preferred Shares	ACPB1		8,900,000,000.00
Ayala Corporation Class "B" Series 2 Preferred Shares	ACPB2		13,473,000,000.00
Arthaland Corporation Series "B" Perpetual Preferred Shares	ALCPB		2,020,000,000.00
Benguet Corporation - 8% Cumulative Convertible Preferred A	BCP		2,609,073.22
DoubleDragon Properties Corporation Preferred Shares	DDPR		9,880,000,000.00
DMCI Holdings, Inc. - Cumulative Convertible Preferred	DMCP		1,344,000.00
San Miguel Food and Beverage, Inc. - Preferred	FBP		1,011.00
San Miguel Food and Beverage, Inc. Perpetual Preferred Shares Series "2"	FBP2		14,955,000,000.00
First Gen Corporation Series "G" Preferred Shares	FGENG		12,771,014,960.00
First Philippine Holdings Corporation - Preferred	FPHP		101.40
First Philippine Holdings Corporation Series "C" Preferred Shares	FPHPC		1,674,000,000.00
Globe Telecom, Inc. Series A Voting Perpetual Preferred Shares	GLOPA		792,575,105.00

ISSUE/SECURITY	CODE	FREE FLOAT (IN %)	MARKET CAPITALIZATION (IN PHP)
Globe Telecom, Inc. Series A Non-Voting Perpetual Preferred Shares	GLOPP		9,600,000,000.00
GT Capital Holdings, Inc. Non-Voting Perpetual Preferred Shares Series "A"	GTPPA		4,355,316,000.00
GT Capital Holdings, Inc. Non-Voting Perpetual Preferred Shares Series "B"	GTPPB		6,444,684,000.00
Leisure & Resorts World Corporation Preferred	LRP		1,683,000,000.00
Megawide Construction Corporation Perpetual Preferred Shares	MWP		3,920,000,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "3A" Preferred Shares	PNX3A		1,250,000,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "3B" Preferred Shares	PNX3B		765,000,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual Preferred Shares	PNXP		100.00
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2A"	PRF2A		6,979,873,600.00
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2B"	PRF2B		4,287,743,200.00
Swift Foods, Inc. Convertible Preferred	SFIP		105,425,275.80
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-A"	SMC2A		74.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-B"	SMC2B		6,782,115,000.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-C"	SMC2C		19,422,514,400.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-D"	SMC2D		6,695,538,330.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-E"	SMC2E		9,782,007,300.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-F"	SMC2F		16,750,012,500.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-G"	SMC2G		4,993,328,340.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-H"	SMC2H		12,218,000,000.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-I"	SMC2I		12,446,004,900.00
San Miguel Corporation - Preferred Series "1"	SMCP1		21,095,203,358.50
PLDT Conv Series II	TLII		3,700.00
PLDT Conv Series JJ	TLJJ		8,700.00
PREFERRED - DOLLAR DENOMINATED SECURITIES			368,670,000.00
Del Monte Pacific Limited U.S. Dollar-Denominated Series A-1 Preference Shares	DMPA1		200,000,000.00 ⁷
Del Monte Pacific Limited U.S. Dollar-Denominated Series A-2 Preference Shares	DMPA2		101,000,000.00 ⁷
Cirtek Holdings Philippines Corporation US Dollar-Denominated Preferred B-2 Shares	TECB2		67,670,000.00 ⁷
PHILIPPINE DEPOSITARY RECEIPTS			9,997,475,518.00
ABS-CBN Holdings Corporation - Philippine Deposit Receipts	ABSP	99.00	6,063,357,190.00
GMA Holdings, Inc. - Philippine Deposit Receipts	GMAP	74.00	3,934,118,328.00
WARRANTS			160,875,000.00
Leisure & Resorts World Corporation Warrants	LRW		160,875,000.00
SMALL, MEDIUM & EMERGING BOARD			11,308,169,735.83
Philab Holdings Corp.	DNA	11.00	5,898,109,531.60
Italpinas Development Corporation	IDC	43.00	1,559,851,180.00
Makati Finance Corporation	MFIN	20.00	632,191,863.03
Xurpas Inc.	X	33.00	3,218,017,161.20
EXCHANGE TRADED FUND			1,544,415,490.00
First Metro Philippine Equity Exchange Traded Fund, Inc.	FMETF	58.00	1,544,415,490.00

¹ As of end-Mar 2012
² Philippine-lodged Shares
³ As of end-Jun 2015

⁴ As of end-Sep 2018
⁵ As of end-Sep 2014

⁶ As of end-Dec 2012
⁷ In USD

Corporate Information



ANNUAL MEETING

The annual meeting of shareholders will be held on Saturday, May 4, 2019, 8:00 a.m. at the Ground Floor, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City, Taguig City.

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